BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service.

Case 25-E-0072

June 24, 2025

Rebuttal Testimony of:

Electric Infrastructure

and Operations Panel

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Case No. 25-E-0072

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

ELECTRIC INFRASTRUCTURE AND OPERATIONS PANEL REBUTTAL TESTIMONY
REDACTED VERSION

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I. Introduction

A. Introduction and Qualification of Panel Members

Q. Please state your names.

A. Steve Parisi, Patrick McHugh, Shakira Wilson, and Jamie Brennan. The business address for all panelists is 4 Irving Place, New York, NY 10003.

Q. Have you previously submitted testimony in this proceeding?

A. Yes, we previously submitted testimony on behalf of Consolidated Edison Company of New York, Inc. ("Con Edison" or "Company") as the Electric Infrastructure and Operations Panel.

B. Purpose of Testimony

Q. What is the purpose of your testimony?

A. To respond to testimony submitted in this proceeding by DPS Staff and other parties.

Q. How is your testimony organized?

A. First, we rebut recommendations related to our proposed transmission & distribution ("T&D") capital and operations and maintenance ("O&M") spending and staffing additions. Second, we rebut recommendations related to our proposed

Electric Production capital and O&M spending and staffing additions. Finally, we rebut testimony on special issues raised in our initial testimony.

To the extent that an issue is raised by Staff or intervenors but not addressed specifically by this Panel, the positions stated therein should not be viewed or considered to have been accepted by the Company.

C. Rebuttal to Staff and Other Parties

Q. What testimony will you respond to?

A. We will respond to the following testimony:

A. Staff Electric Infrastructure and Operations Panel ("SEIOP")

B. Staff Electric Resilience and Reliability Performance Mechanism Panel ("Staff ERRPM Panel")

C. Staff Accounting Panel ("Staff Accounting Panel")

D. New York City Policy Panel ("NYC Policy Panel")

E. New York City Witness Felicia Tunnah ("NYC Witness Tunnah")

F. New York City Electric Infrastructure Panel ("NYC EIP")

G. New York City Witness Michele Chait ("NYC Witness Chait")

H. Metropolitan Transportation Authority Panel ("MTA")

I. Utility Intervention Unit of the New York State Department of State's Division of Consumer Protection Witness Dustin Madsen ("UIU Witness Madsen")

J. Elijah Reichlin-Melnick on Behalf Of: Westchester County Executive Kenneth W. Jenkins and the County of Westchester ("Westchester County")

K. The testimony of Dana Levenberg, New York State Assemblymember, 95th District ("MAO Levenberg")

L. New York Energy Consumers Council, Inc. Witness Andy Anderson ("NYECC")

Q. Do you have any exhibits that you will reference in your rebuttal testimony?

A. Yes, we will be introducing two new exhibits in our rebuttal testimony. The first, Exhibit___(EIOP-15) contains eight responses submitted by the Company in response to interrogatories from Staff and other parties that the Company relies upon in its rebuttal testimony. The second, Exhibit___(EIOP-16) contains six responses submitted by DPS Staff.

Q. Have you reviewed Staff's proposed adjustments to the Company's planned infrastructure spending?

A. Yes.

Q. What does Staff propose?

A. Staff proposes adjustments that would reduce the Company's RY1 electric plant capital expenditures by approximately $715.70 million and reduce the Company's RY1 O&M expenses by approximately $40.59 million.

Q. Do you agree with any of Staff's proposed adjustments?

A. As we will discuss when we review each of Staff's recommendations, there are two Staff recommendations that we agree with, removal of the Mobile Program for Feeder Leak Detection program from this Panel and an adjustment to the Staten Island North Shore Load Pocket Reinforcement project. We disagree with all of Staff's other recommendations.

Q. Will you respond to each of SEIOP's and Staff ERRPM Panel's (collectively "Staff") proposed adjustments?

A. Yes, but first we want to address overarching comments regarding the Company's proposed requests made by several parties and make a threshold point about common rationales Staff relies on for making proposed reductions to numerous projects and programs.

Q. What are the overarching comments about the proposed requests would you like to address here?

A. UIU, the NYC Policy Panel, and NYECC all make general recommendations for reductions to the Company's proposed spending or limits of any upward cost reconciliations.

Q. Please elaborate on the concerns expressed.

A. UIU Witness Madsen recommends significant reductions in the Company's electric capital spending based on "… what appear to be unrealistic load growth assumptions, an improper change in forecasting methodology, and the lack of any detailed plan to actually complete the projected capital spending as proposed." Mr. Madsen encourages the Commission "… to approve an overall level of capital for the Company that is realistic, achievable, and most importantly, no more than is required to permit the Company to maintain a safe and reliable electric and gas distribution system." The NYC Policy Panel expresses concerns that the Company has not incorporated recent changes in Federal policy on offshore wind into our capital planning processes and deferred projects that could potentially be impacted by delays in development of offshore wind. NYC EIP also recommends that, "… unless the total amounts are

substantially reduced, the Commission should require that the amounts allowed to be recovered in rates be subject to downward-only reconciliation in the event the Company does not, or cannot, complete all of the projects it identified."

NYECC expresses a general concern that the Company sometimes underspends from existing rate plans average budgeted capital allotted to it and asserts that this is a reason to curtail the Company's revenue requirement request to something lower than it has requested.

Q. What is the Company's response to these overarching concerns and high-level recommendations?

A. These concerns ignore the substantial volume of detailed explanations and data and analysis supporting the Company's capital, O&M, and staffing requests provided to Staff and other parties. We also believe that these concerns and recommendations fail to recognize that the Company is obligated to provide safe, reliable electric delivery service that meets customers' needs, complies with applicable law, and facilitates State policy.

The Company has prepared and provided our plans and supporting justifications for each of the proposed programs

and projects that we have determined are needed to meet our obligations, leveraging the Company's extensive experience, deep subject matter expertise, system data and performance monitoring, and relevant analysis and evaluations. Regarding underspending in some budget items, the Company must respond to real-time needs as they arise, which may result in changing priorities; it would be irresponsible for the Company to ignore real-time developments for the sake of a budget set years in advance.

Q. What common rationales relied on by Staff would you like to discuss?

A. Staff uses the following justifications to reduce the capital and O&M requirements of electric infrastructure projects and programs.

- Use of past budgeted and actual spend as the only indicator for future spend
- Reductions based on historic underspend
- Assumptions that projects can be deferred
- Assumption of viability of non-wires solutions ("NWS") or generators to meet load without studies or analysis

- Recommendations based on uncertainty in estimated project costs
- Rejection or reduction because specific work scopes and timelines not available

Q. Please start by discussing Staff's general reliance on past budgeted and actual spend as proxy for future spend.

A. In many cases, Staff bases a proposed reduction on the amount budgeted and/or actually spent on a program as a guide to what future budgets should be. In some cases, Staff cites a presumed inability for the Company to complete an increased volume of work for a particular program in a given year.

Q. Does the Company agree with this approach to determining future budgets?

A. No. It is arbitrary to propose reductions to a specific program without first evaluating the program and explaining why the proposed reductions are justified in light of the program's activities. Reasoned decision-making requires analysis of the Company's reasons for its funding requests and an explanation, supported by evidence, why those reasons are incorrect or inadequate. Absent that, a

proposal to cut funding based solely on the fact that the Company has not historically reached that spending level is simply a "hair-cut" that may not reflect system needs and is unsupported by the record.

Relying on historic actual spending to forecast future funding ignores the reality of changing economic and operational conditions. Costs are not static and change due to inflation, supply chain disruptions, regulatory requirements and system conditions. For example, recent years have seen significant increases in labor costs driven by wage inflation and skilled workforce shortages. Similarly, the cost of materials such as transformers and conductors have risen sharply due to global supply constraints and increased demand. Historical spending does not always capture what will be required in the future. Finally, the volume of work conducted in the past may be based on a variety of factors and should not be interpreted as a limiting factor to what the Company is capable of achieving in the future.

Q. Do you any other concerns related to Staff's use of historical spend to determine future budgets?

A. Yes. Staff switches between using a three-year historic average and a five-year historical average, often without justifying why it used one over the other. This is particularly concerning for the five-year average because two of the years in the five-year average were impacted by the COVID pandemic. Because Staff often relies solely on historic spending as the basis for a proposed reduction, it fails to address the Company's justifications, and the reliability and resilience impacts that could result from Staff's proposed reductions. This results in Staff making conclusory and unsupported proposals.

In summary, sole reliance on historic spending without additional context is arbitrary and unreasonable. The Company believes that projected future needs for capital investment should be considered on their merit and in light of a changing energy landscape and increased demand for resiliency. The Company has provided detailed information on the work it is forecasting for these programs in its initial testimony and white papers, and that information is unrefuted by Staff's cuts based on historic numbers.

Q. Please continue by discussing Staff's proposed reductions based on historic underspend.

A. In many cases, Staff bases a proposed adjustment on differences between the Company's historic budgets and its actual historic spending. In particular, Staff identifies instances when the Company did not spend its entire budget and argues that the actual historic spending supports a reduction in the Company's requested funding in this rate case.

Q. And you disagree with this reasoning?

A. Yes. Staff fails to recognize that while the Company develops budgets based on established procedures, real world events may intervene and require the Company to adjust its actual spending. Staff's focus on historic underspend does not consider why underspending occurred. For example, in 2020, a powerful Nor'easter passed through Con Edison's service territory causing considerable damage to the distribution system and requiring significant unplanned capital investment. The Company reallocated resources (and the associated funds) from a number of planned projects and programs to cover these repairs. In 2024, the Company had to shift spending priorities and redirect support toward New Business and equipment purchases in order to provide service to customers. The

fact that the Company must run its business in real-time and adjust to changing conditions and new facts is not a sufficient or reasonable basis to reduce the Company's funding requests. Further, just because funds had to be reallocated to support a higher priority, as discussed above, does not mean that the original intended project or program was not important or that it does not represent a higher priority today. In summary, the Company's rate case funding requests are forward-looking and necessary to carry out the plans and initiatives discussed in its initial and update testimony. Looking at past budgets and spending is not probative of whether the Company's funding requests are correctly calibrated for the future work discussed in its initial testimony.

Q. Please now discuss Staff's general approach when recommending deferral of a project.

A. In relation to some projects, Staff recommends deferral of the investment any number of years. While in most cases Staff provides their specific rationale for a deferral, many times it fails to analyze or consider the risks associated with such deferrals.

Q. Do you agree with this approach?

A. No. Delaying necessary investments can put added stress on the system, increase the chance of equipment issues, create safety concerns, and reduce service reliability. The Company has provided detailed information on both why a project is needed and why the specific in-service date is required in its initial and update testimony and white papers. This information includes the risks if these projects are not completed within the planned timeframe.

Q. Do some of Staff's suggested deferrals also include NWS projects?

A. Yes, in some cases Staff recommends NWS projects as a means to defer projects. This generally takes the form of non-traditional customer-side solutions.

Q. Do you agree with this approach?

A. In general, Con Edison is supportive of using NWS projects to defer traditional infrastructure investment when it can deliver positive outcomes to customers and the electric system. However, the Company does not agree with Staff's approach to suggest NWS projects as a deferral option without the required analysis and determination that an NWS project is indeed a feasible solution. This analysis includes a feasibility assessment of potential customer-

sided solutions, a competitive market solicitation and a benefit cost analysis to determine if the Company can assemble an NWS portfolio that passes a societal cost test. Con Edison will continue to incorporate NWS projects into its planning process, using the published NWS Suitability Criteria. For the specific projects that Staff proposes an NWS for, the Company has not identified any feasible NWS programs at this time.

Q. Please discuss Staff's recommendations based on uncertainty in estimated project costs.

A. In some cases, Staff proposed reductions based on cost estimate uncertainty—such as citing other "similar" projects or lower historical estimates.

Q. Do you agree with this approach?

A. In part. The Company agrees that in some cases past projects are similar enough that information on approach, scope, cost, etc. are helpful in developing initial estimates, which are then refined as engineering and design activities are completed. However, Staff's approach relies too heavily on this and ignores the specifics of current projects and programs. Further, Staff's analysis does not include a full consideration of changes based on issues

such as recent cost pressures from inflation, equipment shortages, supply chain issues, or policy changes that have driven up expenses and make the cost of past projects less reliable as a guide for future projects. Further, leveraging contingency is a common and accepted practice to address cost uncertainty. Any challenges with providing precise estimates for a project or program does not negate the underlying need and should not be an automatic justification for reducing funding.

Q. Please continue by discussing Staff's suggested rejections or reduction in funding based on the level of detail in work scopes and timelines.

A. In some cases, Staff cites that scopes and plans for projects or programs lack a desired level of specificity, particularly in later years, and therefore the project or program, or some portion of it, should not be funded.

Q. Do you agree with this approach to determining the appropriate budget for a project or program.

A. No, in some cases it is impossible to precisely identify the scope and timing of aspects of projects or programs, especially in later years. Myriad factors, including outage schedules, changing conditions on the grid, opportunities

to bundle work in specific locations, etc., can all impact the scope and schedule of a project or program. Similar to recommendations based on uncertainty in cost estimates, the level of specificity of scope and schedule for a project or program is not a proxy for the degree of underlying need and should not be an automatic justification for reducing or rejecting funding.

Q. Does this conclude your discussion on some of the common rationale used by Staff?

A. Yes, thank you. We will now move on to discussion of specific investments, beginning by discussing T&D capital investments.

II. Electric Transmission & Distribution (T&D) Capital, Operations & Maintenance (O&M) and Staffing Requirements

A. T&D Capital Requirements

1. System Expansion & New Business Capital Expenditure Requirements

Q. Has the Company reviewed Staff's proposed funding levels for the System Expansion & New Business Capital Expenditure projects and programs that are presented in the Company's initial and update testimony?

A. Yes.

Q. What are the total reductions proposed by Staff?

A. Staff proposes total reductions of $160.25 million in RY1, $259.23 million in RY2, and $335.74 million in RY3.

Q. Does the Company agree with Staff's proposed reductions?

A. No. The Company will explain why Staff's proposed cuts to individual capital projects and programs are unreasonable.

Amtrak PSA-OAK

Q. Does Staff agree with the Company's approach for addressing the Amtrak PSA-OAK project?

A. Yes, partially. SEIOP agrees with the scope of this project, as well as with the cost estimates, but disagrees with the timing. SEIOP asserts in a recent budget meeting, it was confirmed that the property which Amtrak procured has certain eviction issues and Amtrak is looking for a new location and property. Since Amtrak has not yet found the required property, SEIOP recommends pushing back the funding by at least one year.

Q. Do you agree with this recommendation?

A. No, we do not. Amtrak's difficulties procuring property are known to the Company and were mentioned in the project

white paper included in Exhibit___(EIOP-7). Amtrak has indicated, however, that it supports construction in 2027, and the Company has been supporting Amtrak with 100% design reviews as well as actively working on easements and construction sequencing.

Atlantic Area Substation

Q. Did SEIOP or other DPS Panels recommend any adjustments to the capital requirements for the Atlantic Area Substation project?

A. No.

Q. Did other parties recommend adjustments to the capital funding for this project?

A. Yes. NYC EIP recommends this project as proposed should not be included in the capital budget for this rate proceeding as it is premature due to the uncertainty of offshore wind generation project development.

Q. What is NYC EIP's justification for this recommendation?

A. NYC EIP bases this recommendation on "market hesitancy" in previously planned offshore wind projects evidenced by reports of termination risk for announced offshore wind projects and by the fact that none of the offshore wind

projects that identified the Brooklyn Clean Energy Hub as an interconnection point have filed Construction and Operations Plans. NYC EIP expands that argument to Atlantic saying that, since the Company plans to supply the new Atlantic Area Substation from the Brooklyn Clean Energy Hub, Atlantic would be left without power if the offshore wind projects identified as the major sources of generation for the Brooklyn Clean Energy Hub were significantly delayed. (See also the Company's discussion of the recommendations for the Brooklyn Clean Energy Hub Scalable Reliability Proposal and the Brooklyn Clean Energy Hub (Positions 2S and 2N), below.)

Q. Do you agree with this recommendation?

A. No, we do not. First, the "market hesitancy" that NYC EIP bases its conclusions on is speculation not backed by official changes in the state of New York's policies and legislation mandating the development of offshore wind. Absent an official change in applicable New York state policy or legislation establishing expectations for implementing state policies, Con Edison is obligated to be prepared to interconnect the proposed offshore wind generation projects, and, given the long lead-time to plan,

design, and construct new transmission substations like the Brooklyn Clean Energy Hub, the Company cannot delay critical path activities based on speculation. The primary long-lead time activity for which Con Edison is requesting funding in the rate years is the search for and acquisition of suitable property on which to construct this station. Finding an appropriate location and performing due diligence prior to acquiring property for the station can take significant amounts of time and should not be delayed. Additionally, the Company has a number of projects identified that require the Atlantic Area Substation to provide load relief to the Brownsville Load Area, comprised of Brownsville No.1 and Brownsville No.2 Area Substations, and 138 kV Farragut-Brownsville supply feeders in the 10-yr Long Range Plan. Such projects include a 60 MW load transfer from Brownsville No.1 to Glendale in 2026, the establishment of the new Gateway Park Area Substation in 2028, and a 120 MW load transfer from Brownsville No.1 to Gateway Park via a network split of the Crown Heights network to form the new Kings Plaza network. As load demand continues to increase in the Brownsville Load Area, the 138 kV Farragut-Brownsville supply feeders require load relief

(load surpassing capability) in 2035, and the Brownsville No.2 Area Substation requires load relief beginning in 2036. To address the load relief needs, load will be transferred out of the Brownsville Load Area to the new Atlantic Area Substation, via a network split of the Richmond Hill network to form the new Ozone Park network, de-loading both the 138 kV Farragut-Brownsville 138 kV supply feeders and the Brownsville No.2 Area Substation.

Brooklyn Clean Energy Hub Scalable Reliability Proposal

Q. Does SEIOP or any other DPS Panel recommend adjustments to the capital requirements for this project?

A. No.

Q. Do any other parties have recommendations related to this project?

A. NYC EIP states it is concerned that the expenditures for the Brooklyn Clean Energy Hub and related projects, particularly the $162 million for the Brooklyn Clean Energy Hub Projects Scalable Reliability Proposal in 2026, appear excessive and untimely given the present state of offshore wind development into New York City. While NYC EIP supports

the offshore wind program and submits it is a necessary tool in the decarbonization of New York, NYC EIP states it believes, "…that the timing as outlined in the Company's filing is not warranted. Known offshore wind projects have experienced delays and there is added hesitancy within the market."

Q. What does NYC EIP base this conclusion on?

A. NYC EIP states there have yet to be any posted project Construction and Operations Plan submissions that identify the Brooklyn Clean Energy Hub as a point of interconnection. It asserts an overwhelmingly large percentage of the projects that the Brooklyn Clean Energy Hub is being built to support are either significantly delayed or have been cancelled. NYC EIP points to a study by Aurora Energy research, that it says determined 32 GW of the planned Atlantic offshore wind projects are at high risk of termination. It also states while the administration and New York have agreed to move forward with the Empire Wind 1 wind project, this is only one of many such projects that may be in jeopardy. NYC EIP says combined with this market hesitancy, spending substantial ratepayer funds for something that cannot be fully used

until a much later date would not be prudent at this juncture given the magnitude of the Company's rate increase request.

Q. Do you agree with NYC EIPs concerns?

A. No, we do not. First, the "market hesitancy" that NYC EIP bases their conclusions on is speculation not backed by official changes in the state of New York's policies and legislation mandating the development of offshore wind. Absent an official change in applicable New York state policy or legislation establishing expectations for implementing state policies, Con Edison is obligated to be prepared to interconnect the proposed offshore wind generation projects, and, given the long lead-time to plan, design and construct new transmission substations like the Brooklyn Clean Energy Hub, the Company cannot delay critical path activities based on speculation. In Staff's response to a Company interrogatory (CECONY 6-74), SEIOP states that, "At this time, the Panel is not aware of any proposed changes to state policies regarding OSW." Secondly, the justification for the Brooklyn Clean Energy Hub is primarily related to reliability needs (as explained in the Company filings in Case 20-E-0197) and secondarily

to potential offshore wind development. Delays in the development of potential offshore wind projects do not cause delays in the reliability requirements that the Brooklyn Clean Energy Hub is designed to address.

Brooklyn Energy Hub (Positions 2S and 2N)

Q. Does Staff recommend any adjustments for Company's Brooklyn Energy Hub (Positions 2S and 2N) project?

A. Yes, SEIOP recommends the Commission reject this project and the capital expenditures associated with it.

Q. Does SEIOP explain its reasoning for its recommendation to reject this project?

A. Yes. SEIOP asserts three reasons for rejecting this project. First, SEIOP opines that because 50 percent of the proposed solutions for the New York City Public Policy Transmission Need ("the NYC PPTN") require only one or two Point of Interconnections ("POIs") at Brooklyn Energy Hub it is concerned that the additional POIs requested by the Company under this project could go unused until additional projects are proposed and built.

Q. Do you agree with this assessment?

A. No, we do not. As discussed in our discussion of the Atlantic Area Substation and Brooklyn Clean Energy Center project above, Con Edison is committed to be prepared to interconnect the offshore wind generation proposed under the New York City PPTN.

However, [redacted]

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Q. Please describe SEIOP's next reason for rejecting this project.

A. SEIOP asserts with the recent changes in federal government policy and the slowing down of offshore wind funding, it appears less likely additional POIs will be needed in the near future.

Q. Do you agree?

A. No, we do not. Con Edison is legally obligated to be prepared to interconnect the offshore wind projects developed as result of NYC PPTN. The SEIOP's assertion is absent of specific, credible information regarding potential changes in the current need for the project (e.g., changes in state policy, reversal of the NYC PPTN, selection of one of the projects not requiring additional POIs at Brooklyn Clean Energy Hub).

Q. You mention three reasons for SEIOP rejecting this project, please describe the third reason for rejecting this project.

A. SEIOP reasons the Company is seeking funding for the Sunset Park 345 kV transmission substation, which is expected to be in-service by 2034. SEIOP points to the Company's statement in Exhibit___(EIOP-7 UPD) that with additional expansions, the Sunset Park station will be capable of supplying 345 kV connections to expand the Eastern Queens transmission substation as well as offer POIs for renewable resources such as offshore wind. SEIOP claims Sunset Park station's potential to interconnect offshore wind, and its location further south in Brooklyn and closer to The

Narrows, allowing for shorter connections to offshore wind farms, adds to SEIOP's concern and supports its recommendation to the Commission that the additional POIs at the Brooklyn Clean Energy Hub are not necessary at this time, thus the project should be rejected by the Commission.

Q. Do you agree with this assessment?

A. No, we do not. In order for Sunset Park to be used to support offshore wind interconnections instead of Brooklyn Clean Energy Hub, a number of evaluations would have to be completed (e.g., station design changes needed, cost to expand the station, suitability of Sunset Park based on offshore wind developer plans). This change of plans could introduce additional risks to meeting interconnection obligation (e.g., not being a suitable alternative based on developer proposals or time risk).

Q. Do any other parties make recommendations related to the capital requirements for this project?

A. NYC EIP points to the white paper for Brooklyn Energy Hub (Positions 2S and 2N) in Exhibit___(EIOP-7) and Alternative 1. Alternative 1 is to add the two additional 345kV circuit breakers after the station has been energized. The Company

rejected this due to challenges in securing equipment outages. NYC EIP asserts, given the marketplace and offshore wind implementation realities, the delays and issues raised as justifications for this alternative being non-viable may no longer be valid. NYC EIP claims pursuing this alternative would be more prudent, allowing for flexibility if changes or further timing adjustments occur.

Q. Do you agree with NYC EIP's recommendation that pursuing this alternative would be more prudent?

A. No, we do not. Adding the breakers post-energization poses challenges with securing outages and there is no guarantee both breakers can be installed one after another within the outage period. Operationally, it will take longer to install the breakers versus installing them before station energization and would be more costly since, after the station is energized, completing this work is dependent on system outage availability and would require at least two outage windows to complete. These post-in-service requirements to install these breakers would delay their availability for a minimum of several months but possibly up to a year.

Q. What does NYC EIP recommend to address their concerns?

A. NYC EIP claims it would be best to revisit the alternatives proposed by the Company in its testimony to better understand at what point a second ring or full capacity would genuinely be necessary. NYC EIP states based on their review of page 18 through 26 of Exhibit___(EIOP-7), the Company's white paper for the Brooklyn Clean Energy Hub appears to have been created without adjustment for these significant market changes. Accordingly, NYC EIP recommends that the Commission reject the capital investment as proposed and require the Company to revisit its alternative options.

Q. Do you agree with NYC EIP's recommendation?

A. No, we do not. As discussed above in our rebuttal to recommendations to delay Brooklyn Clean Energy Hub, the ability to connect offshore wind generation at Brooklyn Clean Energy Hub is not the only or even the primary justification for the new substation. Similarly, additional breakers at Brooklyn Clean Energy Hub will support existing reliability needs if they are not needed for offshore wind in the proposed timeframe.

Q. Does NYC EIP have any other recommendations for these projects?

A. NYC EIP claims that, due to current market uncertainty and offshore wind development delays, the full build-out of the Brooklyn Clean Energy Hub is likely not needed at this time.

Q. Do you agree?

A. No, we do not. Please refer to our discussion of this same concern in relation to the Atlantic Area Substation and the Brooklyn Clean Energy Hub projects above.

Brownsville Area Load Relief Projects

Q. Do SEIOP or any other DPS Panels recommend adjustments to the capital requirements of the Brownsville Area Load Relief Projects in their testimony?

A. These projects are not discussed in DPS Staff testimony. However, Exhibit SEIOP-2, Schedule 2 shows the Brownsville Area Load Relief – Glendale TR5 and Feeder 38Q05 Extension project being pushed out one year. Exhibit SEIOP-2, Schedule 2 shows a reduction of $6.650 million in RY1, a reduction of $7.650 million in RY2 and a reduction of $45.550 million in RY3.

Q. Does SEIOP provide a rationale for these reductions for the Company's Brownsville Area Load Relief - Glendale TR5 and Feeder 38Q05 Extension project?

A. No, it does not.

Q. Do you agree with this reduction in funding for the Brownsville Area Load Relief - Glendale TR5 and Feeder 38Q05 Extension project?

A. No, we do not. Although SEIOP does not provide any discussion of its recommendation for this project or the reasons why it believes that the project should be deferred a year, the Company does not agree that this project can be deferred.

The need for TR5 at Glendale and the extension of 38Q05 is triggered by the sub transmission feeders feeding the Glendale-Newtown-AMTRAK distribution load pocket reaching the limits of its ratings in 2030. In 2030, this load pocket will reach a demand load of 668 MW versus a capability of 655 MW. This need would have been triggered in 2031 by the substation equipment at Glendale Area Station exceeding its rating independently of the sub transmission feeder overloads in 2030. Therefore, two sets

of different equipment feeding the same load pocket will be relieved by the proposed plan.

Q. Does any other party have any recommendations for the Brownsville Area Load Relief projects?

A. NYC EIP discusses projects linked to load relief in the Brownsville area, specifically it calls out Brownsville Area Load Relief – Establish Gateway Park No. 1, Brownsville Area Load Relief – Glendale TR5 and Feeder 38Q05 Extension, and the Crown Heights Network Split - Brownsville No. 1 to Gateway Park No. 1 projects. NYC EIP's general concern is the accuracy of the load forecast related to electric vehicles and the impact in the Brownsville area.

Q. What concerns are presented in NYC EIP's testimony regarding the forecasts behind the Brownsville Area Load Relief Projects?

A. NYC EIP asserts that "[s]everal projects are linked to load relief in the Brownsville area, predicated on revised forecasts assuming significant EV growth and electric heat adoption." NYC EIP references industry studies which suggest slower EV adoption rates relative to the Company's projections. NYC EIP's testimony references a downward

revision of new vehicle sales from 12% as projected in early 2024 to 9% as projected in mid-2024. More specifically, in citing J.D. Power, "EVs will maintain a 9.1% share through 2025, indicating a plateau". NYC EIP's testimony continues that "[t]his slow down makes the projected overcapacity concerns less immediate." NYC EIP's recommendation is that "[a]side from concrete fleet transition plans of area businesses, work associated with or required due to the Company's unsupported and generalized load growth forecasts should be delayed based on what we have outlined above".

Q. Do you agree with NYC EIP's testimony regarding the Brownsville Area Load Relief Projects?

A. No. We disagree for several reasons. First, for the time frame in question, the Company does not rely solely on industry studies for its network-level EV load projections. Instead, specific customer service requests for new and modified load are the impetus behind projected EV growth. Notably, in the Brownsville Area are two large and noticeable jobs accounting for nearly 1/2 of the area's total EV growth. As such, the EV projections supporting the Company's request for load relief within the Brownsville

Area are far from “unsupported and generalized”. Second, the Company’s customer base benefits from state and city policies that are more supportive of EV adoption and ownership compared to many other parts of the country. As such, we do not see a reason to lower the Brownsville Area EV forecast in favor of national averages which are less accommodating. Moreover, while we did find reference to a J.D. Power projection of “EV growth stagnating in 2025” and “total EV retail share to hold at 9.1% in 2025”, we note that these projections are at the national level. Of greater relevance to the Company’s service territory, a J.D. Power article from February 11, 2025, explicitly mentions New York as 1 of 3 “New EV Hotspots” displaying one of the nation’s “fastest-growing rates of EV adoption.” Third, the primary driver behind the projected growth supporting the request for load relief within the Brownsville Area is driven by traditional (non-EV) new and modified customer service requests. This growth is nearly 2.5 times the projected growth of EVs in the Brownsville Area forecast. Lastly, the assertion that "if this reduction in EV load holds, the 2027 capacity issue could be moved to 2029" is speculative and lacks supporting

analysis. The Company's most recent analysis continues to support the necessity of these projects.

Q. What recommendations does NYC EIP make based on their assumptions?

A. NYC EIP recommends spending for the Brownsville area projects, Brownsville Area Load Relief – Establish Gateway Park No. 1, Brownsville Area Load Relief – Glendale TR5 and Feeder 38Q05 Extension, and the Crown Heights Network Split - Brownsville No. 1 to Gateway Park No. 1 projects, be delayed until 2028.

Q. Do you agree with this recommendation?

A. No, we do not. NYC EIP's recommendation is solely based on their concern over future growth from electric vehicles, a concern which we have already addressed.

Corona No. 1 to Hillside No. 1 Transfer

Q. Does Staff make any recommendation for the Company's Corona No. 1 to Hillside No. 1 Transfer project?

A. Yes, SEIOP recommends delaying the project by one year.

Q. Does SEIOP provide a reason for the proposed delay of the project?

A. Yes, SEIOP points to the Company's alternative on page 76 of Exhibit___(EIOP-7), consisting of non-traditional utility-side and customer-side solutions will provide load relief of about 38 MWs but will not be enough to avoid a forecasted overload of equipment by 2033. However, SEIOP disagrees that 38 MWs will not be enough to avoid the forecasted overload because on page 44 of Exhibit___(EIOP-7 UPD), the forecast shows that the deficit will be 29 MW by 2034 and 44 MW by 2035. SEIOP asserts the 38 MWs of non-traditional utility-side and customer-side solutions would allow the load transfer to be delayed to 2034 and still provide enough time to address the 44 MW deficit projected 2035.

Q. Does the Company agree with SEIOP recommendation to delay this project and address the deficit through non-traditional utility-side and customer-side solutions?

A. No, the Company disagrees with this recommendation. The load transfer from the Corona No. 1 area substation to the new Hillside Substation is operationally required to avoid overloads at Corona No. 1. Due to the extensive amount of work required to complete this load transfer by the 2033 deadline, construction must begin by 2027.

Ed Koch Queensboro Bridge 13kV Riser Replacement

Q. Did Staff make any adjustments to the Company's Ed Koch Queensboro Bridge 13kV Riser Replacement project?

A. Yes, SEIOP recommends rejection of the project.

Q. Please explain SEIOP's reasoning for rejecting this project.

A. SEIOP points to the Company's response to DPS-22-556 which discusses that previous delays were related to work being done on the bridge by NYCDOT. In the same response, the Company indicated NYCDOT had notified it in March of 2025 of a new NYCDOT project on the bridge, but specific details and timelines would not be available until April of 2025. Based on these previous delays and the new project and because the Company did not supplement its response to DPS-22-556 to update the details of the work, it does not support this program.

Q. Do you agree with SEIOP's reasoning for not supporting this project?

A. No, we do not. Based on recent meetings with NYCDOT, Con Edison is confident that access will be provided to the Queensboro Bridge to execute this project within the

planned timeline, with construction beginning in the first quarter of 2026 and completed by the second quarter of 2028. The Company met with NYCDOT leadership and engineering staff on April 25, 2025, to discuss the scheduling of this project in series with the current and planned NYCDOT projects and learned that the NYCDOT project currently in progress (DOT QBB 10) is near completion and anticipated to be complete by the end of 2025. The Company also learned the NYCDOT project referenced in DPS-22-556, is anticipated to begin construction in 2029, after the planned completion of the Company's project. The Company is in the process of finalizing a memorandum of understanding, restrictions, and permits with government agencies. The NYCDOT is on-track to support the planned timeline for this project.

Emergent Load Relief

Q. Does Staff recommend any adjustments for Company's Emergent Load Relief program?

A. Yes. SEIOP recommends reducing funding for all three rates years for the Emergent Load Relief program.

Q. Does SEIOP provide a rationale for this recommendation?

A. SEIOP recommends reducing the funding for this project for two reasons, program work activity trends in recent years and the fact that the Company did not provide specific work plans for the rate years. SEIOP notes the Company three-year historical average spend on this program was $5.688 million and recommends funding at this level for each rate year.

Q. Do you agree with these reasons for reducing program funding?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. Not only did SEIOP fail to provide any support for its recommendation based on evaluation of past program activities and spend, but it also mentioned the actual three-year average (2022-2024) of $5.688 million and "…$3.413 million based on five-year average from 2020 to 2024" making it appear as if the actual spend under this program has been much lower than the Company's proposed funding in the rate years for an extended period. Staff does not, however, include in its testimony the fact that this program did not begin until 2022 and, therefore, the

five-year average includes no spend in the first two of the five years because the program did not exist. SEIOP also states its recommendation is based on the "work activity trends in recent years," again, with no supporting analysis. The work performed under this program reflected in the spend for the first three years of the program – i.e., $1.9 million in 2022, $6.5 million in 2023, and $8.7 million in 2024 – show steadily increasing volumes of work, a trend the Company expects to continue.

SEIOP also justifies the funding recommendation by indicating, "…the Company did not provide any specific work plans under this program, and the work is dependent on projects that may emerge and take priority." The only response that we can give to this statement is, of course, other emergent work could take priority. That is, after all, the purpose of this program, to fund small-scale emergent load relief projects, and while some program work is already being performed under the program in the rate years there is no way for the Company to predict emergent work that will arise. When that happens, the Company will re-evaluate program priorities based on system and customer risks, as it does with all infrastructure projects.

Establish Hillside Area Substation

Q. Does Staff make any recommendations for the Company's Establish Hillside Area Substation project?

A. Yes, SEIOP recommends delaying this project by a year.

Q. Does SEIOP explain the reasons for recommending delaying this project?

A. Yes, SEIOP claims the recommendation of an alternative solution consisting of non-traditional utility-side and customer-side solutions for the Corona No. 1 to Hillside No. 1 transfer and delaying that transfer by a year. SEIOP claims this would delay the need for the construction of the Hillside Area Substation by a year as well since the Corona No. 1 Area Substation is driving the need for the Hillside Area Substation.

Q. Do you agree with SEIOP's recommendation to delay this project?

A. No, we do not. The sole justification for this recommendation is SEIOP's recommendation to delay the Corona No. 1 to Hillside by one year, a recommendation that we also do not agree with (as explained in our discussion of that project, immediately above). That said, this

project also provides additional sub-transmission capacity of 358 MWs to mitigate design deficiencies in the Jamaica load area to meet projected load growth (as identified in the project white paper contained in Exhibit___(EIOP-7 UPD), page 64). The white paper also identifies the need to purchase property in the northeast area of Queens for the new Hillside station, and the project funding requested in RY1 is needed to fund the property search. The process of identifying and purchasing appropriate property for the new station can take an extended amount of time, and the recommended delay introduces additional project risk.

Establish Idlewild Area Substation

Q. Does SEIOP or any other DPS Panel recommend adjustments to the Company's capital requirements for this project?

A. No.

Q. Do other parties make recommendations related to the Idlewild project?

A. Yes. NYC EIP comments on the Company's plan to build this new area substation.

Q. What does NYC EIP recommend for the Company's Establish Idlewild Area Substation project?

A. NYC EIP asserts its review of this project concludes that Con Edison is "over building" the required substation.

Q. Does NYC EIP provide any reasoning for this assertion?

A. No, it does not.

Q. What does NYC EIP recommend based on this unsupported finding?

A. NYC EIP recommends Con Edison review its required substation equipment for cost-effectiveness and plan for the appropriate amount of equipment needed in the identified timelines. NYC EIP claims future expansion can still be an option, but providing more equipment than is realistically needed is not an appropriate use of funds.

Q. Do you agree with this recommendation?

A. No, we do not. The Idlewild Area Substation has been appropriately designed to address future accelerated load growth, especially in areas related to electrification. The substation has been designed to offer resiliency to the Jamaica network, which is the largest network in terms of geography and load served on the Con Edison system, as well as reliably serve critical customers such as JFK International Airport and the MTA, where loads could potentially increase in addition to growing electrification

accelerated by EV adoption demand. Constructing the substation initially on a smaller scale does not allow adequate support of scheduled maintenance outages without compromising reliability. The Company's proposal to build the substation with four transformers meets required design standards while supporting future load transfers and growth.

Establish Nevins Street Area Substation

Q. Does Staff make any recommendations for the Company's Establish Nevins Street Area Substation project?

A. Yes, SEIOP recommends adjusting the number of transformers built in the initial build of this project.

Q. Does SEIOP provide a reason for reducing the number of transformers built in the initial build of this project?

A. Yes, SEIOP states, because the Company indicated in the EIOP Update testimony the Greenwood to Nevins Street Transfer project is no longer going to occur, only the Water Street Area Substation will be de-loaded, and the Nevins Street Area Substation will only have approximately 140 MW of load until another load transfer occurs, while

the station will have a capability for 358 MW of load in the initial project scope. SEIOP points to page 24 of Exhibit___(EIOP-7 UPD), where the Company states that the Plymouth Street Area Substation will need a load transfer in 2039. SEIOP reasons that means the station will not need to accept this amount of load until 2039.

Q. Do you agree with SEIOP's assessment?

A. No, we do not. An initial build of two transformers at the Nevins Street Substation would be in violation of reliability design criteria and would cause an increase in the probability of loss of load. SEIOP's proposal would create a condition where the substation would be incapable of supplying a proposed 140 MW load transfer, required for Water Street Area Substation load relief, while meeting reliability. On an N-1 contingency basis, the substation's summer capability would be 122 MW and cannot support scheduled maintenance outages without compromising reliability. Additionally, the Company also anticipates the possibility of higher loads as the network areas served by the substation has the potential to encounter accelerated electric vehicle adoption demand and propose building the substation to be prepared to handle the additional demand

ahead of time. The Company's proposal to build the substation with four transformers meets required design standards while supporting future load transfers and growth.

Fox Hills 33kV – 4th Transformer & 138kV Supply Feeder

Q. Does Staff make any recommendations for the Company's Fox Hills 33kV – 4th Transformer & 138kV Supply Feeder project?

A. Yes, the SEIOP recommends the Commission reduce the Company's funding request by 17.08 percent.

Q. Does SEIOP provide a reason for these reductions?

A. Yes, SEIOP states the table on page 144 of Exhibit___(EIOP-7) shows a total spend of $32.336 million but in two other sections of the white paper for this project show $39 million. In the Company's response to DPS-39-870 the Company explained the reason for the discrepancy was due to the uncertainty with the estimates. SEIOP states the table on page 144 of the Exhibit already includes a contingency amount of 30 percent. SEIOP determined the difference between the $39 million and the $32.34 million was 17.08

percent and applied a 17.08 percent reduction to each rate year.

Q. Do you agree with SEIOP's reasoning?

A. No, we do not. As discussed in section I of our rebuttal testimony, while the Company acknowledges that historical project data can be useful for initial estimates, SEIOP's approach fails to consider the specific risks and current cost pressures facing today's projects, such as inflation, equipment shortages, supply chain disruptions, and policy shifts. Applying blanket reductions based on prior figures overlooks the evolving scope of the Fox Hills 33kV substation project. As noted in Exhibit EIOP-7 (p. 143), if action is not taken to resolve the anticipated capacity constraints, there is a serious risk of equipment overload, customer outages, and increased failure during peak load periods. Leveraging contingency is a standard and prudent approach to managing estimate uncertainty, and reducing funding based solely on cost variance assumptions ignores the critical need for this investment.

Grasslands Fourth Transformer with 138kV Supply Feeder

Q. Does Staff make any recommendations related to the Company's Grasslands Fourth Transformer with 138kV Supply Feeder project?

A. Yes, SEIOP recommends adjustments of $3 million in RY2, and $4 million in RY3, resulting in no budget in RY2 and a budget of $3 million in RY3.

Q. Did SEIOP provide a reason for these reductions?

A. Yes, SEIOP states that based the timeline, provided in Exhibit___(EIOP-7 UPD), page 98, the initial phases of the project, specifically the authorization and pre-planning phases, are scheduled to commence in the fourth quarter of 2028.

Q. Do you agree with SEIOP's reasoning?

A. No, we do not. The schedule included in the white paper for this project was high-level and general based on typical project progression for this type of work and will be refined once more of the conceptual design is complete. Funding is needed in 2027 to begin procurement of the long-lead equipment, especially the transformer.

Millwood West Third Transformer with 138kV Supply Feeder

Q. Does Staff make any recommendation for the Company's Millwood West Third Transformer with 138kV Supply Feeder project?

A. Yes, SEIOP does not support this project and recommends no funding in the rate years. SEIOP recommends deferring the in-service date for this project from 2031 to 2032 and compressing the time available to execute the project by not starting work until 2029.

Q. Does SEIOP provide a reason for not supporting this project?

A. Yes, SEIOP states the Company indicated on page 139 of Exhibit___(EIOP-7) one alternative was for the Company to set up and run mobile generators in the area during peak load periods. SEIOP indicates it does not support this project due to the availability of using mobile generators during any peak load periods that may occur in this area.

Q. Do you agree with SEIOP's rationale for eliminating this project?

A. No, we do not support this rationale for multiple reasons. First, deploying mobile generators is typically an

emergency measure and not intended for a long-term load relief solution. In Staff's response to an interrogatory from the Company (CECONY 6-64), Staff equates the recommended use of mobile emergency generators to provide the load relief this project is designed to provide with the use of mobile emergency generators under the Company's peak load emergency switching procedures. Based on the current load forecast, the Company would be depending on mobile generators until 2031 with technicians monitoring, maintaining and operating the generators, making extended use impractical. Staff's recommendation represents a misapplication of *emergency* generation as a semi-permanent plan for addressing load constraints. Additionally, mobile generators generate noise and emissions, which can impact the neighborhoods where they are located, and, based on the Company's initial review, these mobile generators would need to be placed in or adjacent to disadvantaged communities.

We also do not agree with Staff's recommendations to both delay the in-service date for this project and to compress the time available to execute this project by delaying the project start date from 2026 to 2029. As identified in

Company testimony and exhibits, engineering design and procurement of long-lead equipment is to begin for this project in 2026. Delays in these activities introduce additional project risk – by creating a situation where a need has been identified and a project to address the need has not begun - particularly in light of the long lead times for transformers that the Company has discussed throughout our testimony and exhibits and in response to interrogatories. Further, the rationale that Staff provided in their response to CECONY-6-64 for delaying the project in-service date, "to provide time to determine if the load forecasts are accurate and materialize" makes no sense since the forecasted load growth could materialize *earlier*. Both of Staff's recommendations add risk to this project and to the Company's ability to address future customer and system needs with confidence.

Q. Do you have any other concerns with Staff's proposal?

A. Yes, SEIOP proposes the Company use emergency generators during peak loads to address known load constraints, reducing the number of available emergency generators at a time they are more likely to be needed for actual emergencies. Yet, ironically, the Staff Shared Services

Panel recommends to significantly reduce the Company's proposal to replace its aging fleet of higher emission generators with cleaner more efficient generators. The Company's Shared Services Panel proposed to purchase four generators in 2026, five in 2027, and five in 2028. The Staff Shared Services Panel recommends no new generators in 2026 and three in 2027 and three in 2028. The Company's Shared Services Panel addresses this recommendation in its rebuttal testimony.

Network Transformer Relief

Q. Does Staff recommend any adjustments for Company's Network Transformer Relief program?

A. Yes, SEIOP recommends reductions to this program for all three rate years.

Q. Does SEIOP provide a reason for these reductions.

A. Yes, SEIOP claims in the whitepaper for the program, pages 175 through 180 of Exhibit___(EIOP-7), the Company states "the forecasted units and costs are based off actuals from years 2021-2023." SEIOP states based on the tables showing the historical actual and forecasted number of relief projects, found on page 176 of Exhibit___(EIOP-7), the

forecasted units are considerably higher for two categories of relief projects. Specifically, on average, the Company annually completed 38 projects replacing an existing transformer with a larger one, and eight projects establishing a new vault and installing a new transformer from 2021 through 2023, while forecasting approximately 71 and 24 projects during the rate years, respectively. Based on this, SEIOP recommends a budget that reflects the average of the program's five-year historical actual expenditures.

Q. Do you agree with SEIOP's reasoning for these reductions?

A. No, we do not. SEIOP used a single statement in the program white paper (the quote included in its testimony) to justify its recommended reductions but ignored other information provided in the white paper and in the Company's response to DPS-22-560 that provided support for the forecasted future program costs, such as the statement in the Company's white paper that it escalated costs 4% beginning in 2026 to reflect union contract increases and the response in DPS-22-560 that says future plans for replacements were increased for 2026-2028 to reflect anticipated load growth from electrification.

As explained in the white paper, planning for work to be targeted under this program is conducted each year to address predicted equipment overloads prior to summer peaks. Given the expectation for continued load growth, historical actual equipment overload levels (driving replacements) do not constitute a reasonable proxy for future needs.

Q. Were there any recommendations from other parties for this program?

A. NYC EIP expressed concern with the Company’s Network Transformer Relief program. NYC EIP states it is concerned with the Network Transformer Relief program budget. NYC EIP states for this project, there's a large discrepancy between 2025 expenditures and costs proposed for the Rate Years. NYC EIP states the 2026 total capital budget is 2.37 times the 2025 budget, while the number of transformers addressed is only 1.088 times greater. It states this causes a unit cost per generic transformer on average to increase from about $88,000 per unit to over $193,000 per unit, with no explanation for this marked increase. NYC EIP asserts assuming 2025 costs for the remaining rate case years could greatly reduce this project's cost.

Q. Do you agree with this concern of NYC EIP?

A. No. The white paper in Exhibit___(EIOP-7) for this program has an error on page 176, the units of work to be completed in 2025 was incorrect. The units shown in the table for 2025 on page 176 were based on a forecasted budget of $19.02 million. However, when the budget was amended to $8.0 million the number of units was not updated. If the same math is done for 2024 (i.e., the forecasted spend is divided by the total number of transformers), the unit cost is approximately $225,000 per replacement.

New Business Capital

Q. Was funding for this program recently requested in the Proactive Planning Urgent Upgrade proceeding (Case 24-E-0364)?

A. Yes, the Company sought an increase in funding for this program in 2025 to support significant increases in new business activity in 2025.

Q. What was the outcome of that funding request?

A. In the June 12, 2025 Order in that proceeding, the Commission did not authorize additional funding in the current rate plan for this program, but found value in the

program as designed stating that, "[w]hile the Commission understands the need to properly fund this work and appreciates the effort and thought in the program design, the Commission does not authorize this proposal and encourages Con Edison to revisit the concept in a rate case."

Q. Did Staff recommend any changes to the New Business Capital program?

A. Yes, SEIOP proposes cutting the funding for this program in all three rate years.

Q. Does SEIOP provide a rationale for these reductions?

A. Yes, SEIOP points to the Company's response to DPS-22-563 that responds to a question that asks about the impact Local Law 97 and NYC's recent ban on new natural gas hookups will have on the number and unit cost of service installations. In that response the Company indicates the unit cost of service installations may increase because larger services and more street reinforcement is possible due to additional loads for fully electric buildings. SEIOP asserts that because the Company said "may" and did not provide additional supporting justifications, the proposed increase is not justified.

Q. Do you agree with SEIOP's reasons for reducing the funding for the New Business Capital program?

A. No, we do not agree with SEIOP's reasoning. While SEIOP questions the justification for increased funding based on the Company's statement that costs "may" increase, this overlooks clear trends in rising electric demand tied to electrification of heating in new buildings. As these buildings come online, Con Edison is seeing a 20–25% increase in electric demand requests, which directly impacts the scale and complexity of service installations. According to EOP-5200, the Company's engineering guidelines, electrification adds approximately 25% to load estimates for new business jobs. For many commercial properties, electrification significantly increases load requirements, particularly when electric heating is added. This added demand requires corresponding infrastructure upgrades to maintain safe and reliable service.

Q. How did SEIOP determine the fundings for each rate year for the New Business Capital program?

A. SEIOP states it used the unit costs provided in the Company's response to DPS-22-563, specifically SEIOP used

213 major projects at a unit cost of $566,859 and 1,910 retail projects at a unit cost of $60,085.

Q. Do you agree with this method to determine the annual funding for the Company's New Business Capital program?

A. No, we do not. The Company does not use the 3-yr average method requested for the New Business planning process because it fails to adequately factor in growth trending. In addition, the average completion cost method does not adequately address Major Projects because of the high variability in cost differences between projects. Further, the Company reviewed the 2024 and 2025 January-March actual costs for this program and found that the forecasted numbers presented in the Exhibit___(EIOP-7) on page 324 were substantially less than actual spend. As per the Company's 2024 Capital Expenditures report filed in the current Rate Plan (22-E-0064) on February 28, 2025, the actual spend in 2024 was $100.209 million more than the $177.600 million forecast for 2024 shown in Exhibit___(EIOP-7), totaling $277.809 million. In addition, as per the Company's First Quarter Capital Expenditure Report for 2025, also filed in 22-E-0064 on May 15, 2025, the Company has spent $67.200 million January – March 2025,

if the spend stays consistent the Company will spend $268.800 million in 2025 on New Business. This reinforces the Company's position that forecasting the New Business budget is far from an exact science, and it needs this project funded to the original request along with the New Business upward reconciliation mechanism we discuss later. Together, both allow for a reasonable methodology for managing a program with a high degree of variability, that is beyond the Company's control, while avoiding the need to reallocate funding from other important projects to cover unanticipated additional costs.

Q. Did any other parties recommend adjustments to the New Business Capital program funding?

A. NYC EIP states that the Business Capital program increased by approximately 6 percent between 2020 and 2024 and then increases by 40 percent between 2024 and 2025 and then flattens out. NYC EIP asserts that the initial increase from 2024 to 2025 seems unwarranted and should be adjusted.

Q. Do you agree with is this recommendation?

A. No, we do not. The forecasts for 2024 and 2025 in Exhibit___(EIOP-7) on page 324 were very conservative in nature. As we just discussed, the actual spend for 2024 was

$277.809 million and from January through March 2025 the Company has spent $67.200 million, if the spend stays consistent, the Company expects to spend $268.800 million in 2025 on New Business projects.

Non-Network Feeder Relief (Open Wire)

Q. Does Staff recommend any adjustments for Company's Non-Network Feeder Relief program?

A. Yes, SEIOP recommends the funding for this project be reduced in all three rate years to the actual average program spend over the past five years (2020 to 2024) and work activity trends in recent years.

Q. Do you agree?

A. No, we do not. As discussed earlier in this testimony, relying on historic actual spending to forecast future funding ignores the reality of changing economic and operational conditions. Further, SEIOP does not elaborate on the work activity trends used to derive its recommendation. In fact, it ignores the load growth and increasing labor rates and material costs described in the Company's Non-Network Feeder Relief (Open Wire) white paper that begins on pages 181 of Exhibit___(EIOP-7).

Ossining West to Millwood West Transfer

Q. Does Staff make any recommendations for the Company's Ossining West to Millwood West Transfer project?

A. Yes, SEIOP does not support this project at this time and recommends the Commission allow no funding for this project in any of the rate years. SEIOP recommends deferring the in-service date for this project for one year and compressing the time available to execute the project by not starting work until 2029.

Q. Does SEIOP explain their reason for eliminating this project?

A. SEIOP uses the same reasoning for eliminating the Millwood West Install Third Transformer with its 138kV Supply Feeder project, mobile generators, when needed, can provide the support Ossining West needs to run efficiently. SEIOP reasons, if Ossining West can supplement peak periods with mobile generators for a few years, then Millwood West will also benefit and not need expansion work for the Ossining west load transfer.

Q. Did the Company specifically reject this alternative?

A. Yes, it did. While the Company identified one alternative to the Ossining West to Millwood West Transfer project as setting up and running mobile generators in this area during peak load periods; it also indicated diesel generators pose an environmental hazard and do not support the Company's goals of delivering clean reliable energy to its customers.

Q. Does SEIOP address this concern in recommending no funding for this project and using the alternative the Company rejected?

A. No, it does not.

Q. Do you agree with SEIOP's recommendation for the Company's Ossining West to Millwood West Transfer project?

A. No, we do not. The Company does not support Staff's recommendation, as relying on mobile diesel generators to supplement load deficiencies should be considered only as a last resort. In Staff's response to an interrogatory from the Company (CECONY 6-65), Staff equates the recommended use of mobile emergency generators to provide the load relief this project is designed to provide with the use of mobile emergency generators under the Company's peak load emergency switching procedures. The Company believes,

however, that Staff's recommendation represents a misapplication of *emergency* generation as a semi-permanent plan for addressing load constraints.

These generators also present significant logistical and operations challenges, particularly during high load events when it is difficult to proactively plan for all contingencies. In some cases, the demand for generator support may exceed the available supply, increasing the risk of equipment overload. Additionally, mobile generator setups require large staging areas that often encroach upon nearby residential neighborhoods, many of which may be disadvantaged communities. As mentioned earlier in our discussion on the Millwood West Third Transformer with 138kV Supply Feeder project, based on the Company's initial review, these mobile generators would need to be placed in or adjacent to disadvantaged communities.

We also do not agree with Staff's recommendations to both delay the in-service date for this project and to compress the time available to execute this project by delaying the project start date from 2026 to 2029. As identified in Company testimony and exhibits, engineering design and procurement of the required permits for railroad and

highway crossings is to begin for this project in 2026. Delays in these activities introduce additional project risk – by essentially creating a situation where a need has been identified but a project to address the need has not begun - particularly in light of the long lead times needed to obtain crossing permits (as discussed in the Company's rebuttal testimony, white papers and responses to interrogatories relative to delays in past projects such as for the Ed Koch Queensboro Bridge 13kV Riser Replacement and projects under the Primary Cable Crossings Program). Further, the rationale that Staff provided in its response to CECONY-6-65 for delaying the project in-service date, "to provide time to determine if the load forecasts are accurate and materialize" makes no sense since the forecasted load growth could materialize *earlier*. Both of Staff's recommendations add risk to this project and to the Company's ability to address needs with confidence.

Q. Do you have any other concerns with Staff's proposal?

A. Yes, as we discussed related to Staff's recommendation for Mill future customer and system n wood West Third Transformer with 138kV Supply Feeder, while SEIOP proposes the Company use emergency generators during peak loads,

reducing the number of available emergency generators at a time they are more likely to be needed, the Staff Shared Services Panel recommended to significantly reduce the Company's proposal to replace its aging fleet of higher emission generators for cleaner more efficient generators.

Parkchester Area Projects

Q. Does SEIOP or any of the DPS Panels make recommendations about any of the Parkchester Area projects?

A. No.

Q. Does NYC EIP have any recommendations for the Parkchester Area projects?

A. Yes. NYC EIP discusses projects linked to load relief in the Parkchester area, specifically it calls out the Parkchester No. 1 5th Transformer 9S and Supply Feeder 38X05, Parkchester No. 2 TR13 & B/S 13A & 13B Installation, and Parkchester No. 2 Upgrade Limiting Bus Sections project. NYC EIP's general concern is the timing of the load forecast in the Parkchester area.

Q. Do you agree with any of NYC EIP's concerns about the need for the Parkchester area projects based on the timing of the load forecasts?

A. Partially. As discussed in our update testimony, based on the latest load forecast for this area, the Company has removed the Parkchester No. 2 Upgrade Limiting Bus Sections project.

Q. What are NYC EIP's concerns related to the load forecast in the Parkchester area?

A. NYC EIP points to data provided by Con Edison that shows exceedance of capacity does not occur until 2030. NYC EIP also questions why the load adjustments peak at 16 MW in 2028 and then are reduced after 2028.

Q. Please explain the reason for the reduced load adjustments.

A. It appears NYC EIP is pointing to the tables on page 190 and 191 of Exhibit___(EIOP-7) in the white paper for the Parkchester No. 1 5th Transformer 9S and Supply Feeder 38X05, but NYC EIP only points to the exhibit and does not provide a page number or specific project. The tables on page 190 and 191 of Exhibit___(EIOP-7) show the capability of Parkchester No. 1 before the project and after the project. The "Other Adjustments" line shows Photovoltaic, Distributed Generation, Battery Energy Storage Systems, Programmatic Energy Efficiency, Organic Energy Efficiency, Demand Response reduction modifiers and Climate Change

Adjustment load (adder) modifier. The Company's Forecast of the "Other Adjustments" line drops in these tables from 2028 to 2030 because the positive load impact from the Climate Change Modifier offsets the Programmatic and Organic Energy Efficiency reduction modifiers resulting in a 3 MW change from –16 in 2028 to –13 MW in 2030. Said differently, in this timespan, the estimated load reductions from energy efficiency programs increase (i.e., have a greater negative impact on load), but estimates of climate change impacts on load (from increasing temperatures, etc.) are larger than the energy efficiency gains and result in a decrease in the Other Adjustment modifier.

Q. What does NYC EIP suggest for this project?

A. NYC EIP claims if this "Other Adjustments" held steady, i.e., remained -16, it is their opinion that the Parkchester Area projects could be delayed by up to two years, deferring project costs in 2026 through 2028.

Q. Do you agree with this assertion?

A. No, we do not. Regardless of the 3 MW change in the "Other Adjustments" the deterministic load relief need date remains unchanged from 2030. As mentioned in the white

paper, the target completion date for the project is 2029 which is reflected by cash flows.

Primary Cable Crossings

Q. Next, please describe Staff's recommendations for the Company's Primary Cable Crossings program.

A. SEIOP basically rejected this program and only provided funding for studies for the Flushing Network crossings and to cover the cost of cleanup and final contractor payments for the Yorkville Network crossing in 2026.

Q. Did SEIOP provide a justification for this significant funding reduction?

A. SEIOP states because of the Company's lack of project estimates for most of the identified cable crossing, and a lack of a project schedule for the Riverdale Network Crossings Staff is reducing the funding for this program.

Q. Did SEIOP include additional details on why it basically rejected this important program?

A. Yes. SEIOP points to several issues it identified related to this program. First, SEIOP states in its review of the program's whitepaper, it found that eight of the primary cable crossings identified by the Company were also

identified by the Company in its previous electric rate filing, Case 22-E-0064. Next SEIOP points to Con Edison's response to DPS-27-663, and says it found that only the Riverdale Network Crossing, which includes three identified crossings, had a project estimate, but no project schedule was provided as it is contingent on approvals from outside agencies, including the City of New York and Metro-North, by December of 2025.

Q. Do you agree with this reasoning?

A. No. First, SEIOP's finding that eight of the crossings included in the white paper for this program were also included in the Company's previous electric rate filing (Case 22-E-0064) should have no bearing on this case since most electric infrastructure projects are multi-year projects, and project timelines can easily span multiple rate filing periods depending on when each project is initiated. Next, SEIOP asserts that no project schedule was provided for the Riverdale Network Crossing as requested by DPS-27-663, but a detailed schedule for Riverdale was provided (in Gantt chart format) as DPS-27-663-Attachment 1 as identified in the main body of the Company's response to question 1.a of DPS-27-663. The eight Riverdale Network

feeders supply approximately 67% of the Riverdale Network and Autoloop load and are at high risk of failure given the age of the cables - six of the eight feeders were installed in 1946 (almost 80 years ago), and one was installed over 100 years ago. Additionally, should failures occur on these feeders in the future, outages could be extended since most of the spare legs have already been used to repair previous feeder failures.

Q. Does SEIOP include any additional reasoning for these reductions?

A. Yes, SEIOP also points to the Company response to DPS-27-663 and states while the Flushing Network Crossings, which includes five identified crossings, did not have an actual project estimate, the Company did state that it is planning to perform studies that are estimated to range from $2.0 million in RY1 to $3.0 million in RY3. Additionally, SEIOP states the response to DPS-27-663 provides a table of historical budgets and actual spending, which shows that the Company underspent its budget every year from 2020 through 2023, although it overspent its budget in 2024. Specially, the Company overspent by approximately $5.5 million in 2024, while underspending by approximately $12.4

million, $9.1 million, $5.1 million, and $33.4 million in 2020, 2021, 2022, and 2023, respectively.

Q. Do you agree that the SEIOP's reasons justify the significant reductions to this program?

A. No, we do not. We need to recognize the unique and complex nature of these projects. Each crossing, particularly those involving bridges or facilities such as highways, requires extensive multi-year engineering studies. These studies are not only time-intensive but also critical to ensuring safety, reliability, and regulatory compliance. These projects demand permissions from and close coordination with multiple governmental entities, including New York City and State Departments of Transportation, the Metropolitan Transportation Authority, and various permitting agencies. This coordination process often spans several years and involves detailed reviews, environmental assessments, and public engagement. Before any construction can start, comprehensive studies must be submitted and approved by the relevant authorities, and these approvals are prerequisites that cannot be bypassed or expedited. The extensive amount of time that can be involved in gaining alignment with and approval from all the external agencies

and other stakeholders involved in these projects can cause the start of planned construction work to be delayed and result in significant underspend of project budgets, as observed by SEIOP when reviewing the budgeted versus actual spend from 2020 to 2023. Additionally, in 2023, the introduction of the New York City Revocable Consent requirement was introduced, halting many of the efforts associated with this program.

The planned expenditures ranging from $2.0 million in RY1 to $3.0 million in RY3 are allocated for these critical pre-construction activities, not for construction itself. These investments are foundational and must be made well in advance to ensure the success of future phases. While the Company did underspend in prior years, this was primarily due to delays in permitting and interagency approvals rather than a lack of need. The overspending in 2024 reflects the natural ramp-up of activity as approvals were secured and projects advanced. Reducing funding at this stage would jeopardize the long-term viability of these essential infrastructure upgrades.

Primary Feeder Relief

Q. Does Staff recommend any adjustments for Company's Non-Primary Feeder Relief program?

A. Yes, SEIOP agrees with the need for this program, but recommends the funding for this project be reduced for all three rate years.

Q. Please describe SEIOP's rationale for these reductions.

A. SEIOP recommends setting the funding level to the Company's five-year average spend on this program based on historical underspending and work activity trends.

Q. Do you agree with this recommendation?

A. No. As discussed earlier in this testimony, relying on historic actual spending to forecast future funding ignores the reality of changing economic and operational conditions. Also, SEIOP fails to recognize that while the Company develops budgets based on established procedures, real world events may intervene and require the Company to adjust its actual spending. Staff's focus on historic underspend does not consider why underspending occurred. Further, SEIOP does not elaborate on the work activity trends used to derive its recommendation. In fact, SEIOP

ignores increases in the costs of materials and costs related to parking and flagging described in the Company's Primary Feeder Relief white paper.

Q. What is SEIOP's second reason for reducing the funding for this program?

A. SEIOP references work activity trends on this program but does not elaborate. As we have mentioned previously, historical work delays as justification for reducing future funding without evaluating the specific circumstances causing delays fails to recognize that, while the Company develops budgets based on established procedures and expected circumstances, real world events do intervene, requiring the Company to adjust our plans and spending.

Urgent Projects

Proactive Planning – New Business Capital and Transformer Purchase Programs

Q. Does Staff address the Company including the New Business Capital and Transformer Purchase Programs in the Company's November 13, 2024 Urgent Projects filing in the Proactive Planning proceeding, Case 24-E-0364 and in the Company's initial EIOP testimony?

A. Yes. SEIOP addresses the Company requesting additional funding for two programs: the New Business Capital and Transformer Purchase program through the Proactive Planning Urgent Projects filing and reflecting these investments in the Company's projected net plant balances for year-end 2025. SEIOP rejects the Company assuming additional funding for the New Business Capital and Transformer Purchase program through the Proactive Planning Urgent Projects filing and reflecting these investments in the Company's projected net plant balances for year-end 2025.

Q. Does SEIOP explain why it disagrees?

A. Yes, SEIOP reasons, at the time, that since the Commission has yet to act on the Urgent Project filings under the Proactive Planning proceeding, it is not appropriate to reflect the requested additional funding in the net plant balance for year-end 2025.

Q. Has the Company adopted Staff's recommendation?

A. Yes, because the recent Order in the Proactive Planning Proceeding did not provide additional funding for the New Business and Transformer Purchase programs in 2025.

Proactive Planning - East New York Electrification Hotspot

Q. Does Staff make any recommendations for the Company's Proactive Planning - East New York Electrification Hotspot project?

A. Yes, SEIOP recommends eliminating the East New York Electrification Hotspot project.

Q. Does SEIOP explain why it recommends eliminating the Company's Proactive Planning - East New York Electrification Hotspot project?

A. Yes, SEIOP believes that there are multiple existing projects that are underway that address the Brownsville area that the East New York hotspot is in such as the Brownsville Area Load Relief - Brownsville No. 1 to Glendale Transfer, Brownsville Area Load Relief - Establish Gateway Park No. 1 project, Brownsville Area Load Relief - Glendale TR5 and Feeder 38Q05 Extension project, the Brownsville Area Load Relief - Newtown TR4 and Feeder 38Q05 project, and the Atlantic Area Substation project. SEIOP reasons that while the capability of the 138 kV feeders supplying Brownsville are expected to reach 100 percent of capacity in 2034 and overload in 2035 if the feeders are

operated at 138 kV, once the Atlantic Area Substation goes in service in 2034, the feeders will drop down to 63 percent of its capacity. SEIOP acknowledges the Company indicates the electrification load for the East New York Hotspot to reach 16 MWs by 2034 and this may lead to a temporary overload in the feeders, SEIOP recommends operating the feeders at 141 kV which would allow for 788 MWs. SEIOP argues since this would only be for one year, as the next year the load would drop because it was transferred to the Atlantic Area Substation, this would allow the additional 16 MW of electrification to not overload the feeders. Based on this, SEIOP states the hotspot can be supported without the need for this project.

Q. Do you agree with SEIOP's reasoning to eliminate this project?

A. While the Company understands SEIOP's concern to not complete duplicative work in the area, the work for the projects referenced by SEIOP (i.e., Brownsville Area Load Relief - Brownsville No. 1 to Glendale Transfer, Brownsville Area Load Relief - Establish Gateway Park No. 1 project, Brownsville Area Load Relief - Glendale TR5 and Feeder 38Q05 Extension project, the Brownsville Area Load

Relief - Newtown TR4 and Feeder 38Q05 project, and the Atlantic Area Substation project) expand capacity at the transmission and sub-transmission level (at 345 kV to 138 kV) and at the area substation level (converting 138 kV to 27 kV), they do not address needs within the network at the distribution level, i.e., constraints at the primary feeder level (27 kV). By contrast, the East NY hotspot project provides distribution system primary feeders (27 kV) to bring capacity from the area station into the network to the expected transportation electrification loads. As such, the East NY project is complementary to the transmission, sub-transmission and area substation load relief projects listed above, not duplicative.

Proactive Planning - LGA Electrification Hotspot

Q. Does SEIOP make any recommendations for the Company's Proactive Planning - LGA Electrification Hotspot project?

A. Yes, SEIOP recommends that the funding requested in the Rate Year be denied by the Commission and the project be delayed for three years.

Q. Does SEIOP explain the reason for denying the funding and delaying this project?

A. SEIOP points to the Company's response to DPS-52-1040 and states only three of 16 feeders are above 70 percent of its normal rating and only one feeder is above 80 percent. Also, SEIOP reasons that on page 66 of Exhibit___(EIOP-7 UPD), the load forecast for the Corona No. 2 Area Substation, which supplies the Rego Park and Jackson Heights networks, is not expected to overload until 2039. SEIOP asserts because of this, the project can be delayed for the next three rate years, since the feeders still have an ample amount of capacity as they are not close to reaching their ratings, and the substations also have an ample amount of load available for any new electrification projects.

Q. Do you agree with SEIOP's reasoning for delaying this project?

A. No, we do not. The Electrification Hotspot project was designed to bring dedicated distribution system primary feeders (27 kV) from the area station into the network to provide adequate supply to electrification loads within the three individual load pockets, including the Astoria Generation complex, Ditmas Steinway industrial area, and LaGuardia Airport. While the feeders in the Long Island

City Network may not be near their maximum load, given the projected loads in the LGA electric vehicle charging hotspot described in the whitepaper, the Long Island City Network has neither the capacity nor the feeder configuration capable of supporting the projected load for the Electrification Hotspot. The Astoria Generation complex does not have sufficient feeders in the area, and the Ditmars Steinway Industrial and LGA areas are at the fringe of the network with a limited number of feeders available. This project will support electrification loads of up to 15 MW by 2028 and up to 82 MW by 2043. The creation of new feeders to pick up the projected electrification hotspot load is the most suitable solution to prevent overloads on the existing feeders, especially at the fringe of the network, to minimize risk of delays to customer electrification while maintaining network reliability.

Secondary Mains Load Relief

Q. Does Staff recommend any adjustments for Company's Secondary Mains Load Relief program?

A. Yes, SEIOP recommends the funding for this program be reduced for all three rate years.

Q. Please describe SEIOP's rationale for these reductions.

A. SEIOP recommends setting the funding levels to the actual five-year average spend on this program based on historical actual spend and underspend.

Q. Do you agree with this recommendation?

A. No. As discussed earlier in this testimony, relying on historic actual spending to forecast future funding ignores the reality of changing economic and operational conditions. Also, SEIOP fails to recognize that while the Company develops budgets based on established procedures, real world events may intervene and require the Company to adjust its actual spending. SEIOP 's focus on historic underspend does not consider why underspending occurred. Further, SEIOP ignores increases in the costs of materials and costs related to parking and flagging described in the Company's Secondary Mains Load Relief white paper. Underfunding this program is, in effect, reducing the amount of program work that can be performed, and that in turn reduces the potential to increase system capability to meet demand, including growth related to the electrification of heat and transportation, through this program.

Staten Island North Shore Load Pocket Reinforcement

Q. Did Staff recommend any changes for the Staten Island North Shore Load Pocket Reinforcement project?

A. Yes, SEIOP recommends a reduction in the funding for this project in RY2 and RY3.

Q. Did SEIOP provide a reason for these reductions?

A. Yes, SEIOP points to the Company's response to DPS-28-670 and the Company's statement it altered the route of the two feeders it plans to install under this project and that the new plan would save $10 million compared to the plan as initially proposed. SEIOP states the Company stated in a supplemental response to DPS-28-670 that the project which was originally estimated to cost $37.8 million was now expected to cost $25.6 million, a reduction of $12.2 million. Therefore, SEIOP reduced this project by $6.1 million in RY2 and RY3.

Q. Do you agree with these reductions?

A. Yes.

Washington Street to Cedar Street Transfer

Q. Does SEIOP or any other DPS Panel recommend adjustments to the Washington Street to Cedar Street Transfer project?

A. No, no DPS panels commented on this project.

Q. Does NYC EIP have any recommendations for the Washington Street to Cedar Street Transfer project?

A. NYC EIP expresses the same concerns for the Washington Street to Cedar Street Transfer as the Parkchester projects, and points to the forecast capacity not being exceeded until 2032. NYC EIP opines that the need for transferring load and the amount of transferred load may not justify the size and scope of this project. NYC EIP asserts that the whitepaper for the project does not present a compelling argument for why load reduction actions could not alleviate overcapacity for as many as three years, which would decrease the capital budget and provide ratepayer relief.

Q. Do you agree with NYC EIP's assessment of the Washington Street to Cedar Street Transfer project?

A. No, we do not. The Company does not agree that load reduction actions could alleviate overcapacity for as many

as three years. In fact, electrification and new business load growth may necessitate the need for this transfer sooner. Therefore, it is imperative to begin work immediately. That said, as the Company does with all load relief projects, an evaluation of the potential for NWS projects to defer this project will be conducted; however, as was intentionally designed into the NWS process, this future evaluation does not result in the need to pause development of this traditional load transfer solution.

Q. Does NYC EIP have any other concerns with the Washington Street to Cedar Street Transfer?

A. NYC EIP states the expenditure for 2026 seems high, as it is approximately one third of the project costs while only 20% of work is being completed.

Q. Do you agree with this concern?

A. No, we do not. The total project costs are estimated to be $102M. The funding request for $4M in 2026 is for the survey and engineering work need. The Company intends to focus on completing designs and requesting permits needed for highway and railroad crossings. If the crossings prove to be unusable, then a major change in scope of work will be required.

2. Risk Reduction and Reliability Capital Expenditures

Q. Has the Company reviewed Staff's proposed funding levels for the Risk Reduction and Reliability Capital Expenditures capital projects and programs that are presented in the Company's initial and update testimony?

A. Yes.

Q. What are the total reductions proposed by Staff?

A. Staff proposes total reductions of $341.27 million in RY1, $472.83 million in RY2, and $416.38 million in RY3.

Q. Does the Company agree with Staff's proposed reductions?

A. No. The Company will explain why Staff's proposed cuts to individual capital projects and programs are unreasonable.

Area Substation Phased Replacement Program

Q. Did the direct testimony of SEIOP or any of the DPS Panels recommend adjustments to the Area Substation Phased Replacement Program?

A. No.

Q. Do any of the other parties have any recommendations for the Company's Area Substation Phased Replacement Program?

A. NYC EIP recommends this program be funded based on the Company's historic spending levels.

Q. Does NYC EIP explain their reasoning for this recommendation?

A. NYC EIP states this is an ongoing program, but it shows a significant rise in requested capital. NYC EIP states the rate year budgets are approximately three times as much capital as the 2024 forecast and the 2025 requested amount. NYC EIP state a majority of the 2026 to 2029 forecasted period appears to be focused on three stations: East 63rd St., East 75th St., and Plymouth Street. NYC EIP notes the program engineering and procurement began in 2022, with equipment purchases scheduled for 2025. NYC EIP states it would expect the capital costs of these replacement programs—future and past—to be along the same level of magnitude for capital needs, not such a sharp increase.

Q. Do you agree with NYC EIP's recommendation to fund the Area Substation Phased Replacement Program based on historic spending levels?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past

years is arbitrary. Additionally, as discussed in section I of our rebuttal testimony, the Company must run its business and adjust to changing conditions. Past underspending between 2022 and 2024 was due to outage constraints that limited work, not a lack of need. Funds were reallocated to projects with available outages, and the increased forecast reflects rescheduled work and deferred procurement. The projected $33 million spend incorporates expanded program scope, that includes civil work associated with switchgear replacement as well as required automation control upgrades. The recommended annual funding increase reflects today's market conditions, not historical values. Escalating costs for materials, equipment, and labor, combined with the complexity of executing upgrades while keeping substations operational, require updated funding levels to ensure project execution without delays or compromise to reliability.

Area Substation Reliability

Q. Does Staff make any recommendations for the Company's Area Substation Reliability program?

A. Yes, SEIOP recommends a capital budget of $7.37 million per year, in RY1, RY2, and RY3. This is a reduction of $3.432 million for each rate year.

Q. Does SEIOP explain the reason for this reduction?

A. Yes, SEIOP states due to the general decline in the Company's budgets for this program since 2020, and the large underspending in 2022 and 2024, it does not believe the Company has justified its requested budget.

Q. Does the Company agree with SEIOP's reasoning?

A. No, we do not agree. SEIOP's rationale for its recommendation completely ignores the detail provided on past and planned program work provided in the white paper included in Exhibit___(EIOP-8) and in the Company's response to DPS-22-555. SEIOP states its recommendation is based on the "work activity trends in recent years," with no supporting analysis, but ignores the detailed explanations provided of past program work and variances between the work that was planned and work that was actually completed. The average work performed under this program, reflected in the spending for 2020-2024, shows steadily increasing volumes of work, a trend that the Company expects to continue. The Company looks for every

opportunity to accelerate work on Area Substation Reliability to complete the program sooner. In the multiple years where more units (either high side clearing or DTT) were completed than budgeted, there was an opportunity to use funds for other projects that were deferred due to system conditions such as canceled outages. Area Substation Reliability projects are also dependent on scheduled outages and, in years where fewer than budgeted units were completed, it was due to system conditions.

Q. Does SEIOP explain how it determined the reduction?

A. Yes, SEIOP states it decided to use a three-year average of actual costs for this program, due to underspending in 2022 and 2024.

Q. Does the Company agree that this is a reasonable approach?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spending without specific evaluation of the specific circumstances and program activities during previous years – such as the detailed identification of planned work and explanations of variances between planned and actual work and costs provided in our response to DPS-22-555 is arbitrary. Relying on historical spending to forecast future funding

also ignores the reality of changing economic and operational conditions and ignores the Company's carefully constructed work plans. As also discussed previously in section I of our testimony, using underspend in previous budgets as justification for reducing future funding fails to recognize that, while the Company develops budgets based on established procedures and expected circumstances, real world events do intervene, requiring the Company to adjust its plans and spending. It is arbitrary to propose reductions to a specific program based on past program performance without first evaluating the program performance and explaining why the proposed reductions in future program work are justified by specific past performance. Reasoned decision-making requires analysis of the Company's reasons for its funding requests and an explanation, supported by evidence, why those reasons are incorrect or inadequate.

The Company provided detailed support for past program performance, beyond simple calculations of spending averages, including causes of deviations of previous plans, and SEIOP neither considered that information in its

recommendation or provided evidence for why its recommendation was justified.

Auxiliary Station Equipment Replacement Program

Q. Does Staff make any recommendations for the Company's Auxiliary Station Equipment Replacement Program?

A. Yes, SEIOP recommends a budget of $12.5 million per rate year in RY1, RY2, and RY3, a reduction for each rate year.

Q. Does SEIOP provide a rationale for these reductions?

A. Yes, SEIOP states in response to DPS-33-768, the Company states that when consolidating the historical actual costs in each standalone program into the Auxiliary Station Equipment Replacement Program, these historical spending trends have averaged approximately $12.5 million over the past three years and align with forecasted costs of the combined Auxiliary Station Equipment Replacement Program. SEIOP states, although it continues to support this programs initiative, based on its review, the Company has not justified the proposed incremental spending above the historical spending levels.

Q. Do you agree with SEIOP's reasoning?

A. No, we do not. As discussed in Section I of our testimony, we do not support the position that future costs be expected to be the same as past costs without the recognition that costs are not static and change in response to economic and operational conditions. At a minimum, the Company anticipates inflationary impacts in this program from increased labor rates and supply chain pressures. Further, past program costs reflect reductions from work that was deferred for operational reasons, and the Company's funding requests for this program have already taken into account that some percentage of the planned program work in the rate years may also be similarly deferred by requesting less funding each year than the total estimated costs of the specific program work tentatively targeted in each rate year. (See the Company's response to DPS-33-768 and DPS-33-768 Attachment 2)

Q. Do any other parties make recommendations for this program?

A. Yes. NYC EIP states that historically, the program costs and budget were approximately $1 million to $2 million per year and the program now requests an increase to at least $13 million each year. NYC EIP points to the white paper on page 13 of Exhibit___(EIOP-8) and the statement "[t]his

program has been expanded to encompass additional work, which drives the increased funding request for 2026 and beyond." NYC EIP asserts the Company does not provide sufficient justification or a detailed breakdown of the additional work for such a substantial increase, especially when actual spending costs were relatively close to the historically budgeted amounts. Based on this, NYC EIP recommends that the requested increase in budget for this project should be rejected until further evidence justifying this spend is presented.

Q. Do you agree with NYC EIP's recommendation for the Auxiliary Station Equipment Replacement Program?

A. No, we do not. First, in the white paper associated with this program provided in Exhibit___(EIOP-8) in combination with the responses to DPS-2-266 and DPS-33-768, Attachment 1, the Company provides the data for the actual historical costs for the previously standalone programs that have now been combined under this umbrella program that, when added up, demonstrated how the cost of this program increased from $2.7 million in 2024 as a standalone program to $13.3 million in 2024 when all of the individual standalone programs are combined into the new umbrella program. The

justification that NYC EIP provides for its recommendation is, therefore, baseless.

Bushing Replacement Program

Q. Does Staff make any recommendations for the Company's Bushing Replacement Program?

A. Yes, SEIOP recommends a budget of $3.5 million per rate year in RY1, RY2, and RY3, a reduction in each of the rate years.

Q. Does the SEIOP provide a rationale for its reductions?

A. Yes, SEIOP states in Exhibit___(EIOP-8), page 21, the Company identifies "additional bushing replacements to be determined" for all rate years, which it asserts indicates a lack of specific plans or schedules for these future replacements.

Q. Do you agree with this assertion?

A. No, it is often impossible to precisely identify the scope and timing of projects or programs, especially in later years. Various factors, such as outage schedules, changing grid conditions, and opportunities to bundle work, can all impact the scope and schedule. Variations in the planned versus actual number of bushing replacements occur for

multiple reasons. Bushings are long-lead items, and their procurement schedules can be affected by external factors like COVID. There are two types of bushing connections: draw lead and bottom connect. Replacing bottom connect-type connections is more extensive, time-consuming, and costly. Since the Company does not prepare specific work plans for this program multiple years in advance, it bases estimates on the average expected number of annual replacements, with actual numbers varying based on the type of connection replaced.

Work under this program is aligned with the Transformer Replacement Program (if planned dates are within five years) for efficiency and to avoid additional equipment outages. This approach can sometimes cause planned work to be moved to different years, resulting in an underspending. Although the specific years for the work may not be identified, the transformers are, and the Company plans to complete all the work. The sequencing depends on other anchor outage jobs (i.e., jobs for which are the primary drivers for outage scheduling), but the Company intends to complete the entire population of identified transformers within the specified rate case years.

Q. Does SEIOP provide any other reasons for its recommendation?

A. Yes, SEIOP notes inconsistencies in the number of bushing replacements completed in prior years, as well as significant underspending during 2021 through 2023. SEIOP states, several bushing replacements originally scheduled for 2024 have not yet been completed. Additionally, SEIOP points to the Company's response to DPS-33-766, that indicated one bushing replacement scheduled for 2024 was deferred to 2027. SEIOP claims, given these discrepancies, namely, the absence of clearly scheduled future work, inconsistent historical replacement activity, and the pattern of deferrals, SEIOP finds the Company's request for incremental funding in the rate years to be unsupported.

Q. Do you agree with these additional reasons?

A. No, we do not. SEIOP fails to recognize that while the Company develops budgets based on established procedures and expected conditions, real world events may intervene and require the Company to adjust its actual spending. SEIOP's focus on historic underspend does not consider why underspending occurred.

In 2024, the Company had to shift spending priorities and redirect support toward New Business and equipment purchases to meet its obligation to provide service to customers. The fact that the Company must run its business in real-time and adjust to changing conditions and new facts is not a sufficient or reasonable basis to reduce the Company's funding requests. Further, just because funds had to be reallocated to support a higher priority, as discussed above, does not mean that the original intended project or program was not important or that it does not represent a higher priority today. In summary, the Company's rate case funding requests are forward-looking and necessary to carry out the plans and initiatives discussed in its initial testimony.

Q. Based on its reasoning for reducing this program, what does SEIOP recommend?

A. SEIOP recommends reducing the number of bushing replacements to be funded in each rate year from the proposed nine to ten units to five units per year. SEIOP claims this adjustment aligns with the Company's historical three-year average of actual bushing replacements and

reflects a more realistic projection of work likely to be completed.

Q. Do you agree with SEIOP's recommendations?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary.

Looking at past budgets and spending does not provide sufficient evidence to determine whether the Company's funding requests are appropriately calibrated for future work as discussed in its initial testimony. Sole reliance on historical spending without additional context is arbitrary and unreasonable. The Company believes that projected future needs for capital investment should be evaluated based on their merits, considering the evolving energy landscape and increased demand for resiliency. The Company has provided detailed information on the work it is forecasting for these programs in its initial testimony and white papers, which remains unchallenged by Staff's cuts based on historical data.

Q. What other recommendations for this program were made by other parties?

A. NYC EIP questions the increase in the budget for this program. NYC EIP asserts there is not enough justification within the white paper provided by Con Edison to approve such a significant increase. NYC EIP recommends that more analysis and supporting data is needed from the Company before such a large increase to this project's budget spending can be approved.

Q. Do you agree with this recommendation?

A. No, waiting for bushings to fail before replacing them can lead to transformer failure, which is unacceptable. A bushing or transformer failure during the summer would negatively impact the reliability of the transmission system. It is often impossible to precisely identify the scope and timing of projects or programs, especially in later years, due to factors like outage schedules, changing grid conditions, and opportunities to bundle work. The level of specificity in scope and schedule should not be used as a proxy for the underlying need, nor should it justify reducing or rejecting funding. Bushings or transformers could fail between periodic tests during the summer, impacting system reliability and causing additional

outages for testing. Therefore, this alternative is not acceptable.

Circuit Switcher Replacement Program

Q. Does Staff make any recommendations for the Company's Circuit Switcher Replacement Program?

A. Yes, SEIOP recommends $2.4 million for each of RY1, RY2, and RY3, a reduction in each rate year.

Q. Does SEIOP explain the reason for these reductions?

A. Yes, SEIOP states the average spending on this program was only $1.36 million from 2020 to 2024. Based on the cost to replace a circuit switcher of approximately $1.2 million SEIOP recommends $2.4 million per rate year to replace two circuit switchers per year and to better reflect historical spending and work activity on this program. SEIOP asserts the Company has not justified why three circuit switchers need to be replaced every year.

Q. Do you agree with SEIOP's rationale for reducing this program?

A. No, we do not agree. It is arbitrary to propose reductions to a specific program without first evaluating the program and explaining why the proposed reductions are justified in

light of the program's activities. Reasoned decision-making requires an analysis of the Company's reasons for its funding requests and an explanation, supported by evidence, of why those reasons are incorrect or inadequate. Absent that, a proposal to cut funding based solely on the fact that the Company has not historically reached that spending level is simply a "hair-cut" that may not reflect system needs and is unsupported by the record.

Relying on historical spending to forecast future funding ignores the reality of changing economic and operational conditions. Costs are not static; they change due to inflation, supply chain disruptions, regulatory requirements, and system conditions. For example, recent years have seen significant increases in labor costs driven by wage inflation and skilled workforce shortages. Finally, the volume of work conducted in the past may be based on a variety of factors and should not be interpreted as a limiting factor to what the Company can achieve in the future.

Estimates of future costs that do not include realistic escalations of likely increases effectively reduce the amount of work that can be performed. As part of the

response to DPS-27-662, the Company showed an average of 10 circuit switches not operating correctly over the past three years. The Company is forecasting to replace three per year, and inadequate funding for program work could create more reliability issues.

Additionally, deferred replacements may decrease reliability and increase maintenance requirements. Aging equipment tends to fail more frequently, leading to increased downtime and maintenance costs. Replacing aging and high-maintenance units is essential to avoid operational issues, such as switching out more equipment than necessary, which can impact system reliability.

The potential for difficulty locating obsolete replacement parts from the original manufacturer to maintain units not replaced becomes increasingly difficult with legacy units. Parts are often salvaged from retired units due to the unavailability of new parts to support the existing fleet. This supply can only be sustained by replacing more units to create the inventory for spare parts.

Finally, newer equipment meets current regulatory and environmental standards. Older units and certain models of circuit switchers have historically been frequent leakers

and replacing them with newer units will help support New York State environmental goals. As part of response to DPS-27-662, the Company showed an average of 10 circuit switches not operating correctly over the past three years. The Company is forecasting to replace three per year and underspending in this program could create reliability issues.

Condition Based Monitoring

Q. What does Staff recommend for the Company's Condition Based Monitoring program?

A. The Staff ERRPM Panel recommends a capital budget of $10.0 million, $10.2 million, and $10.5 million in RY1, RY2, and RY3, respectively. This equates to downward adjustments of approximately $6.5 million, $11.2 million, and $6.9 million for RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Staff ERRPM Panel's recommendation.

A. The Staff ERRPM Panel's claims its recommended budget will allow the Company to replace out of warranty equipment in a timeframe where parts are still available.

Q. Does the Staff ERRPM Panel agree with the Company's proposals for this project?

A. Yes, in part. The Staff ERRPM Panel acknowledges the importance of condition-based monitoring for improving reliability and preventing equipment failures. However, the Staff ERRPM Panel recommends extending the replacement timelines for Qualitrol temperature monitors and Kelman monitors from 2026-2029 to 2026-2033.

Q. Does the Staff ERRPM Panel provide a rationale for this recommendation?

A. The Staff ERRPM Panel points to page 30 of Exhibit___(EIOP-8) that states parts availability will not be an issue until after 2030. The replaced units can be used as spare parts if required.

Q. Does the Staff ERRPM Panel have specific concerns with this project?

A. The Staff ERRPM Panel states over the last three years, the Company reduced its forecast for this program from $15 million per year, to a budget of $12 million per year. Furthermore, the Staff ERRPM Panel states Con Edison has only averaged actual spending of $3 million per year on this program. The Staff ERRPM Panel asserts the Company

continuously delays the program to prioritize other initiatives, further supporting the need for an extended implementation timeframe.

Q. Do you agree with the Staff ERRPM Panel concerns for this program?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. The underspending Staff mentions from 2022-2023 was due to Company obligation to reprioritize work and spend based on system and customer priorities. During 2020-2021, amidst the challenges presented by COVID-19, the Company consistently spent approximately $11 million annually on these efforts. More recently, the Company has expanded its technology platforms to include both Qualitrol and Battery Monitoring Systems, and full funding is now necessary to support continued deployment and integration.

Between 2017 and 2021, the Company executed over $50 million in Kelman installations, completing more than 400 units and fully using the allocated budget. However, the Company is now transitioning to additional vendors due to

the discontinuation of some Kelman parts. Additionally, the Company has not installed any DGOA monitors since 2021 and plans to replace 120 monitors over the rate years. These shifts have introduced increased unit costs and uncertainty around the reuse of older components, many of which are no longer under warranty. Throughout 2022 and 2023, the Company invested in planning and technology evaluations to support this transition, positioning itself to resume a higher installation rate with modern equipment. Full funding is essential to advance these efforts without impacting system reliability.

Disconnect Switch Capital Upgrade Program

Q. Does SEIOP make any recommendations for the Company's Disconnect Switch Capital Upgrade Program?

A. Yes, SEIOP recommends a budget of $4.83 million for each of the three rate years, a reduction of $0.345 million each rate year.

Q. Does SEIOP provide a rationale for these reductions?

A. Yes, SEIOP claims the Company has consistently underspent its allocated budget in prior years, specifically from 2021 through 2023. SEIOP asserts this pattern of underspending

demonstrates a lack of alignment between budget projections and actual expenditures. As such, SEIOP finds that the proposed increase in incremental budget is not adequately justified based on historical spending behavior. SEIOP asserts due to the underspending of the Company's budget, the adjustment reflects the use of a three-year average of actual historic spending.

Q. Do you agree with SEIOP's reasoning for the reductions to this program?

A. No, we do not. As discussed earlier in this testimony, relying on historic actual spending to forecast future funding ignores the reality of changing economic and operational conditions. Also, SEIOP fails to recognize that while the Company develops budgets based on established procedures, real world events may intervene and require the Company to adjust its actual spending. SEIOP's focus on historic underspend does not consider why underspending occurred. Further, SEIOP ignores the Company's actions in preparation for ramping up to 12-15 replacements per year, including submitting outage requests in advance to avoid conflicts, placing bulk-buy purchases at specified stations to avoid long lead material issues, and reviewing future

year projects with working groups to confirm resource availability, discussed in the Company's response to DPS-33-769.

Distribution Sensors

Q. What is Staff's recommended funding for the Distribution Sensors Program?

A. The Staff ERRPM Panel recommends a capital budget of $5.4 million, $5.6 million, and $5.8 million in RY1, RY2, and RY3, respectively. This equates to downward adjustments of approximately $15.6 million, $16.0 million, and $16.5 million for RY1, RY2, and RY3, respectively.

Q. Does the Staff ERRPM Panel provide a reason for these reductions?

A. The Staff ERRPM Panel agrees with the Company's approach for the existing components of the program but does not agree with the proposal for the new Pole-Top Sensors initiative. While the Staff ERRPM Panel acknowledge the potential benefits of integrating sensors to improve reliability, safety, and operational efficiency; it believes that such initiative needs to be cost-effective and provides quantifiable benefits to ratepayers and the

Company's system. The Staff ERRPM Panel asserts, currently, the Pole-Top Sensors technology is in its infancy, and this initiative is not cost effective.

Q. Does the Staff ERRPM Panel elaborate on their concerns with the Pole-Top Sensors initiative?

A. The Staff ERRPM Panel states it is concerned about the $15 million annual request for this initiative and the limited benefits expected. The Staff ERRPM Panel states the operational efficiency and savings claimed by the Company are estimated to be $1.25 million per year with 150,000 sensors installed. The Staff ERRPM Panel estimates that 150,000 sensors would cost $225 million at a $1,500 unit cost and would take 15 years based on the Company's installation rate of 10,000 sensors per year. The Staff ERRPM Panel states considering the sensor's 10-year lifespan, the $1.25 million operational efficiency savings would be very difficult to materialize. The Staff ERRPM Panel recommends no funding for the Pole-Top Sensors initiative because this initiative is not cost effective, and the Company needs to develop additional functionality, IT integration requirements, and processes to measure the value provided by these sensors.

Q. Do you agree with the Staff ERRPM Panel's concerns with the Pole-Top Sensors initiative?

A. No, we do not. First, Staff's reasoning undervalues the proven safety and operational benefits of pole-top sensors. The Gridscope sensors, validated through the 2023 EPRI Incubatenergy Labs Program, have already demonstrated the sensors abilities to detect energized downed wires, pole tilts, equipment failures, and other critical faults. The sensors deployment enhances public and worker safety by enabling real-time infrastructure visibility. Second, pole-top sensors significantly improve storm resiliency and response time by providing real-time data on damage and conditions during major events, enabling faster triage, efficient resource deployment, and quicker power restoration while reducing costs and safety risks. Finally, because of the above, the Company believes the pole top sensor sensors add value exceeding the cost of installation and maintenance and should be fully funded.

Dynamic Feeder Rating System

Q. Does Staff make a recommendation related to the Company's Dynamic Feeder Rating System program?

A. Yes, SEIOP recommends a budget of $0.3 million for RY1, $0.3 million for RY2, and $0.3 million for RY3, which reflects SEIOP's calculation of the five-year average spending from 2020 to 2024.

Q. What is SEIOP's justification for its recommendation?

A. SEIOP states Con Edison has underspent this program's budget historically in all of the last five years from 2020 to 2024 and the average spending was only $0.258 million per year. Further, SEIOP asserts the Company provides no reason why there is a need to increase this funding to the level the Company seeks.

Q. Do you agree with SEIOP's reasoning for these reductions?

A. No, we do not. As discussed earlier in this testimony, relying on historic actual spending to forecast future funding ignores the reality of changing economic and operational conditions. Also, SEIOP fails to recognize that while the Company develops budgets based on established procedures, real world events may intervene and require the Company to adjust its actual spending. Staff's focus on historic underspend does not consider why underspending occurred. Further, SEIOP incorrectly states that the Company has provided no reason why there is a need to

increase this funding. The Company has provided this information in its Dynamic Feeder Rating System white paper and provided further elaboration in the response to DPS-28-691. Delaying upgrades will increases reliability and operational risk, as outdated dynamic feeder rating components can impair system response during contingencies and affect both transmission reliability and the ability to assist with leak detection.

E. 179th St. Feeder Establishment

Q. Does Staff make any recommendations for the Company's E. 179th St. Feeder Establishment project?

A. Yes, the SEIOP recommends constructing five new feeders instead of the Company's proposed ten feeders.

Q. What is SEIOP's rationale for its recommendation.

A. SEIOP states the NRI for Fordham has been steadily decreasing for the last five years as the NRI has decreased from 0.678 in 2020 to 0.381 in 2024. While the Company states that 15 feeders will surpass their normal rating by 2033, SEIOP believes that five new feeders will be able to address these concerns. SEIOP reasons since NRI is already

decreasing, five new feeders will provide the feeder diversity to improve the NRI for the network.

Q. Do you agree with this assessment?

A. No, we do not. The project to establish ten new 13 kV primary feeders at the E. 179 St. area substation is essential to improving the reliability and capacity of the Fordham network. The current NRI of 0.381 for the Fordham network is the ninth highest NRI within the Con Edison service territory. This leaves the network vulnerable to cascading outages during extreme weather or high load periods. Ten new feeders are necessary to meaningfully reduce risk and provide lasting feeder diversity. Feeder diversification improves network reliability by spreading load across more feeders from different substation sources. This reduces the impact of outages, lowers failure rates, and extends equipment life. Adding feeders also allows for better load shifting during contingencies, reducing strain on individual feeders.

Q. Does SEIOP provide any additional reasons for their recommendation?

A. Yes. SEIOP states it also believes that five feeders will address the 28 MW of additional load. SEIOP points to page

132 of Exhibit___(EIOP-7 UPD), the East New York Electrification Hotspot project plans to address 23 MW of electrification load with three feeders. SEIOP reasons based on this only five new feeders are required to handle the estimated 28 MWs of load that is expected to be added to the network. Based on this reasoning, SEIOP recommends work on half the number of feeders, and recommends adjusting the budget to $15.8 million, $13.2 million, and $10.5 million in RY1, RY2, and RY3 respectively.

Q. Do you agree with this reasoning?

A. No, we do not. In SEIOP's response to the Company's interrogatory (CECONY 6-75), SEIOP expanded this approach to justifying its recommendation for a reduced number of feeders by also pointing to the Zerega Avenue Electrification Hotspot project plan to add six feeders for an additional 61 MWs of load. SEIOP's approach, however, includes no consideration of the current capacity available in each of those load areas versus E. 179th Street. The 28 MW of projected load must be managed across a network already nearing capacity, and ten feeders are needed not only to handle this load, but also to maintain reliability and reduce failure risks. Deferring the installation of

these feeders would jeopardize long-term performance and service stability.

Q. Did other parties have recommendations about this project?

A. While the NYC EIP states the need for the project and the budget seem reasonable, it is concerned with the timeline and schedule for the project. NYC EIP recommends the construction on the project be delayed until the fourth quarter of 2026. NYC EIP asserts this would allow more time for proper design, site survey, and determination of needed changes due to supply chain and other fluctuating market conditions. NYC EIP believes, based on the 2024-2033 Area Substations and Sub-transmission Feeders Ten-Year Relief program, a several month delay into 2027 is allowable.

Q. Do you agree with this recommendation?

A. No, we do not. NYC EIP gives no substantive detail about why that may be the case or why it questions that a proper design could not be completed within the Company's timeline. The Company is confident that proper design, site survey, and determination of needs can be accomplished within the planned timeline. Engineering, survey work, and civil construction will commence on this project in 2025.

That start date is required to accommodate various lead times and meet the needed in-service date of 2028.

East River Automation-Upgrade The 69kV Yard

Q. Does Staff make any recommendations for the Company's East River Automation-Upgrade The 69kV yard project?

A. Yes, SEIOP recommends adjusting RY1 funding to $1 million and adding $1 million to RY2 and $1 million to RY3, resulting in a budget of $1 million for each rate year, RY1, RY2, and RY3.

Q. Does SEIOP provide an explanation for this change?

A. Yes, SEIOP states according DPS-2-266 Attachment 1, the Company did not spend anything on this program for three out of the previous four budgeted years. SEIOP states to mitigate the potential for further delays impacting the entire capital budget for this project, it recommends a budget of $1 million in RY1, $1 million for RY2, and $1 million for RY3.

Q. Do you agree with SEIOP's proposal for this program?

A. No. Spreading the remaining work out over three years would require three separate outage periods. Outages in the

Spring and Fall of 2026, will provide the time needed to complete the remaining work.

Energy Management System and Auxiliary System Upgrades

Q. What is Staff's recommended funding for the Energy Management System and Auxiliary Upgrades Program?

A. The Staff ERRPM Panel recommends $6.1 million in RY1, $4.5 million in RY2, and $4.5 million in RY3. This is a downward adjustment of approximately $8.4 million and $0.5 million for RY1 and RY3, respectively.

Q. Does the Staff ERRPM Panel provide a rationale for the recommendation to reduce the funding for the Company's Energy Management System and Auxiliary System Upgrades Program proposal?

A. The Staff ERRPM Panel compared the Company's Energy Management System Replacement System Program with its Energy Management System and Auxiliary System Upgrades and recommends the removal of hardware upgrade funding component from the Energy Management System and Auxiliary System Upgrades Program, reasoning these costs more appropriately align with the objectives of the Energy

Management System Replacement Program. The Staff ERRPM Panel reasons because it is not recommending any adjustments to the Company's Energy Management System Replacement Program, the Company's request of $8.4 million in RY1 and $0.5 million in RY3 for hardware upgrade as part of the Energy Management System and Auxiliary System Upgrades Program is unreasonable.

Q. Do you agree that is reasonable to remove the hardware upgrade as part of the Energy Management System and Auxiliary System Upgrades Program?

A. No, we do not. This project encompasses the Energy Management System as well as supplementary systems and tools need to ensure grid operation reliability, such as data historian, mimic video wall display, Energy Management System workstations, and other associated intermediate systems. All these systems have associated hardware that must be highly reliable given the critical nature of the Energy Management System. The hardware refresh is based on product life cycles where without updated hardware and applicable systems and tools may be faced with any of the following potential issues:

1. Compatibility issues with new software versions leading to inefficiencies and potential failures.
2. Decreased performance with older hardware leading to reliability and maintenance challenges.
3. Security issues related to older hardware incapability of handling patches and security updates. This can limit our protection against some vulnerabilities.
4. Increase maintenance cost where older hardware need more support from vendor at additional cost when support life cycle ends.

Technology is rapidly evolving, and the Company's systems must be capable of adapting to future advancements. By incorporating hardware upgrades, Con Edison ensures that our Energy Management System and all auxiliary system remains future-proof and scalable.

Erosion Protection and Drainage Upgrade

Q. What is Staff's recommendation for the Erosion Protection and Drainage Upgrade program?

A. The Staff ERRPM Panel recommends capital budgets of $2.7 million per year, in RY1, RY2, and RY3. This equates to downward adjustments of approximately $2.5 million, $2.7

million, and $2.8 million for RY1, RY2, and RY3, respectively.

Q. Does the Staff ERRPM Panel provide a rationale for its recommendation the Erosion Protection and Drainage Upgrade program?

A. The Staff ERRPM Panel states the Company chose to defer certain projects included in the Erosion Protection and Drainage Upgrade program to focus on higher priority initiatives and that the actual program expenses in 2024 were only $0.5 million.

Q. Do you agree that this finding provides justification for Staff ERRPM Panel's recommended reductions to this program?

A. No, we do not. The Staff ERRPM Panel justification for significantly reducing funding for this program based on the fact that program budgets in 2024 and 2025 were reallocated "to prioritize higher-priority projects" implies that the Company, therefore, considers this program a low priority when we have explained in our initial testimony, in response to multiple interrogatories, and throughout our rebuttal testimony (including in Section I, above) that when real world circumstances impact electric system and customer needs – as happened in 2024 and 2025

with the unanticipated increases in New Business growth – the Company is required to reprioritize work and resources. Reprioritizations and budget reallocations such as those necessary in 2024 and 2025, then, would have no bearing on the future capital funding needed to complete the work in scope for this program. Additionally, the annual funding proposed by the Staff ERRPM Panel would not provide adequate funding to allow construction for some of the identified projects (such as work planned at the Rainey station) to be completed within the planned timeline.

Q. Does the Staff ERRPM Panel provide any additional reasoning for the funding reductions?

A. The Staff ERRPM Panel recommends that the timeline for completing work on the stations currently in scope for this program be extended from four to eight years and asserts that the proposed four-year timeline for ten substation upgrades may not be necessary given the long-term horizon of climate risks. The Staff ERRPM Panel reasons extending the timeline to eight years would allow for more balanced resource allocation and ensure cost-effectiveness of the Company’s response to such concerns.

Q. Does the Staff ERRPM Panel explain why it recommends extending the program from four to eight years?

A. The Staff ERRPM Panel asserts extending the program timeline from four to eight years would allow for more phased and manageable implementation across the ten substations identified for upgrades. The Staff ERRPM Panel states the current plan is an aggressive schedule that requires significant capital funding and project management resources concentrated in a relatively short period. The Staff ERRPM Panel claims an eight-year implementation plan for this program would reduce the annual workload, allowing for one substation to be addressed per year. The Staff ERRPM Panel asserts this would have a number of benefits including better coordination with other infrastructure programs and allow the Company to apply lessons learned from earlier substation projects. The Staff ERRPM Panel believes an eight-year plan would still ensure progress in mitigating erosion and drainage risks, while promoting more balanced resource allocation and long-term cost-effectiveness, especially given the gradual nature of climate-related risks the program is designed to address.

Q. Do you agree with the Staff ERRPM Panel's recommendation to extend the timeline for completing work for the ten in-scope stations is appropriate?

A. No, we do not. Although the white paper for this program included in Exhibit___(EIOP-8) does list ten substations that have been identified as in-scope for erosion and drainage protection improvements under this program to date, the Staff ERRPM Panel fails to recognize that the four-year schedule in the white paper only includes eight of the ten stations identified, although this fact is called out at the bottom of page 93 of Exhibit___(EIOP-8). Further, the Staff ERRPM Panel ignores the Company's discussion of our expectations that additional substations will need erosion and drainage protection enhancements at the top of page 94 of Exhibit___(EIOP-8) to mitigate identified climate-related risks and that we will be undertaking further proactive steps to identify additional needs. Climate-related risks are not always gradual—particularly at sites where aging infrastructure is already under stress. Conditions such as erosion-prone areas or undersized and deteriorating drainage systems face immediate threats from today's extreme rainfall events. A

four-year plan underscores the urgency to address these vulnerabilities before they lead to failure or further deterioration. Extending the timeline to eight years increases the risk of higher costs, operational and service disruptions, and may undermine the Company's climate resiliency commitments and public trust.

Feeder Clamp Replacements

Q. Does Staff make any recommendations for the Company's Feeder Clamp Replacements project?

A. Yes, SEIOP recommends a budget of $0.955 million, $1.25 million, and $1.18 million for RY1, RY2, and RY3, respectively, a significant reduction in each rate year.

Q. What is SEIOP's reasoning for these reductions?

A. SEIOP states the Company's response to DPS-22-558 explains that the year-to-year variations in the forecasted budget for 2025 through 2028 are driven by planned outages and resource availability. SEIOP claims the planned outage schedule for the rate years remains incomplete, with some outages yet to be finalized. Additionally, SEIOP states in the Company's response to DPS-22-558 included a table outlining the number of units to be installed each year,

along with associated direct and labor costs. SEIOP claims, because this table contains a column labeled "Completed," but the Company did clarify the meaning of the "Completed" column and how it aligns with both the funding request and the forecasted number of unit replacements during the rate years, it found that the Company has not sufficiently justified the incremental cost included in its funding request.

Q. Do you agree with reasoning?

A. Given SEIOP's reference to the "Completed (%)" column included in the table supplied in response to DPS-22-558 and that SEIOP's need for "… clarification on the meaning of the 'Completed' column and how it aligns with both the funding request and the forecasted number of unit replacements during the rate years…" is used to support their conclusion that the Company "has not sufficiently justified the incremental cost included in its funding request", we definitely do not agree with their reasoning. The column in question, simply represents the percentage of the total number of clamps planned for replacement under this program completed each year - a fact reinforced by the fact that the total percentages in the column add to 100% -

and have nothing whatsoever to do with the funding request in each year.

Q. Does SEIOP indicate how it calculated the funding for this program?

A. Yes, SEIOP claims it adjusted the budget based on the average forecasted unit cost from 2025 through 2028. Specifically, SEIOP used a unit cost of $2,040.60 and applied it to forecasted installation volumes of 468 units in RY1, 612 units in RY2, and 578 units in RY3.

Q. Do you agree with this methodology?

A. No, we do not. To begin with the $2,040.60 per unit cost included in the Company’s response to DPS-22-558, question 3.c, is the installation cost only (i.e., the answer to the question asked). The equipment cost of up to almost $500 per joint must be added to estimate the total cost per clamp replacement. Also, depending on the type of clamp installed and the manhole, additional labor may be required for installation because the feeder support structures in some manholes are more robust than in others and installation of some clamps require these support structures to be removed to enable clamp replacement and then reinstalled.

Feeder Management System Technology Transformation

Q. Does Staff make any recommendations for the Company's Feeder Management System Technology Transformation project?

A. Yes, SEIOP recommends no funding for this program in the rate years.

Q. Does SEIOP provide a rationale for not supporting this program?

A. Yes, SEIOP claims the Company has not appropriately addressed the need and justification for this replacement system. SEIOP claims the Company has neither provided evidence that the existing system is incapable of maintaining safe and reliable operations nor substantiated its claims with documented instances of system failures that would warrant such a replacement.

Q. Do you agree with this reasoning?

A. No, we do not. SEIOP's recommendations ignore evidence that the Company needs to replace its 30-year-old Feeder Management System that was written in obsolete technology (Open ROAD, Ingres, 4GL, Visual Basic 6.0 code) to continue to provide work orders for its employees to work safely while working with high hazard energy sources under the Con

Edison district operators authority who are responsible and use this system to provide safe operation, isolation and protection of work groups. As stated in Exhibit___(EIOP-8) the Feeder Management System does not support automatic failover to the alternate energy control center, which resulted in significant delays during recent events when district operators had to wait for three days for the system to be set up in the alternate energy control center on a temporary basis. This led to verbal work orders, slowing down work, and losing additional checks that the system provides. Additionally, the system uses technology not approved by the Con Edison Information Technology Department, and the vendor company supporting the system consists of only three resources who are planning their retirement. The license cost of the products used as part of the Feeder Management System is growing exponentially each year, further highlighting the need for replacement. The historical evidence for the rise in license cost was stated in response to DPS-38-851 and is estimated to reach almost $900,000 in 2026.

The system has become unsupportable and below are some recent instances where the current system design has led to significant disruptions.

- During a cyber event, the Feeder Management System was islanded which resulted in it being disconnected from the corporate system resulting in all the orders having to be given verbally over the phone. This reduced the amount of work that could be done drastically and increased the risk of errors.

- The current system design results in the system going down whenever any network or infrastructure work is performed.

- Technology to replicate databases can cause locking issues resulting in databases getting out of sync.

- The Feeder Management system has around 75 reports which are built on obsolete technology that is not available or cannot be installed in the current version of the operating system. Hence, no user requests for any changes can be supported.

- Inconsistent update of Status for Orders or Work Permit resulting in manual intervention.

- Administration of the system is scattered as the system was built over a period with on-demand requirements resulting in workarounds, instead of it being part of the system design.

- The system does not have proper logging resulting in difficulty troubleshooting.

If we do not proceed with this initiative, we face several risks: loss of legacy developers leading to an unmaintainable system, security vulnerabilities resulting in breaches of high-value networks and data theft, system downtime causing service disruptions and safety risks, licensing inflation leading to unsustainable operating costs, and knowledge transfer loss causing operational issues. All these risks will result in an inoperable system which can result in serious injury, including loss of life. Replacing the Feeder Management System will bring numerous benefits, including improved accessibility, high availability, ease of use, and support. The new system will

use the latest technology, reduce costs and complexity while increasing efficiency and reliability.

Q. Does SEIOP provide any other reasons for rejecting this program?

A. Yes, SEIOP asserts in Exhibit___(EIOP-8) page 107, the Company states that its forecasted capital and O&M costs for the program are based on its best knowledge and projects for similar efforts. SEIOP claims the Company's response to DPS-38-851 fails to provide sufficient supporting information to validate this claim. Specifically, SEIOP asserts while the Company indicated cost estimates were derived from another "ongoing project," and Con Edison does not identify the project or provide details demonstrating its relevance or comparability to the proposed effort.

Q. Do you agree with this additional reasoning from SEIOP for eliminating this program?

A. No, we do not. SEIOP's recommendation did not consider the uniqueness of this system as described in DPS-38-851, which highlights its integration with systems operating in different Company networks. This exact system does not exist at any other utility since Con Edison district

operators are the sole authority for safe operation, isolation, and protection of work groups, unlike other utilities. The ongoing project, upon which the estimate is based, is the retail access system replacement project. The following similarities make the Feeder Management System Technology Transformation comparable to the ongoing Retail access replacement project:

- Multiple decades-old systems with multiple applications performing different functions.
- Built on obsolete technology.
- Both applications were designed over several years, resulting in workarounds and disjointed systems.
- Integrations with multiple systems.

Both are critical systems: one relates to ESCOs and impacts billing, while the other affects the safety of employees and the Con Edison feeder network.

Feeder Replacement Program

Q. Does Staff make any recommendations for the Company's Feeder Replacement Program?

A. SEIOP state although it supports the overall need for this program, the average historical spending is $270,000 from

2022 to 2024 while the budget average was $1.83 million. In addition, SEIOP asserts the Company has not justified the need for the increased spending above and beyond previous budgets. Therefore, SEIOP recommends an adjustment of 50 percent to the Company's requested funding which amounts to $1.75 million, $1.75 million, and $6.8 million for RY1, RY2, and RY3, respectively.

Q. Do you agree with SEIOP's recommendation for this program?

A. No, we do not. Staff's reliance on the 2022–2024 average overlooks the specific program activities and plans detailed in the program white paper, Exhibit___(EIOP-8) and in the Company's response to DPS-35-789. The Company's response to the DPS interrogatory explains the causes of the underspend during the 2022-2024 time period, including access challenges and permission issues through a Staten Island landfill and the fact that the new vendor-supplied feeder systems were not identified as being larger than the existing components, requiring the termination supports and cubicles to be redesigned. As we discussed in section I of our testimony, real world circumstances do sometimes require the Company to alter its plans.

Additionally, there is no need to rely on past spend to predict future funding requirements given that the program white paper identifies the specific feeders to be replaced under the program from 2026-2029 and includes an estimate of the total cost for this work. The Company also explained further, in response to DPS-35-789, that increased funding in the rate years supports not only the replacement of aging feeders at East River but also funds essential engineering and feasibility studies to support the replacement of feeder 99031.

Q. Did any other parties have recommendations for this program?

A. Yes. NYECC discusses a general concern it has with the Company’s underspend on programs by first pointing to the Feeder Replacement Program and an interrogatory, DPS-35-789, response. In the response, the Company explained the reason for the underspend, but NYECC asserts the associated delays could have been avoided by better planning.

Q. Do you agree with NYECC’s assertion?

A. No, we do not. See our rebuttal to SEIOP for the Feeder Replacement program. The Company does not agree that the

delays experienced in recent years could have been avoided by "better planning."

Fire Suppression Systems Upgrade Program

Q. Does Staff make any recommendations for the Company's Fire Suppression Systems Upgrade Program?

A. Yes, SEIOP recommend a capital budget of $8.68 million in each of RY1, RY2, and RY3, a reduction of $1.320 million in each rate year.

Q. Does SEIOP explain why it reduced the funding for this program?

A. Yes, SEIOP states due to the Company underspending its budget for this program in four of the last five years, 2020 through 2023, SEIOP does not believe the Company has justified its requested budget. Based on this, SEIOP used a three year historical average spend to set the funding for each rate year.

Q. Do you agree with this reduction in funding?

A. No, we do not. As discussed earlier in this testimony, relying on historic actual spending to forecast future funding ignores the reality of changing economic and operational conditions. Also, SEIOP fails to recognize that

while the Company develops budgets based on established procedures, real world events may intervene and require the Company to adjust its actual spending. SEIOP's focus on historic underspend does not consider why underspending occurred. Further, SEIOP's approach does not fully account for the project-specific nature of this program, as discussed in the Company's response to DPS-27-659, where each substation's unique layout and requirements necessitate customized scopes of work. As such, unit-cost averaging does not accurately reflect the variability involved across the different fire protection categories.

Q. Do other parties express concerns about the capital requirements for this program?

A. NYC EIP states that it takes no position on the total cost but asserts that the methodology the Company used for allocating the funds over the four years appears to be inappropriate. NYC EIP opine that it appears the Company divided the total budget request by four and spread the cost equally among the two projects for each year. It state a more detailed and thorough breakdown and accounting of costs by year should be performed for such a significant investment.

Q. Do you agree with this recommendation?

A. No, we do not. In the case of the Fire Suppression Systems Upgrade Program it is impossible to precisely identify the exact timing of aspects of the specific projects planned, especially in later years. While evenly distributing costs over the rate years provides a planning baseline, the Company must remain flexible as shifting priorities, unforeseen equipment failures, and project-specific uncertainties can significantly impact completion of work.

Gas Insulated Substation Replacement Program

Q. Does Staff make any recommendations for the Company's Gas Insulated Substation Replacement Program?

A. Yes, SEIOP recommends a budget of $35 million for RY1, $35 million for RY2, and $35 million for RY3, a reduction of $15 million each rate year.

Q. Does SEIOP prove a reason for these reductions?

A. Yes, SEIOP states the Panel found while the Company has shown an ability to overspend for this program, it is concerned that the Company may not achieve the $50 million requested in the rate years if issues arise to prevent scheduling equipment outages. SEIOP states this budget will

provide funding for Con Edison to complete the replacement of two 345kV breakers and ensure some additional funding for escalation, inflation, or unforeseen work that arises during the replacement of breakers.

Q. Do you agree with the reasoning SEIOP provided for the reductions for this program?

A. No, we do not. As stated in section I and throughout our rebuttal testimony variations between budgeted capital needs and actual expenditures should not be taken as an indicators of future funding requirements without a deeper understanding of the basis for both the budgeted amount and the drivers of the actual spend. SEIOP's recommendations failed to consider that the equipment to be installed at the W. 49th Street and Dunwoodie Area Substations is new technology and, as such, supply chain expectations (including manufacturer's capacity, lead-times, and costs) are not as predictable as with mature technology. Budgets for this work will, therefore, necessarily include uncertainties regarding funding levels and timing making past variances between budgeted and actual costs useless indicators of future budget needs. Further, SEIOP indicates that their funding recommendation will allow the completion

of two breakers with additional funding for unforeseen costs and work related to those two breaker replacements. This funding level, however, does not recognize equipment procurement lead times and milestone payment expectations detained in the Company's response to DPS-33-778; current procurement lead times of up to three years and milestone payment requirements of approximately 40% to be paid within six to twelve months of placing orders for equipment require funding for equipment procurement well before the planned replacement outages, increasing funding requests for the rate period beyond what would be required for the initial two breakers only.

Q. Are there any other reasons why the Company does not support SEIOP's recommended reductions?

A. As discussed in response to DPS-33-778, question 6, the primary motivation for replacing GIS equipment at these two stations is the requirement for the Company to meet new requirements for greenhouse gas emissions related to Gas-Insulated Equipment ("GIE") using sulfur hexafluoride ("SF6"), under 6 NYCRR Part 495 Sulfur Hexafluoride Standards and Reporting. Furthermore, Con Edison plans to replace the equipment due to the unavailability of

replacement parts and associated costs. Replacement of SF6-containing equipment at these two stations – stations with the oldest, leakiest, or at-risk SF6 equipment – will bring the Company into compliance with the new emission standards and will mitigate reliability risks associated with this equipment. Without full funding, the Company will need to reduce the current program scope.

High Voltage Circuit Breaker Capital Upgrade Program

Q. Does Staff make any recommendations for the Company's High Voltage Circuit Breaker Capital Upgrade Program?

A. Yes, SEIOP recommends a budget of $14.29 million for each rate year, RY1, RY2, and RY3, a reduction of $5.71 million in each rate year.

Q. Does SEIOP provide a rationale for these reductions?

A. SEIOP asserts the three-year average reflects a more accurate representation of current costs. SEIOP states, it supports the program in general, but the Company did not provide ample justification for the increased spending, therefore it recommends budgets based on the recent three-year average.

Q. Do you agree with this reasoning?

A. No, we do not. As discussed earlier in this testimony, relying on historic actual spending to forecast future funding ignores the reality of changing economic and operational conditions. Also, SEIOP fails to recognize that while the Company develops budgets based on established procedures, real world events may intervene and require the Company to adjust its actual spending. SEIOP's focus on historic underspend does not consider why underspending occurred. Specifically, historical averages are not reflective of current needs, as the funding request is based on replacing 12–16 breakers annually, with recent costs ranging from $1.5M to $3.0M per unit depending on voltage level and site-specific work. In addition, as stated in Exhibit___(EIOP-8, p. 121) increasing material and installation costs support the need for higher funding, as recent blanket purchase agreements reflect more than a twofold increase in costs for certain breaker types. Delaying replacements increases system and safety risks, as aging oil circuit breakers jeopardize reliability and safety by failing to isolate disturbances and protect personnel and the public.

Q. Are any other recommendations for this program made by other parties?

A. Yes. As was the case with the Fire Suppression Systems Upgrade program, NYC EIP states, it takes no position on the total cost but assert the methodology the Company used for allocating the funds over the four years appears to be inappropriate. NYC EIP opines that it appears the Company divided the total budget request by four and spread the cost equally among the two projects for each year. It states a more detailed and thorough breakdown and accounting of costs by year should be performed for such a significant investment.

Q. Do you agree with this recommendation?

A. No, we do not. See our rebuttal to SEIOP for the High Voltage Circuit Breaker Capital Upgrade program.

Joint Replacement Program

Q. Does Staff make any recommendations for the Company's Joint Replacement Program?

A. Yes, SEIOP recommends a budget of $3.72 million per year in each of RY1, RY2, and RY3, a significant reduction in each rate year.

Q. Does SEIOP provide a reason for this significant reduction?

A. Yes, SEIOP claims the Company indicates it underspent its budget for this program over the past three years. SEIOP states its recommendation is based on the Company's historical underspending and funding levels for the three rate years based on recent actual historical spending and work activity trends in recent years.

Q. Do you agree with SEIOP reasoning for these significant reductions?

A. No, we do not. As discussed earlier in this testimony, relying on historic actual spending to forecast future funding ignores the reality of changing economic and operational conditions. Also, SEIOP fails to recognize that while the Company develops budgets based on established procedures, real world events may intervene and require the Company to adjust its actual spending. SEIOP's focus on historic underspend does not consider why underspending occurred. Notwithstanding the shortcomings associated with relying on historical spend, a more accurate assessment considers the 5-year average, including 2020–2021, when the program averaged approximately $11 million annually—even during COVID-related disruptions. The Company's forecast

aligns more closely with this longer-term trend, especially when accounting for rising material and labor costs.

Manhole Cover Replacement Program

Q. Does Staff recommend any adjustments to the Manhole Cover Replacement Program?

A. Yes, SEIOP recommends adjusting this program's budget to $1.5 million for each rate year, RY1, RY2, and RY3, a reduction in all three rates years and a significant reduction in RY2 and RY3.

Q. Does SEIOP provide a reason for these reductions?

A. Yes, SEIOP points out that the Company has only experienced 112 manhole explosions, or approximately 22 explosions per year, from 2020 through 2024, on the underground distribution system of 266,900 structures, data provided in Company response to DPS-39-873. Based on this, SEIOP claims the Company has not provided sufficient justification for the significant increase in the number of manhole covers it plans to replace, or the increasing number of vented and latched covers it plans to install. As such, the SEIOP recommends the Company target 500 manhole replacements each rate year, in high density areas or areas of potential

hazards, consisting of both vented covers and vented with latches covers.

Q. Do you agree with this recommendation?

A. No, we do not. The Company believes that each of the 112 high energy events resulting in a cover explosion from 2020 to 2024 represented a material threat to life and property. Con Edison believes the investments in this program are commensurate with the safety risk associated with manhole explosions. The increases in program expenditure continues to reduce the persistent public safety risk posed by ejected and airborne manhole covers. To accomplish the goal of reducing explosion beyond what is achievable by legacy vented cover alone, we seek to deploy the enhanced and safer vented-and-latched covers. Over the past five years, Con Edison has been engaged in the testing and piloting of vented-and-latched manhole cover systems, with the primary objective of enhancing public safety. As part of this initiative, the pace of cover replacement efforts was intentionally reduced to accommodate the necessary testing and validation phases of the new design. In the last five years, Con Edison has installed on average 487 vented-and-latched covers annually, on a pilot basis. During that

time, these covers have proven their superiority over the legacy vented covers. With the successful validation of the vented-and-latched cover systems, the Company is now positioned to expand implementation efforts returning to pre-pilot levels plus 10%, totaling 6,500 installations annually. Therefore, the Company maintains that the increase for this program is reasonable. In summary, the annual target of 6,500 vented-and-latched cover installations is consistent with pre-pilot average annual installations plus 10% to account for incidental emergent cover replacements requested by crews during the normal course of business.

Q. Do other parties recommend adjustments to this program?

A. Yes, NYECC appears to tie this program to concerns about the definition of clean energy which, demonstrates a misunderstanding of this program and the Company's filing in this case. As the Company mentions in the white paper in Exhibit___(EIOP-8) on page 137, the primary intent of this program is public safety.

Q. Does NYECC have any other concerns with the Company's Manhole Cover Replacement Program?

A. NYECC appears to frame the public safety and minimizing damage to the electric system as "collateral benefits" and calls these "dubious at best."

Q. Do you agree with NYECC's assessment?

A. No, we do not. As we discussed earlier, the primary reason for this program is public safety and the program has concrete benefits. NYECC simply says these reasons are dubious at best and points to the Company's response to DPS-39-873 without any further explanation.

Q. Does NYECC have any other concerns with the Company's Manhole Cover Replacement Program?

A. NYECC disagrees with the funding for the Manhole Cover Replacement Program. It questions both the increase in cost for locked and vented manhole covers over the vented manhole covers and the Company's proposal to increase the number of manhole covers being replaced.

Q. Do you agree with NYECC's concerns?

A. No, we do not. The unit cost per vented-and-latched cover is $3,300 which includes material, handling and labor. The material cost is $1,300. Freight shipping, handling, program management and installation labor costs total $2,000. The vented-and-latched covers are complex safety

systems with latching components designed, forged, machined, and assembled separately. For comparison, the budgeted unit cost for unrestrained vented cover installation from 2022 to 2025 was $825. These covers were simple metallic plates with venting holes with no separately-produced movable latching components. As for the increase in number of covers, the Company maintains that the installation target returns to the pre-pilot levels from 2015 to 2019. The increases in the number of covers being replaced aims to further reduce the persistent public safety risk posed by ejected and airborne manhole covers. To accomplish the goal of reducing explosions beyond what is achievable by legacy vented cover alone, we seek to deploy safer vented-and-latched covers. Over the past five years, Con Edison has been engaged in the testing and piloting of vented-and-latched manhole cover systems, with the primary objective of enhancing public safety. As part of this initiative, the pace of cover replacement efforts was intentionally reduced to accommodate the necessary testing and validation phases of the new design. In the last 5 years, the Company has installed on average 487 vented-and-latched covers annually, on a pilot basis.

During that time, these covers have proven their superiority over the legacy vented covers. With the successful validation of the vented-and-latched systems, the Company is now positioned to expand implementation efforts returning to pre-pilot levels plus 10%, totaling 6,500 installations annually.

Midel Exchange Program

Q. Does Staff make any recommendations for the Company's Midel Exchange Program?

A. Yes, SEIOP recommends the Company prioritize the 27 in-service transformers during the rate years and retro-fill the spare transformers at a later date.

Q. Do you agree with this recommendation?

A. No, we do not. It would not be prudent to defer to a later date, the inspection, cleaning of affected components and retro-fill of the sixteen spare transformers in storage for several reasons. First, deferring this corrective action increases the amount of time the transformers are exposed to the synthetic ester liquid that is a concern, allowing further degradation to occur. Second, the sixteen units in the spare yard are either for emergency use, in the event

of a failure, or for a scheduled planned replacement. In the event of a power transformer failure, these transformers need to be ready for deployment. One of these spare units would be installed on an expedited basis to minimize the time that the transformer is unavailable for service and potentially impact the reliability of the electric system. Third, both the synthetic ester dielectric liquid, with its five-to-six month lead time, and the vendor technicians, who are needed to support the work, are in high demand, have limited availability and need to be coordinated when they are available to sequentially complete the required work. In the event of a failure and expedited emergency replacement, there is no guarantee that these resources would be available on short notice without prior scheduling. Fourth, two of the units in storage are scheduled for planned replacements during January through May 2027. Con Edison would not want to defer retro-filling these units and have to perform this work during the scheduled outage, potentially increasing the outage duration if resources could not be coordinated appropriately to minimize impact to the outage and

replacement schedule, or have to schedule an additional outage to address this work at a subsequent time.

Q. What funding level did SEIOP set for this program?

A. SEIOP calculated the average cost per transformer to be ~$1.046 million by dividing the total number of transformers (43) by the total budget of this program of $45 million. Based on this, SEIOP recommends the Commission determine a budget of $9.42 million per year, which reflects SEIOP's goal of nine in-service transformers per year, multiplied by the average cost per transformer that SEIOP calculated.

Q. Do you agree with SEIOP's method for determining the average cost to retro-fill in-service transformers?

A. No, we do not. As discussed above, the Company must do this work on both the in-service transformers and the not in service transformers, or spares. Further, Staff's method for calculating the costs for each transformer fails to consider the cost difference between retro-filling an in-service transformer and a transformer that is not in service. In its response to the Company's interrogatory (CECONY 6-73), SEIOP admits that "the Panel did not have the data necessary to account for the difference in costs

between the retro-filling of an in-service transformer and a transformer not in-service."

Mobile Program for Feeder Leak Detection

Q. Does Staff make any recommendations for the Company's Mobile Program for Feeder Leak Detection program?

A. Yes. SEIOP does not support any funding for this program.

Q. Does SEIOP provide a reason for not supporting the program?

A. Yes, SEIOP states in response to DPS-37-831 the Company stated it withdraws this program as it inadvertently submitted two separate requests for this program in two different testimonies.

Q. Do you agree with SEIOP not supporting this program under this Panel?

A. Yes, we do, as stated by SEIOP and in the Company's response to DPS-37-831, the Company inadvertently included two requests for this program, one under EIOP that the Company is withdrawing and one under the Company's Shared Services Panel, the Chem Lab Equipment and Vehicles program, that the Company is maintaining.

Non-Network Reliability

Q. What is Staff's recommendation for the Non-Network Reliability program?

A. The Staff ERRPM Panel recommends a capital budget of $45.0 million, $46.1 million, and $47.1 million in RY1, RY2, and RY3, respectively, this equates to downward adjustments of approximately $33.3 million, $34.0 million, and $34.0 million for RY1, RY2, and RY3, respectively.

Q. Does Staff ERRPM Panel provide any rationale for their recommendation?

A. The Staff ERRPM Panel acknowledges the program's importance, but it questions the number of jobs the Company plans to complete under this program. The Staff ERRPM Panel states there is a significant increase in forecasted work under this program and points to the underspend in the 2024 budget for this program. The Staff ERRPM Panel states the Company underspent its budget in 2024 and over the last three years the Company completed a yearly average of 870 jobs. The Staff ERRPM calculated the average unit cost was $52,000 per job. To determine funding for the three rate years, it multiplied the average unit cost by the average

number of jobs completed over the last three years and adjusted the result for inflation.

Q. Do you agree with the Staff ERRPM Panel recommendation for this program?

A. No, we do not. As detailed in Section I of our rebuttal testimony, the Company disagrees with the Staff ERRPM Panel's reliance on historic spending and job counts to determine future funding levels. Using a historic average, without consideration of evolving system needs, program scope, and investment strategy, fails to account for the Company’s progress and forecasted growth. As mentioned in DPS-12-373, since 2019, the Company has more than doubled the number of work requests completed annually, reflecting an average annual growth in volume of approximately 25%. This expansion highlights an upward trend in demand and execution. Additionally, the Staff ERRPM Panel's reference to “underspending” is not reflective of the broader context. The Company’s actual spend exceeded budget targets in 2020, 2022, and 2023. This demonstrates not only a commitment to program execution, but also the flexibility to reallocate resources in response to operational needs and weather conditions. The variance in 2024 was due to

capital constraints. Importantly, these shifts were temporary, and several deferred projects are now scheduled for 2025.

The ERRPM Panel Staff's calculation of a $52,000 unit cost based on a three-year average of 870 jobs lacks necessary context, overlooking year-over-year growth, increasing program complexity, and the Company's ongoing efforts to optimize resource allocation. Full funding is justified based by the Company's proven performance and ongoing need to strengthen system reliability and resiliency.

Q. Are other recommendations related to the Non-Network Reliability program included in the testimony of other parties?

A. Yes, NYC EIP discusses this program in its discussion of proactive versus reactive reliability programs. The Company rebuts the recommendations from that discussion in section IV.B below.

Overhead Insulator Resiliency

Q. What is Staff's recommendation for the Overhead Insulator Resiliency program?

A. The Staff ERRPM Panel recommends a capital budget of $4.0 million, $4.5 million, and $4.5 million, in RY1, RY2, and RY3, this equates to downward adjustments of approximately $5.2 million, $4.7 million, and $2.2 million for RY1, RY2, and RY3, respectively.

Q. Does the Staff ERRPM Panel explain the rationale for its recommendation?

A. The Staff ERRPM Panel states it supports the program's overall objectives, but it believes the Company will continue to struggle to gain feeder outages. The Staff ERRPM Panel states the Company has been able to complete two feeders since 2020 due to the need for prolonged feeder outages. The Staff ERRPM Panel claims the Company proposal to complete four feeders in three years is unreasonable because of feeder outage constraints. Since feeder outages rely on a variety of factors such as scheduling constraints, system load fluctuations, permit and regulatory requirements, and resource allocations, the Staff ERRPM Panel recommends that the Commission fund only two of the four proposed feeders to reflect the Company's recent historical trend in performing this work.

Q. Do you agree with this recommendation?

A. No, we do not. While we recognize the Staff ERRPM Panel's concern regarding the ability to obtain feeder outages, we also point out that the work planned for this program annually is focused on replacing the insulators on specific feeders, to optimize the use of feeder outages and to efficiently and effectively prepare to perform the identified work. Without full funding associated with the work planned on specific feeders in each of the rate years, the Company could be unable to perform the planned work on the identified feeders when outages are made available, resulting in the need for additional outages at later dates to complete the insulator replacements on each of the identified feeders, sub-optimizing use of available outages and the effectiveness of the program by leaving at-risk equipment on partially-completed feeders.

Overhead Tower Rapid Rail Program

Q. Does Staff have any recommendations for the Company's Overhead Tower Rapid Rail Program?

A. Yes, SEIOP recommends a budget of $3.723 million for each rate year, RY1, RY2, and RY3, a reduction in each rate year.

Q. What is the Panel's rationale for its recommendation?

A. SEIOP asserts the three-year average reflects a more accurate representation of current costs, due to the increased costs, associated lead times, inflation and supply chain issues. SEIOP claims the Company can target around 50 installations each rate year, instead of 65.

Q. Do you agree with this reasoning?

A. No, we do not. While SEIOP does acknowledge that there are increased costs associated with this program, it instead recommends reducing the targeted towers per year rather than accepting the Company's planned funding level. However, SEIOP provides no reasoning as to why a target of 50 installations is appropriate or any analysis behind the additional safety risk associated with this reduction.

Overhead Transmission Structures Program

Q. Does Staff make any recommendations for the Company's Overhead Transmission Structures Program?

A. SEIOP recommends a budget of $1.5 million for each rate year, RY1, RY2, and RY3, reducing the budget for this program by half in each rate year.

Q. What is SEIOP's rationale for its recommendation?

A. SEIOP claims the three-year average reflects a more accurate representation of current costs. SEIOP States based on historical spending, the three-year average was $945,000 and the highest spending is $1.65 million. SEIOP claims the Company has not justified additional spending.

Q. Do you agree with this reasoning?

A. No, we do not. As discussed earlier in this testimony, relying on historic actual spending to forecast future funding ignores the reality of changing economic and operational conditions. Further, SEIOP takes a contradictory position by citing a more accurate representation of current costs as the reason for this reduction while also using the historical three-year annual costs as the basis for the proposed funding level. SEIOP does not provide any discussion or analysis to refute the basis for estimate provided by the Company in its Overhead Transmission Tower white paper and also does not provide any rationale for a reduction in the targeted number of annual tower enhancements, so it is not even clear what Staff’s recommendation is, a reduced cost per tower based on the current costs SEIOP cites but do not elaborate on or a reduction in the targeted number of towers per year.

Pipe Enhancement Program

Q. Does Staff make any recommendations for the Company's Pipe Enhancement Program?

A. Yes, SEIOP recommends a budget of $33.723 million for each of RY1, RY2, and RY3, a reduction for each rate year.

Q. Does SEIOP provide a rationale for the reduction in funding?

A. Yes, SEIOP claims based on the Company's response to DPS-24-575, the volume of dielectric fluid released in 2021 increased significantly to 154,923 gallons, compared to 63,166 gallons in 2020. SEIOP then points to Exhibit___(EIOP-8), page 183, and the Company statement that its Pipe Enhancement program is intended to reduce dielectric fluid leaks. SEIOP claims the data presented does not demonstrate a downward trend in fluid releases, and in fact shows a year-over-year increase between 2020 and 2021. As such, SEIOP is unable to determine the effectiveness of the Pipe Enhancement program or verify whether it has contributed to any meaningful reduction in environmental impact. Consequently, SEIOP states it cannot support the Company's proposed incremental funding increase

for this program without further evidence of its success or alignment with historical cost trends. Therefore, the funding is based on the Company's five-year average of actual historic spending.

Q. Do you agree with SEIOP's reasoning?

A. No, we do not. First and foremost, we believe that Staff's justification for reducing program funding based on increased dielectric fluid releases from a single data point (i.e., the annual period between 2020 and 2021) is unreasonable and lacks an understanding of the purpose of this program, what work is in scope for the program, and how in-scope work is identified and prioritized. This program is designed to address dielectric fluid leaks on Con Edison's underground transmission feeder system both proactively – by replacing portions of underground feeders that have histories of leaks, are identified as showing corrosion or that, or are believed to be at high risk of future leaks due to age and/or environmental conditions – and reactively by addressing current leaks when identified. The Con Edison underground transmission feeder system is the largest in the world, and it is impossible to conduct a full assessment and to identify all the feeders that should

be priorities for proactive enhancements before leaks occur; so, leaks will occur and be addressed (reactively) as part of this program. Both the proactive pipe enhancement work and the reactive pipe enhancement work are funded through the same program budget, meaning that, in years where underground transmission feeder leaks must be addressed under the program, less proactive program work can be completed.

Furthermore, we do not agree that average historical program spend should ever be used to set future program funding requirements. Given that the actual spend in any year will include costs associated with addressing actual feeder leaks, a cost that is unpredictable and likely to be higher given the emergent nature of this work, and that there is no way to predict how much of the future program spending may be needed to address actual leaks, historical spend is not a supportable predictor of future spend. The use of historical spend also ignores the very real future cost increases per unit that have been seen with the proactive pipe enhancement work and which are forecasted to continue, as explained in both the white paper for this program and included in our response to DPS-24-575.

Primary Feeder Reliability

Q. What is the Staff's recommended funding for the Primary Feeder Reliability program?

A. The Staff ERRPM Panel recommends a capital budget of $33 million in each of RY1, RY2, and RY3, equates to downward adjustments of approximately $32.3 million, $33.8 million, and $32.9 million for RY1, RY2, and RY3, respectively.

Q. Does the Staff ERRPM Panel explain the rationale for its recommendation?

A. The Staff ERRPM Panel states it has three concerns with the Company's proposal for the Primary Feeder Reliability program. First, the Staff ERRPM Panel states the system performance remains robust. It asserts that despite the Company deferring approximately $50 million in capital funding over the past two years, the NRI target of 1.0 continues to be met. The Staff ERRPM Panel claims this indicates that reliability has not suffered even with the reduction of program funding.

Second, the Staff ERRPM Panel states the Company has not developed a forecasted NRI model, and without such forecasts, it asserts it is unclear how the Company

determined that the requested investment levels were necessary to meet future system needs under a one degree Fahrenheit increase in TV by 2030.

Third, the Staff ERRPM Panel states the Company has established a new Primary Feeder Resiliency Program, which now serves as a key component of its climate adaptation and system reliability strategy. This program includes several critical features that enhance network resilience.

Q. Do you agree with these reasonings?

A. No, we do not. The Staff ERRPM Panel's reliance on historical performance and funding levels fails to reflect the increasing complexity and urgency of system needs. Meeting an NRI threshold does not fully capture the risks posed by future system conditions, particularly as temperatures rise. As mentioned in Section I of our rebuttal testimony, the Company has already reprioritized work in response to system demands and customer needs, which explains funding shifts like the underspend in 2024. Relying on past cost levels ignores recent inflationary pressures, rising material and labor costs, and the increasing volume of work driven by analytic prioritization efforts.

As discussed in the Company's response to DPS-13-382, the Company will work Primary Feeder Reliability and Primary Feeder Resiliency programs in parallel. Underfunding the reliability program now risks missing key opportunities to prepare for 2030 conditions, weakening the system's ability to remain reliable and resilient during peak events.

Q. Did other parties recommend adjustments to the Primary Feeder Reliability program?

A. Yes. NYC EIP points to the two alternatives the Company provided in the white paper for this program. Alternative 1 was to replace only the high failure rate transition splices with a newer, more reliable splice design which would reduce program costs by one-third. Alternative 2 is a cable diagnostic system to accurately determine paper insulate lead cable, or PILC health, targeting only unhealthy cable for replacement.

Q. What does NYC EIP suggest related to these two alternatives?

A. NYC EIP claims while Con Edison notes these alternatives might be less reliable or that diagnostic systems have not proven effective, implementing them could provide needed relief at a fraction of the cost, potentially remedying the

problem or at least postponing substantial costs to ratepayers. NYC EIP asserts if these alternatives provide a permanent solution, their temporary relief will push added costs out several years and recommends that the Company be required to explore the use of such alternatives.

Q. Do you agree with this recommendation from NYC EIP?

A. No, we do not. NYC EIP fails to mention, what was referenced in the white paper, that replacing only high-failure transition splices would result in a less reliable system, as it leaves the aging PILC cable in service, these cables fail at a rate 2.5 times higher than modern alternatives, undermining the overall reliability goals of the program. Additionally, NYC EIP fails to mention that cable diagnostic systems like Partial Discharge and Tan-Delta have not proven effective on the Company's primary distribution system, making them unreliable tools for determining the true condition of PILC cable.

Q. Did NYC EIP make other recommendations for this program?

A. Yes, NYC EIP discusses this program in its discussion of proactive versus reactive reliability programs. The Company rebuts the recommendations from that discussion in section IV.B below.

Protection, Control and Automation

Q. What does Staff recommend for the Protection, Control and Automation program?

A. The Staff ERRPM Panel recommends a capital budget of $24.5 million, $25.1 million, and $25.6 million in RY1, RY2, and RY3, this equates to downward adjustments of approximately $2.4 million, $32.8 million, and $32.3 million for RY1, RY2, and RY3, respectively.

Q. Does the Staff ERRPM Panel provide a rationale for these reductions?

A. The Staff ERRPM Panel's states its recommendation is based on a prioritized allocation of funds across key components of the whole program. This includes approximately $20 million for the Data Diode sub-program, $3.5 million for the RTU and Alarm Panel sub-program to support the replacement of five high-priority units, and $1 million for the Interface Device Installation sub-program to support two targeted installations per year. The Staff ERRPM Panel asserts these amounts reflect their focus on funding activities that are adequately supported by the Company, including presence of clear prioritization, scope, and

justification. The Staff ERRPM Panel indicates the recommended funding levels in RY2 and RY3 allow for expected inflation and modest support for other sub-programs, while maintaining the overall cost discipline of the approach.

Q. Do you agree with the Staff ERRPM Panel recommendations?

A. No, we do not. As mentioned in Section I of rebuttal testimony, the Staff ERRPM Panel fails to acknowledge the risks of deferring investments. While we acknowledge the Staff ERRPM Panel's focus on prioritization and cost discipline, delaying necessary investments poses significant risks. Deferring projects can increase strain on the system, elevate the likelihood of equipment failures, and create safety and reliability concerns.

Q. Does the Staff ERRPM Panel have any concerns with Protection, Control and Automation Program?

A. Yes, while it agrees with the Company's proposal for data diode installations, it has concerns with the RTU program, CMVM program, and Interface Device Installation Program upgrades listed above.

Q. What are the Staff ERRPM Panel's specific concerns with the RTU and Alarm Panel sub-program?

A. The Staff ERRPM Panel states the Company plans to ramp up replacement of RTU and alarm panel units from seven in 2026 to 22 and 19 units in both 2027 and 2028. The Staff ERRPM Panel states the Company identified 48 out of the 107 substations as being on the priority list, and five units were classified as high priorities for replacement in RY1. Considering this information, the Staff ERRPM Panel concludes that it is appropriate to recommend funding based on priority levels of the units. The Staff ERRPM Panel estimates the cost is $0.7 million per RTU and alarm panel, which results in a need of $3.5 million to replace the five high priority units in RY1.

Q. Do you agree with the Staff ERRPM Panel recommendation for RY1 for RTU and alarm panel?

A. No, we do not. Focusing only on high-priority units overlooks broader system risk. By not funding proactive upgrades beyond the high-priority list, the Company may face higher costs and greater operational and maintenance costs.

Q. What does the Staff ERRPM Panel recommend for RY2 and RY3?

A. The Staff ERRPM Panel believes a more gradual approach reflecting Con Edison’s replacement priority is warranted

at this time and recommended the same level of funding in RY2 and RY3, i.e., $3.5 million.

Q. Do you agree with the Staff ERRPM Panel recommendation for RY2 and RY3 for RTU and alarm panel?

A. No, we do not. The Company's plan to replace 22 and 19 units in 2027 and 2028 reflects its belief that deferring broader replacements in RY1 could create a resource bottleneck in later years, undermining system reliability. Full funding for RTU replacements in RY2 and RY3 is essential because many existing units are obsolete, irreparable, and unsupported by defunct original equipment manufacturers, leading to emergency failures that jeopardize system reliability—whereas the new RTU standard (NovaTech Orion LX+) offers enhanced serviceability, speed, and configurability that will materially strengthen operational stability.

Q. Please describe the Staff ERRPM Panel concerns with the CMVM Upgrades.

A. The Staff ERRPM Panel states the Company did not provide any data to support this program in its testimony, nor in its response to DPS-19-515. Specifically, the Staff ERRPM Panel indicates the Company did not provide any historical

work units, actual spending history, documented work failures, or a defined prioritization or schedule for the upgrades. Based on this the Staff ERRPM Panel concludes Con Edison has not provided a basis for this program or the requested funding, and it recommends the Commission reject the Company's request to fund this program.

Q. Do you agree with the Staff ERRPM Panel's recommendation?

A. No, we do not. Obsolete controllers pose immediate risk. The Company has shown that existing CMVM controllers are unrepairable and failing, already impacting voltage control at key substations like W42nd St. Digital CMVMs offer critical improvements—automatic control, fiber reliability, DER integration—even if full prioritization data is still in progress.

Q. Please describe the Staff ERRPM Panel concerns with the Interface Device Installation sub-program, previously known as the Control Cable Upgrade Program.

A. The Staff ERRPM Panel states that Con Edison's response to DPS-19-515 provides a priority list of substations based on corrective maintenance work orders and time spent working on those issues. One substation received a high priority score of 86 out of 100. Five substations scored between 40

and 60, while the remaining are considered low priority. Based on the response to DPS-19-515, the Staff ERRPM Panel recommends an adjustment of two units per year, at an estimated cost of approximately $1 million annually.

Q. Do you agree with this recommendation?

A. No, we do not. The Company's plan to replace 15 and 24 units in 2027 and 2028 signals that deferring interface device installations could create a resource bottleneck in later years, undermining system reliability. Delays would also heighten troubleshooting challenges at already heavily impacted substations.

Queensboro Bridge Risk Mitigation

Q. Does Staff recommend any adjustments to the Queensboro Bridge Risk Mitigation project?

A. Yes, SEIOP recommends the Company re-route four feeders instead of six and recommends delaying this project by one year.

Q. What is SEIOP's rationale for this recommendation?

A. SEIOP states that while it agrees with the need for the project, it also believes that the Company should not re-route six feeders at this time. SEIOP believes that the

Company should focus on the feeders that have had costly outages, such as feeder 38M01, or multiple outages. Acknowledge even though the probability of the bridge collapsing is low, SEIOP recommends work on these four feeders and work on the remaining feeders as the need arises to mitigate the risk of any large events.

Q. Do you agree with this reasoning?

A. No, we do not. The goal of the project is to move all twelve feeders off the bridge in a phased approach, starting with the highest risk. In Phase 1 of the project, Con Edison is targeting six 138kV feeders. Most of the project costs are allocated for tunnel construction under the East River, from Manhattan to Queens. The feeders will run through the tunnel, and incremental costs per feeder installation will be mitigated by cost synergies in construction. The feeders will be relocated and energized gradually over time. The target staging is to energize two feeders per year over three years. Due to current bridge configuration, any repair of a 138kV Solid Dielectric joint or cable failure on a bridge will be very long due to special scaffolding erection, costly, and, in some cases, infeasible for repair. All six 138kV feeders share a

similar design and construction, and are in a similar condition, so targeting only four feeders rather than six, does not resolve the potential for significant risk of feeder failure and inability to repair.

Q. Does SEIOP provide any other reasons for their recommendations?

A. Yes, SEIOP states the Company was provided funds of $20 million and $41 million in 2023 and 2024, respectively, but it only spent $72,000 and $367,000, respectively, in those years due to conflicts with the proposed trenchless crossings route. SEIOP points to the Company response to DPS-32-754 stating it expects to receive the documents and records from Cornell Tech that would allow the Company to obtain the necessary permits that would allow the project to progress from the concept to design phase, but the discussions regarding the new trenchless crossing route with Cornell Tech and the New York City Economic Development Corporation are taking longer than expected. SEIOP recommends the Commission delay the funding for this project by a year along with the previous recommendation of working on four feeders instead of the proposed six feeders. Based on this, the SEIOP recommends adjusting the

proposed budget to $16.5 million and $72.6 million in RY2 and RY3, respectively.

Q. Do you agree with this recommendation and SEIOP's reasoning?

A. No, we do not. Delaying the project by a year would have significant negative impacts. Initial delays during project inception with Cornell Tech will not propagate forward to the construction phase. The Company is currently finalizing the selection a vendor to initiate geotechnical borings this year. According to the timeline, permit approval could take up to six months. Without completing the geotechnical borings, Con Edison cannot proceed with finalizing the design route. Therefore, it is crucial that the project continues to receive funding in 2026. As previously mentioned, most of the project costs are allocated for tunnel construction, and all feeders will be relocated gradually over time.

Reinforced Ground Grid Program

Q. Does Staff make any recommendations for the Company's Reinforced Ground Grid Program?

A. Yes, SEIOP recommends reducing the capital budget to $3.4 million in RY1, and $1.33 million in RY2 and RY3.

Q. Does SEIOP explain the reason for these reductions?

A. Yes, SEIOP states the budget for RY1 is based on the $6.4 million total cost for the North Queens and Sprain Brook projects, reduced by the forecasted $3.0 million budget in 2025. For RY2 and RY3 SEIOP used the three-year average spend.

Q. Do you agree with SEIOP's method of determining the annual budget for this program?

A. No, we do not concur. It is capricious to suggest reductions to a specific program without first assessing the program and explaining why the proposed reductions are warranted. It is arbitrary to propose reductions to a specific program without first evaluating the program and explaining why the proposed reductions are justified in light of the program's activities. Reasoned decision-making requires an analysis of the Company's reasons for its funding requests and an explanation, supported by evidence, of why those reasons are incorrect or inadequate. Absent that, a proposal to cut funding based solely on the fact that the Company has not historically reached that spending

level is simply a "hair-cut" that may not reflect system needs and is unsupported by the record.

Relying on historical spending to predict future funding disregards the reality of evolving economic and operational conditions. Costs are not static; they fluctuate due to inflation, supply chain disruptions, regulatory requirements, and system conditions. Additionally, the volume of work conducted in the past may be influenced by various factors and should not be seen as a limiting factor to what the Company can achieve in the future.

Staff does not recognize Company estimates of future costs that include realistic increases in expected material and labor costs.

In summary, exclusive reliance on historical spending without additional context is arbitrary and unreasonable. The Company believes that projected future needs for capital investment should be evaluated based on their merits, considering the dynamic energy landscape and growing demand for resiliency. The Company has provided comprehensive details on the work it is forecasting for these programs in its initial testimony and white papers,

which remain unchallenged by Staff's cuts based on historical data.

Q. Does SEIOP explain why it made these adjustments?

A. Yes, SEIOP states it subtracted the 2025 budget from the cost of the North Queens and Sprain Brook projects since they are the only projects identified by the Company under this program for 2025 and 2026. SEIOP states it expects the Company will spend the entirety of the 2025 budget for these two projects, resulting in the remaining $3.4 million to be funded in RY1. For RY2 and RY3, SEIOP's recommendation is based on the three-year average actual expenditures from 2021 to 2024. SEIOP asserts this adjustment reflects that the Company did not justify the requested budget when considering the historical underspending in this program, as well as a lack of identified projects for 2027 and 2028.

Q. Do you agree with SEIOP's reasoning?

A. No, we do not agree. SEIOP overlooks that the Company must adjust its spending due to real-world events, which is why historical underspending occurred. This does not justify reducing future funding requests. Historical underspending

(2022–2024) was due to temporary resource constraints and funding reprioritizations, not a lack of need.

Relay Modifications Program

Q. Does Staff make any recommendations for the Company's Relay Modifications Program?

A. Yes, SEIOP recommends $42 million in funding per year, for RY1 through RY3. SEIOP states their adjustment reflects Con Edison's three-year average spending on the program.

Q. Does SEIOP provide an explanation for its recommendation?

A. Yes, SEIOP states, while it agrees with the need for this program, it does not support the increased funding request. SEIOP used the three-year average spend to set the funding for this program.

Q. Do you agree with SEIOP reasoning?

A. No, we do not. The proposed relay upgrades are crucial to maintaining system reliability and public safety. Deferring them risks protection system failures, customer outages, equipment damage, longer restoration times, and higher costs. Moreover, as we have explained, it is unreasonable to: (1) propose reductions to a specific program without first evaluating the program and justifying each proposed

reduction and (2) rely on historical spending to forecast future funding without considering current and projected costs and whether the reasons underlying the historic spending continue to apply. SEIOP's funding recommendation, based on a three-year average, also fails to account for the fact that actual program spending consistently exceeded budgeted amounts—by over 100% annually from 2020 to 2023. Furthermore, the analysis does not consider ongoing increases in material and labor costs, which further understates future funding needs.

Relay Protection Communication Upgrades Program

Q. Does Staff make any recommendations for the Company's Relay Protection Communication Upgrades Program?

A. Yes, SEIOP recommends a capital budget of $4.2 million per rate year for RY1, RY2, and RY3, a reduction of $0.8 million each rate year.

Q. Does SEIOP provide a rationale for this reduction?

A. Yes, SEIOP states its recommended capital budgets for the rate years reflect the Company's average spending for this program in the last five rate years from 2020 to 2024 since

the Company has underspent in this program for four consecutive years from 2021 to 2023.

Q. Do you agree with this reasoning?

A. No, we do not. As we have explained previously, if relying on average actual spend for previous work, it is necessary to understand the specifics of the work and cost drivers during each of the previous cost periods. In the case of this program, we do not agree that actual program spend for 2020 and 2021 should be included in estimates of future program costs because there was no work in one of the three work categories under this program – the Verizon communications upgrade work – in either of those years. The average annual spend for the Verizon upgrades, in the year when Verizon is actively upgrading circuits to the substations (five of the eight years between 2017 and 2024) has been approximately $700k.

Rights of Way (ROW) Roadway Access

Q. Does Staff make any recommendations for the Company's Rights of Way (ROW) Roadway Access program?

A. Yes, SEIOP recommends reducing the annual funding in all three rate years from $4.00 million to $0.015 million.

Q. Does SEIOP provide a reason for these reductions?

A. Yes, SEIOP claims its recommendation is based on the Company's historical underspending and shifting of funds to other priorities. SEIOP also states the Company has not been able to achieve the budgeted feet of roadway improvements for the past three years. Therefore, SEIOP recommends funding levels for the three rate years based on recent actual historical spending and work activity trends in recent years.

Q. Do you agree with this rationale?

A. No, we do not. As discussed earlier in this testimony, relying on historic actual spending to forecast future funding ignores the reality of changing economic and operational conditions. Also, SEIOP fails to recognize that while the Company develops budgets based on established procedures, real world events may intervene and require the Company to adjust its actual spending. SEIOP's focus on historic underspend does not consider why underspending occurred. Further, SEIOP ignores the approximately six miles of roadways already identified as priorities through site visits and inspections discussed in the Company's response to IR DPS-37-832.

Substation Enclosure Upgrade Resiliency

Q. What is Staff's recommendation for the Substation Enclosure Upgrade Resiliency program?

A. The Staff ERRPM Panel recommends a capital budget of $0.7 million for each of RY1, RY2, and RY3. This equates to downward adjustments of approximately $0.7 million in RY1, RY2, and RY3.

Q. Does the Staff ERRPM Panel explain the rationale for its recommendation?

A. The Staff ERRPM Panel acknowledges the necessity of hardening substations to address climate-driven vulnerabilities. But it indicates that in the last four years, the Company completed three enclosures, which is less than half of the eight enclosures that were budgeted for this period due to challenges of scheduling equipment outages as well as resource availability. The Staff ERRPM Panel expects these challenges to continue and recommends the completion of one enclosure in each rate year at a unit cost of $0.7 million.

Q. Do you agree with the Staff ERRPM Panel reasons for reducing the funding for the Substation Enclosure Upgrade Resiliency program?

A. No, we do not. While Staff ERRPM Panel's per enclosure cost estimate aligns with the Company's recommendation, the Company's target of replacing two enclosures per year allows it to take advantage of available outages at a single station where two enclosures may need to be replaced, either a switchgear enclosure and a relay enclosure or two enclosures of the same type (i.e., either both switchgear enclosures or both relay enclosures). Without the additional funding to plan for and execute simultaneous replacements at the same station, the replacements needed will require multiple outages.

Substation Transformer Replacement Program

Q. What does Staff recommend for the Company's Substation Transformer Replacement Program?

A. SEIOP recommends a budget of $102 million for each rate year, RY1, RY2, and RY3, a reduction in each of the rate years.

Q. What is SEIOP's rationale for its recommendation?

A. SEIOP states, based on the response to DPS-32-761, that replacing six transformers per year will yield a slightly higher failure rate of 5.5 failures by 2045, as opposed to five failures if the Company replaces eight transformers per year. Further, SEIOP states the three-year actual spending average is $95 million. SEIOP also states lead times, supply chain constraints, and increased costs are also a major concern. Based on this SEIOP recommends the replacement of six transformers per year with an average cost of $17 million each totaling $102 million per rate year.

Q. Do you agree with SEIOP recommendations for this program?

A. No, we do not. The Company's analysis currently shows that on average up to ten transformers need to be replaced annually for the next several years. Limiting the annual replacement rate to six units would hinder the Company's efforts to maintain long-term system reliability and further exacerbate the "replacement wall" the Company faces currently. Proactive replacements of eight units balances risk and resources by addressing supply chain constraints, increasing costs, and lead time challenges, while remaining within the Company's operational capacity.

Transformer Vault and Structure Modernization Program

Q. Does Staff make any recommendations for the Company's Transformer Vault and Structure Modernization program?

A. Yes, SEIOP recommends a capital budget of $62.406 million per year, in RY1 and RY2, and $64.269 million in RY3. This is based on the Company's forecasted units of work for RY1 multiplied by the historical five-year average unit cost, from 2020 through 2024.

Q. Do you agree with the level of funding that SEIOP recommends for this program?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. The proactive and strategic approach is primarily the reason for the increase in funding request, but increasing costs of material, equipment, and labor are also factors. While unit costs have fluctuated, they are all still significantly higher than they were in 2020; it is not appropriate to apply a 5-year historical average that ignores escalation.

Q. Do other parties make recommendations about this program?

A. NYC EIOP asserts the funding for this project is not justified and supported in any year as presented in the white paper in Exhibit_(EIOP – 8). NYC EIP claims, while the project addresses a valid need, allocating 25 percent of the budget in the first year would be excessive given that most of the work will be design and base construction.

Q. Do you agree with his observation?

A. No, we do not. The assertion that "most of the work with be design and base construction" is incorrect. This is an existing and ongoing program with projects in-flight at various stages of completion.

Transmission Failures Other

Q. Does Staff make any recommendations for the Company's Transmission Failures Other program?

A. SEIOP recommends adjusting this program's budget to provide $525,000 for each rate year, RY1, RY2, and RY3, a significant reduction for each rate year.

Q. What is SEIOP's rationale for its recommendation?

A. SEIOP states the three-year average reflects a more accurate estimate of current costs. Based on historical

spending SEIOP calculated the three-year average was $525,000 and the highest spend was $1.447 million.

Q. Do you agree with SEIOP's reasoning for these reductions?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. SEIOP's reliance on a three-year average overlooks critical project variability, as the program must remain equipped to address higher-cost scenarios like the 3-phase pothead and riser cable replacement at Corona Substation in 2020, which required a $3M budget to ensure system reliability under worst-case conditions.

Transmission Feeder Failures

Q. Does Staff make any recommendations for the Company's Transmission Feeder Failures program?

A. Yes, SEIOP recommends adjusting this program's budget to $14.880 million for each rate year, RY1, RY2, and RY3, a reduction of $3.120 million in each rate year.

Q. What is SEIOP's justification for its recommendation?

A. SEIOP claims the five-year average is a more accurate reflection of current costs and spending because actual spending in years 2022 and 2023 was less than $5 million. Further, SEIOP states the five-year average was $14.88 million per year from 2020 through 2024 and the highest spending in a year was $33.85 million, in 2024. Based on this, SEIOP recommends that the budget match the average spending completion activities for the last five years.

Q. Do you agree with SEIOP's reasons for these reductions?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. As mentioned in the white paper in Exhibit___(EIOP-8, p. 293) averaging past spending fails to reflect the scale and urgency of recent failures, as repairs on just two critical 345kV feeders between late 2023 and early 2024 cost approximately $19.5M, demonstrating the need for a higher annual budget to adequately respond to similar events moving forward. Proactive investment is essential to system reliability, as delaying repairs or upgrades can lead to significant operational risks, including customer outages, costly

emergency mobilizations, and disruption to planned transmission work.

Underground Secondary Reliability

Q. What is Staff's recommended funding for the Underground Secondary Reliability program?

A. The Staff ERRPM Panel recommends a capital budget of $21.1 million, $21.6 million, and $22.1 million in RY1, RY2, and RY3, respectively, this equates to downward adjustments of approximately $14.6 million, $15.3 million, and $15.8 million for RY1, RY2, and RY3, respectively.

Q. Does the Staff ERRPM Panel explain the rationale for its recommendation?

A. The Staff ERRPM Panel states that from 2022 through 2024 the Company's annual expenditures for this program average approximately $20 million. The Staff ERRPM Panel states historical performance shows that the Company often completes fewer units than budgeted largely due to shifting operational priorities.

Q. Do you agree with the Staff ERRPM Panel concerns related to the historic spend versus the Company's budget in the upcoming three years?

A. No, we do not. As discussed in section I of our rebuttal testimony, the Company believes that assuming that past spend is an appropriate predictor of future funding needs without understanding the purpose of the program and specific program activities and circumstances is arbitrary.

Q. Does the Staff ERRPM Panel express any other concerns with the Company's Underground Secondary Reliability program?

A. The Staff ERRPM Panel states that the Company fails to track and explain variances at a subprogram level and most costs are concentrated in the Rebuild subprogram, which has not met targeted units in recent years. The Staff ERRPM Panel indicates the lack of discrete tracking for activities under the Non-VDC remediation further complicates the ability to assess productivity and justify the increased funding request.

Q. Do you agree with this additional concern that the Staff ERRPM Panel has for this program?

A. No, we do not. As stated in our response to DPS-14-400, Staff's criticism of subprogram-level tracking overlooks ongoing improvements, including the Company's efforts to implement additional controls for tracking and explaining variances below the program level. Budget variance is

currently tracked at the program level, which aligns with how project priorities shift based on evolving reliability and risk-reduction needs.

Q. Based on its concerns, what does the Staff ERRPM Panel recommend for this program?

A. The Staff ERRPM Panel recommends funding that reflects recent performance levels while encouraging improved planning and tracking practices.

Q. Do you agree with this recommendation?

A. No, we do not. The Staff ERRPM Panel provides no justification for using past performance to set future funding, ignoring that recent results were impacted by COVID-19, storm recovery efforts, and capital constraints, as explained in DPS-14-400. The Staff ERRPM Panel overlooks both projected cost increases and tracking improvements, disregarding rising material, labor, and workload demands, as well as the Company's ongoing efforts to enhance subprogram-level tracking while continuing to align spending with reliability and risk-based priorities. Based on analytical studies, the life-cycle model for the secondary mains suggests that a replacement program of 1-1.5% (failure and preventive) targeted at the worst mains,

should be sufficient to maintain the current failure rate and average age. Accounting for historical failure-driven replacement rate, the current forecasted units supports the "Get no Worse" scenario.

The average failure-driven retirement of mains is approximately 4,500 per year. The targeted proactive remove-before-failure replacement plan is 975 per rate year. This equates to 6,250 total replacements (failure and preventive) representing a 1.05% replacement rate.

Q. Do other parties have recommendations related to this program?

A. NYC EIP states the information provided indicates that in 2025, Con Edison is projecting 11,000 linear feet to be serviced at an estimated cost of $7 million. NYC EIP asserts that in the rate years, the cost appears to be roughly 5 times the 2025 total for approximately 72% more feet of cable. NYC EIP claims this would be an excessive increase in cost per foot and is not supported by any justification within the whitepaper.

Q. Do you agree with NYC EIP's assessment?

A. No, we do not. The stated cost per foot of UG conduit for 2025 in UG Secondary Reliability is incorrect. This is due

to an error in the White Paper where the forecasted units for 2025 were not updated to reflect the $7 million budget. The units were originally based on a 2025 budget of $22 million. The correct conduit feet for 2025 should be 3,659, not 11,500. Recognizing this error brings the 2025-unit costs in alignment with past and forecasted values.

Q. Does NYC EIP make additional recommendations for the Underground Secondary Reliability program?

A. Yes. NYC EIP recommends the Commission direct the Company to provide: (1) a quantitative forecast (RY1-RY3) for new, repaired, AI-identified, and net year-end backlog of total open mains; (2) an analysis of a funding/operational plan required to hold the total backlog flat and to reduce it by 10% annually; (3) a quantitative risk assessment for the growing backlog of Priority 3-5 and AI-identified mains; and (4) a justification for the significant cost-per-foot increase in the "Underground Secondary Reliability" project compared to 2025. NYC EIP asserts that, pending the outcome of these additional analyses, the Commission should consider if the full $110.5 million is justified or if a revised budget linked to demonstrably controlling the total backlog is warranted.

Q. Do you agree with these recommendations?

A. No, we do not. First, the Company has already provided similar information related to open mains data in DPS-16-411. Second, the quantitative measure for the UG Secondary network system performance is the Network SAIFI and CAIDI values. The Open Mains backlog of priority 3-5 has been growing since 2020. During the last three years, Con Edison has met its Network SAIFI and CAIDI goals. Third, as we just discussed directly above, the stated cost per foot of UG conduit for 2025 in UG Secondary reliability is incorrect.. Lastly, the Company believes the $110.5 million is justified because it is proactively addressing a blend of proven types of issues in the UG Secondary Network system and supports an efficient means of scheduling work to provide the greatest possible value to system.

Underground Transmission Structures

Q. Does Staff recommend any adjustments to the Underground Transmission Structures program?

A. SEIOP recommends adjusting the budget to $8.3 million for each of RY1, RY2, and RY3.

Q. Does SEIOP provide a rationale for these reductions?

A. Yes, SEIOP states the Company completed 41 manholes in between 2020 and 2024 and the total cost was approximately $34 million and the average cost per manhole was approximately $0.83 million. SEIOP states the Company plans to work on ten manholes for all three rate years so using the average cost per manhole, it recommends the Commission determine the cost for each rate year be $8.3 million.

Q. Do you agree with this recommendation?

A. No, we do not. As discussed in section I of this testimony, the use of historical averages as proxies for future costs without adjustments for known anomalies and upward trending costs is arbitrary. As explained in the Company's response to DPS-34-781, several years included in SEIOP's recommended five-year average reflect projects where work at individual locations was carried out over multiple years. As a result, the associated costs were recorded in different years from when the work was completed, which skews the average cost per manhole. The Company believes that using 2023 and 2024 average unit costs are more representative periods to use for the total cost per installation.

Unit Substation Switchgear and Transformer Replacement

Q. Does Staff make any recommendations for the Company's Unit Substation Switchgear and Transformer Replacement program?

A. Yes, SEIOP recommends a budget of $19 million in RY1, $21 million in RY2, and $24 million in RY3, a reduction in funding for each rate year.

Q. Does SEIOP explain its reason for these reductions?

A. Yes, SEIOP states the Company's response to DPS-25-626 indicates that there was an average of only 0.8 Unit Substation Transformer failures in the last five years from 2020 to 2024, with no failures in certain years. As such, SEIOP reasons reducing the quantity of replacements will not result in any significant impact on the reliability of the electric system.

Q. Do you agree with this assessment?

A. No, we do not. While the Company reports an average of 0.8 unit substation transformer failures per year from 2020 to 2024, this is a narrow view that fails to reflect broader system risk and reliability concerns. The failure rate is largely a function of prioritization and replacement efforts. The most significant risk is now concentrated

among the remaining units identified on the pending, prioritized replacement list submitted with the current budget request. Ignoring this context, and relying solely on historical averages, overlooks the risks posed by aging infrastructure, evolving load conditions, and the potential for high-impact failures.

Q. Does SEIOP explain how it arrived at the funding that it recommends for this program?

A. Yes, SEIOP states on page 314 of Exhibit___(EIOP-8), the plan for each component within the rate years is listed in a table with the quantity and unit price. Using this information, SEIOP recommends reducing the number of modular switchgear replacements to three from four, modular switchgear-Elevation to three from four in 2027 and keep four in 2028, Unit Substation replacement also to three from four and SCADA replacement to four from eight.

Q. Do you agree with method?

A. No, we do not. The Company currently has no spare Unit Substation switchgear available, and historical replacements using legacy custom designs have taken up to two years to procure. Reducing replacements makes the system vulnerable to prolonged outages if failures occur,

given these long lead times. The Company is transitioning from aging custom switchgear to modular units that are easier to install and maintain. Staff's analysis overlooks the age and condition of existing transformers and switchgear, which increases the risk of future failures. Even if past failures were few, delaying replacements overlooks the aging equipment and puts future reliability at risk.

As mentioned in the Company's response to DPS-25-626, all Unit Substation switchgears slated for replacement exhibit significant deterioration—ranging from corroded structures and warped doors to worn components and obsolete relays. Several have already experienced operational failures, including auto reclose and relay malfunctions, which have led to customer outages. Replacing these aging units is essential to avoid further reliability issues.

3. Replacement Capital Expenditures

Q. Has the Company reviewed Staff's proposed funding levels for the Replacement Capital Expenditures capital projects and programs that are presented in the Company's initial and update testimony?

A. Yes.

Q. What are the total reductions proposed by Staff?

A. Staff proposes total reductions of $73.26 million in RY1, $91.90 million in RY2, and $103.06 million in RY3.

Q. Does the Company agree with Staff's proposed reductions?

A. No. The Company will explain why Staff's proposed cuts to individual capital projects and programs are unreasonable.

Failed Substation Transformer Program

Q. Does Staff recommend any adjustments for the Failed Substation Transformer Program?

A. Yes, SEIOP recommends a budget of $34 million for each rate year, RY1, RY2, and RY3, a reduction of $17 million in each rate year.

Q. Describe the SEIOP's justification for its recommendation.

A. SEIOP points to the Company's response to DPS-33-776 and states the average number of failed transformers since 2011 is below three per year. As such, SEIOP recommends planning for two failed transformers per year instead of three failed transformers. SEIOP claims considering the older fleet being replaced and recent failures and replacements over the previous years, planning for two failures per year

with an average cost of $17 million each, totals $34 million per rate year.

Q. Do you agree with SEIOP's reasoning for these reductions?

A. No, we do not. The Company experienced more than two in-service failures per year, approximately 2.7 failures per year between 2011 and 2024. As stated in the white paper the Company is requesting funding for three failures per year, however, a recent updated analysis observed more failures in the recent years, with seven units in 2021, three units in 2022, one unit in 2023 and three units in 2024. The average annual rate of failures in the last four years was 3.5 units per year. This rate agrees with the Company's internal condition-based transformer hazard rate model, which projects about four units per year in-service failures. Additionally, SEIOP fails to mention that lead times have increased to three to four years to obtain spare transformers for inventory. Based on the average of 2.7 transformer failures between 2011 and 2024, and the average of 3.5 transformer failures between 2021 and 2024, the Company has justified its request for 3 units per year.

Q. Do other parties recommend adjustments to this program?

A. Yes. NYC EIP discusses this program together with other transformer purchase and replacement programs, making common recommendations for this set of programs. The Company's perspective on these recommendations is discussed under "Other Panel Recommendations" in section IV.B, below.

Overhead Emergency Response

Q. What funding does Staff recommend for the Overhead Emergency Response program?

A. The Staff ERRPM Panel recommends a capital budget of $77.0 million for each of RY1, RY2, and RY3, this equates to downward adjustments of approximately $9.3 million and $11.7 million for RY2 and RY3, respectively.

Q. Does the Staff ERRPM Panel explain the rationale for its recommendation?

A. The Staff ERRPM Panel states the funding requested in RY1 of $77 million seems reasonable as it aligns with both the historical three-year and five-year averages of approximately $74 million and $75.5 million, respectively. To ensure consistency, the Staff ERRPM Panel states it recommends RY2 and RY3 funding of $77 million, which

accounts for the historical average amount of work completed in recent years.

Q. Does the Staff ERRPM Panel explain this further?

A. The Staff ERRPM Panel states it is concerned about the Company's fluctuating five-year historical spending and the inclusion of a five percent inflation factor in the forecasted budget, which it does not believe accurately reflects future spending trends.

Q. What are the Staff ERRPM Panel's specific concerns with this program?

A. The Staff ERRPM Panel states there is significant variability in spending over the past five years and it believes that funding should be based on a historical average to promote efficient and prudent resource allocation. The Staff ERRPN Panel indicates the average annual spending is approximately $74.2 million over the past three years (2022 to 2024) and about $75.5 million over the past five years (2020 to 2024). The Staff ERRPM Panel states the Company's requested funding exceeds historical spending averages and includes a five percent inflation factor. The Staff ERRPM Panel states there is no guarantee that the funding required to maintain the program

will increase each rate year. To support this it states actual spending between years 2020 and 2021 decreased from $90 million to $64 million, and between years 2022 and 2023 it decreased from $85 million to $65 million.

Q. Do you agree with the Staff ERRPM Panel's reasoning for reducing the budget for this program?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. Staff ERRPN Panel's position contradicts its own acknowledgment of inflation, raising the question of why funding would remain flat at $77 million despite recognized increases in inflation, and doesn't mention the likely increases of material and labor costs. Historical averages overlook the unpredictable nature of emergency response needs, as fluctuations in spending over the past five years are largely due to the varying number of storms and incidents. Any underfunding could delay critical repairs, increase safety risks, and elevate environmental exposure.

Q. Does the Staff ERRPM Panel have any other concerns with the Company's budgeting for this program?

A. Yes, it does not agree with the Company's use of a five percent inflation factor in the forecasted 2026 to 2028 budget levels. The Staff ERRPM Panel indicates Staff Witness Daniel Gadomski provided inflation rates of 2.40 percent from 2026 to 2027 and 2.20 percent from 2027 to 2028.

Q. Do you agree with Staff's inflation rate calculations?

A. No, we do not. While we acknowledge Staff's inflation rate calculations, the Company's forecasted budget reflects a broader set of cost drivers beyond general economic inflation. Factors such as workload demands, operational complexity, and resource availability can all influence year-over-year cost changes. These variables introduce upward pressure on costs that are not fully captured by standard inflation assumptions.

Secondary Open Mains

Q. What does Staff recommend for the Secondary Open Mains program?

A. The Staff ERRPM Panel recommends a capital budget of $147.8 million, $151.3 million, and $154.7 million in RY1, RY2, and RY3, respectively, this equates to downward adjustments

of approximately $33.2 million, $38.7 million, and $44.9 million for RY1, RY2, and RY3, respectively.

Q. Does the Staff ERRPM Panel explain how it derived the funding recommendation for the Secondary Open Mains Program?

A. The Staff ERRPM Panel states its recommendation is based on applying Staff Witness Gadomski's calculated inflation rates to the Company's five-year average historical spending of approximately $140 million per year. The Staff ERRPM Panel believe that its recommended funding levels are sufficient to address the backlog of high-priority cases while maintaining system performance based on the average unit costs and amount of work completed in recent years.

Q. Do you agree with the Staff ERRPM Panel's recommendation for this program?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. The Staff ERRPM Panel fails to mention the growing backlog driven by increased detection of "unknown open mains" through the Company's new AI-driven tool, which is identifying previously undetected voltage

issues. As this tool continues to evolve, it is expected to significantly expand the volume of required work and reprioritize existing cases, further increasing system workload.

Q. Does the Staff ERRPM Panel have any concerns with the Company's Secondary Open Mains program?

A. The Staff ERRPM Panel states it has concerns regarding the Company's forecasted funding calculation, which reflects increased unit costs and includes a five percent inflation rate.

Q. Does the Staff ERRPM Panel have specific concerns?

A. The Staff ERRPM Panel indicates it is concerned with the Company's forecasted funding calculation, particularly the significant increase in unit costs and the inflation rate used. The Staff ERRPM Panel calculated the Company's average spend from 2019 to 2023 of $140 million per year to complete approximately 3,750 units annually which it states equates to about $37,000 per unit. Then, the Staff ERRPM Panel calculated the average for 2026 to 2028 as $190 million per year to complete an average of 3,700 units which equates to about $51,000 per unit or an increase of approximately 36 percent in unit cost from the historic

level. The Staff ERRPM Panel claims this is unreasonable because the Company did not provide adequate justification for the significant increase.

Q. Do you agree with the Staff ERRPM Panel's reasoning?

A. No, we do not. The Staff ERRPM Panel's analysis fails to consider the growing backlog of work over the past five years, driven by both operational needs and external factors, as outlined in the Company's response to DPS-16-411. Year-over-year, actual spending has consistently aligned with or exceeded budget due to evolving conditions, such as weather-driven events, system prioritizations, and emergency responses. This demonstrates that historic averages do not reflect current or future funding needs. Additionally, unit cost increases are tied to rises in labor and material costs, as well as expanded scope from AI-driven initiatives that have increased the volume and complexity of work. The Staff ERRPM Panel also overlooks the system reliability risks associated with delaying resolution of secondary open mains, which directly affects restoration times and power quality.

Q. Does the Staff ERRPM Panel have additional concerns with the program?

A. The Staff ERRPM Panel disagrees with the including a five percent increase in unit cost year over year. The Staff ERRPM Panel does not agree with using five percent, which is higher than the inflation rate provided by Staff Witness Daniel Gadomski.

Q. Do you agree with this concern.

A. No, we do not. While we acknowledge Staff Witness Daniel Gadomski's inflation rate calculations, the Company's forecasted budget reflects a broader set of cost drivers beyond general economic inflation. Factors such as workload demands, operational complexity, and resource availability can all influence year-over-year cost changes. These variables introduce upward pressure on costs that are not fully captured by standard inflation assumptions.

Service Replacements

Q. What does Staff recommend for the Service Replacements program?

A. The Staff ERRPM Panel recommends a capital budget of $73.0 million, $74.8 million, and $76.4 million per year, in RY1, RY2, and RY3, respectively, this is a downward adjustment

of approximately $7.6 million, $8.8 million, and $9.5 million for RY1, RY2, and RY3, respectively.

Q. Does the Staff ERRPM Panel explain the rationale for their recommendation.

A. The Staff ERRPM Panel states while it supports the overall objective of the Company's program, it believes that its adjusted funding levels are reasonable because they are in-line with the Company's five-year historical actual spending and unit completion trend from 2020 to 2024. The Staff ERRPM Panel claims by aligning funding with historical average, it aims to set budget levels that reflect the Company's recent actual and demonstrated spending and performance trends for the program.

The Staff ERRPM Panel states it has concerns with the Company's capability to complete more work as well as the immediate need for the additional funding requested by Con Edison to tackle the backlog of work requests. The Staff ERRPM Panel state that, on average, the Company completed 6,360 units annually from 2019 through 2023 and plans to complete approximately 7,600 units in each rate year. The Staff ERRPM Panel asserts this represents a significant increase above the actual amount of work that the Company

has been able to perform in recent years. It also states the increase in program scope results in a significant impact on the program's funding. The Staff ERRPM Panel states the Company's five-year historical average of $68.2 million, from 2020 to 2024, is approximately $12 million less than the RY1 request and approximately $18 million less than the RY3 request. It states in response to DPS-17-434 the Company attributes the increase in forecasted spending for the rate years to two main drivers, a request of an additional $6 million annually to target backlog of repairs and a three percent escalation factor to address rising equipment costs, however, the Staff ERRPM Panel deems both factors as unjustified by the Company. Based on this, the Staff ERRPM Panel recommends the Commission align the program's funding to historical trends and applying Staff Witness Gadomski's calculated inflation rates to the five-year actual historical spending.

Q. Do you agree with the Staff ERRPM Panel concerns and recommendations?

A. No, we do not. As discussed earlier in this testimony, relying on historic actual spending to forecast future funding ignores the reality of changing economic and

operational conditions. The Staff ERRPM Panel does not provide any explanation of why it thinks past costs are appropriate proxies for future costs, to include the use of COVID years (2020 and into 2021). In the past 3 years from 2022-2024, the Company has spent approximately the same or more than the budgeted amount in this program. Further, applying a generic inflation rate is also not appropriate since, as stated in the Company's response to IR DPS-17-434, the three percent escalation applied to the funding is specifically tied to increases in the program's material and supply costs. Finally, as also noted in the response to DPS-17-434, by not addressing backlog proactively it will compound as electrification efforts result in an increasing number of customers requiring 220V to run their appliances.

Streetlights

Q. What does Staff recommend for the Streetlights program?

A. The Staff ERRPM Panel recommends a capital budget of $26.4 million, $27.0 million and $27.6 million in RY1, RY2, and RY3, respectively. This equates to downward adjustments of approximately $1.7 million, $2.1 million, and $2.4 million for RY1, RY2, and RY3, respectively.

Q. How did the Staff ERRPM Panel derive its recommended funding for this program?

A. The Staff ERRPM Panel states its recommendation is based on the Company's historical program performance and spending trends. Staff ERRPM Panel states over the past five years, the Company completed an average of 1,450 units per year at an average unit cost of $17,000, which equates to an average actual spending of approximately $25 million annually. The Staff ERRPM Panel states the Company's annual forecasted unit costs are based on 2024's unit cost of $18,373 but asserts this is not reasonable as the Company only relies on one year of historical data. Instead, the Staff ERRPM Panel claims the program's funding should be based on historical trends that cover multiple years. Therefore, it recommends the past five years, 2020 to 2024. Staff ERRPM Panel states applying the inflation rate provided by Staff witness Gadomski to this amount results in the recommended funding levels for this program.

Q. Do you agree with the Staff ERRPM Panel reasoning for reducing the funding for this project?

A. No, we do not agree with the Staff ERRPM Panel's reasoning for reducing the funding. As discussed in Section I of our

rebuttal testimony, relying solely on historical spending without evaluating the specific goals and challenges of program years is arbitrary. Recent cost trends show sustained increases, with average unit costs reaching approximately $18,200 in both 2023 and 2024, well above the five-year average cited. This trend highlights how a multi-year historical average undervalues present and projected costs. The Staff ERRPM Panel's approach fails to consider recent resource and capital constraints that have limited output and contributed to a growing backlog of work. These current limitations, paired with evolving system needs, make it inappropriate to base future funding recommendations solely on outdated unit costs.

Q. Do other parties make recommendations for the streetlight program?

A. Yes, NYC Witness Tunnah discusses this program in her discussion of Streetlight Timeline Commitments. The Company rebuts the recommendations from that discussion in section IV.B below.

Targeted Direct Buried Cable Replacement

Q. What does Staff recommend for the Targeted Direct Buried Cable Replacement program?

A. The Staff ERRPM Panel recommends a capital budget of $8 million per year, in RY1, RY2, and RY3. This equates to downward adjustments of approximately $4 million per year for RY1, RY2, and RY3.

Q. Does the Staff ERRPM Panel explain the rationale for their recommendation?

A. The Staff ERRPM Panel states the Company's forecasted budget from 2025 through 2029 was based on 2023 expenditure. The Staff ERRPM Panel states historical spending has averaged approximately $7 million annually over the last five years. In light of the five-year average actual expenditures and work units completed in recent years, the Staff ERRPM Panel claims the proposed funding levels for the rate years appear to be unreasonable.

Q. Does the Staff ERRPM Panel have any concerns with the Targeted Direct Buried Cable Replacement program?

A. The Staff ERRPM Panel indicates it is concerned with the effectiveness of this program. While it states it

understand that it takes longer to repair a failure that occurs in a direct buried cable compared to one installed in a conduit, it claims the number of direct buried cable failures have not been significant. The Staff ERRPM Panel states there were approximately 150 outages and 4,500 interruption per year in Staten Island, and approximately 60 outages and 1,100 interruptions per year in Bronx and Westchester from 2019 to 2023. The Staff ERRPM Panel states SAIFI and CAIDI metrics are not tracked by the Company to evaluate improvements following direct buried cable replacements. The Staff ERRPM Panel states while prioritization efforts focus on the worst-performing direct buried cable segments, there is no SAIFI or CAIDI data specific to those direct buried cable sections. The Staff ERRPM Panel asserts the Company should analyze its circuit data to measure improvements in the Targeted Direct Buried Cable Replacement Program.

Q. Do you agree with the Staff ERRPM Panel’s concerns?

A. No, we do not. The Company estimates that there are over 160 trench miles of direct buried cables in Staten Island and Westchester. Most direct buried cables were installed over 30 years ago. This infrastructure is reaching the end

of its useful life. Underfunding this program will require the Company to spend more money installing shunts when this aged infrastructure fails to restore power. Running shunts and performing follow-up repairs has a negative impact on customers in the area. The Company believes a proactive approach to replacing this aged infrastructure is more beneficial than continually excavating and attempting to repair decades old cable.

Transformer Installation

Q. What is Staff's recommended for the Transformer Installation program?

A. The Staff ERRPM Panel recommends a capital budget of $50 million per year, in RY1, RY2, and RY3, this equates to downward adjustments of approximately $9.8 million, $11.9 million, and $13.5 million for RY1, RY2, and RY3, respectively.

Q. Does the Staff ERRPM Panel explain the rationale for its recommendation.

A. The Staff ERRPM Panel states its recommendation is based on a review of the Company's historical actual expenditures and completed work levels for this program. The Staff ERRPM

Panel states from 2019 through 2023 this program averaged approximately $45.8 million per year in actual costs, and Con Edison completed about 984 jobs annually. The Staff ERRPM Panel asserts a $50 million annual budget is appropriate to maintain historical work levels. Additionally, the Staff ERRPM Panel notes from the Company's response to DPS-19-492 that transformer failures have remained relatively low in the last five years, an average of 22 internal failures per year, indicating that a substantial increase in budget is not warranted at this time.

Q. Does the Staff ERRPM Panel discuss any specific concerns with this program?

A. The Staff ERRPM Panel states most transformer failures are associated with transformer bushings rather than internal transformer failures. The Staff ERRPM Panel states approximately 13 percent of the transformers prioritized for replacement are classified as high priority (Priority 1), indicating either high loading or limited redundancy, while a large proportion are lower priority (Priority 3, 4 or 5). Therefore, the Staff ERRPM Panel claims the data does not show that an increase in funding is necessary.

Q. Do you agree with Staff ERRPM Panel concerns for this program?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. Additionally, Staff fails to mention the reality of changing economic and operations conditions impacting resource availability and material and labor cost increases. The Staff ERRPM Panel's assessment overlooks recent budget tradeoffs, as funding for the transformer installation program was reduced in 2025 to address cost overruns in other critical areas, such as Equipment Purchases and New Business, not due to decreased program need.

4. Storm Hardening & Resiliency Capital Expenditures

Q. Has the Company reviewed Staff's proposed funding levels for the Storm Hardening and Resiliency projects and programs that are presented in the Company's initial and update testimony?

A. Yes.

Q. What are the total reductions proposed by Staff?

A. Staff proposes total reductions of $[122.91] million in RY1, $[136.64] million in RY2, and $[169.17] million in RY3.

Q. Does the Company agree with Staff's proposed reductions?

A. No. The Company will explain why Staff's proposed cuts to individual capital projects and programs are unreasonable.

Critical Facilities Resiliency

Q. Does Staff have any recommendations for the Company's Critical Facilities Resiliency program?

A. The Staff ERRPM Panel states it recognizes the importance of strengthening circuits serving Critical Facilities to enhance resilience and reduce outages during extreme weather events. However, the Staff ERRPM Panel is concerned about the Company's historical underspending, shifting of funds to other priorities, and basing funding levels it requests on historical budgeted program levels instead of actual historical expenditures.

Q. Does the Staff ERRPM Panel provide specific concerns with this program?

A. The Staff ERRPM Panel states it is concerned that the Company has not fully used previous funding allocations.

For example, Staff ERRPM Panel states the Company underspent its budget by 46 percent from 2020 to 2024. Staff ERRPM Panel is concerned the Company bases its funding request for the rate years on historical program budgeted levels instead of actual expenditures. The Staff ERRPM Panel does not agree with the Company's approach because it asserts the requested funding levels should be based on actual expenditures. Additionally, Staff ERRPM Panel points to the Company response to DPS-7-319 that the funds for this program have been shifted to other, higher priority programs.

Q. Do you agree with these concerns?

A. No. The scope of this program and the scope of possible work that could be executed under this program makes it difficult to establish specific annual program budgets years in advance. The type of facility targeted for work under the program and the electrical solution needed can cause significant variations in the scope of work needed, project timelines, and costs. Program budgets are, therefore, established based on general assumptions and program goals with the understanding that this approach may result in variations between budgeted and actual costs.

Over 2,000 critical facilities are included in the program ranging from government offices, senior centers, and cooling centers to hospitals, water pumping stations, military bases, transportation facilities, and more, and projects are chosen in consultation with other stakeholders and are, therefore, likely to vary by type when specific program plans are prepared annually by region. Then, the specific electrical solutions implemented depend on the location and needs of each specific facility targeted under the program with solutions varying from circuit undergrounding to configuration for rapid deployment of emergency backup generators, introducing another source of year-to-year variation between program budgets and actual spend.

Variations in the actual spend compared to budgets under this program in 2020-2024 (details provided in response to DPS-7-319) were primarily driven by the specific projects selected for the program and non-project circumstances during this time period. The program began in Bronx/Westchester in 2020 and expanded to Brooklyn/Queens and Staten Island beginning in 2021, with significant impacts to projects from COVID in 2020 and delays

associated with program initiation/ramp-up in 2021. The actual facilities targeted for enhancement under this program in each region in the past (included in DPS-7-319) varied from dialysis centers and nursing homes to hospitals, a water pumping station, and a military base, and selected projects took one to four years to complete with project costs varying from less than $100k to over $2 million.

These variations in the projects that could be implemented under this program and the fact that future Critical Facilities projects selection is dependent on proposed projects in each region and stakeholder input, makes it highly likely that future projects will be entirely different from past projects, making actual historical program spending inappropriate for use as a predictor of future spending.

As for Staff's concern that some of the program underspend in previous years was due to the reallocation of funds to other programs and projects, a few of the previous Critical Facilities project underspends were deferred slightly because of changing system priorities; however, as discussed in section I of our testimony, real world events

do shift circumstances and priorities and the Company is obligated to reevaluate overall system priorities when this happens. These are not predictable occurrences and, therefore, should not be factored into forecasts of future program funding.

Q. Does the Staff ERRPM Panel have any other concerns regarding this program?

A. Yes. The Staff ERRPM Panel also states the Company only has detailed projects planned for 2026 and has not yet developed projects for 2027 of 2028.

Q. Do you agree with these additional concerns?

A. No, we do not. As already discussed, Critical Facilities projects are chosen at a regional level in consultation with external stakeholders considering current system performance and potential vulnerabilities to the facilities included in scope for this program. Because of this, these selections are not (and cannot) be made years in advance.

Q. What is the Staff ERRPM Panel’s recommended funding for the Critical Facilities Resiliency program?

A. The Staff ERRPM Panel recommends a capital budget of $5.0 million per year in RY1, RY2, and RY3. The Panel’s recommended funding levels equate to reductions of

approximately $4.3 million, $4.6 million, and $4.9 million for RY1, RY2, and RY3, respectively.

Q. Does Staff ERRPM Panel provide a rationale for the Panel's recommendation?

A The Staff ERRPM Panel states the recommendation is based on the Company's historical underspending and shifting of funds to other priorities. It also states the Company has not identified projects to be completed in 2027 or 2028.

Q. Do you agree with the Staff ERRPM Panel's recommendation?

A. No, we do not. Each of the reasons that Staff uses to justify the funding recommendations for this program have been discussed above. However, we would point out that, by reducing the amount of future funding provided to strengthen Critical Facilities under this program the Commission would, in effect, be limiting the potential types of facilities that could benefit from the program. As expressed in the white paper for this program in Exhibit___(EIOP-10) the Company believes that ensuring the availability of Critical Facilities will be more important than ever and plans to aggressively strengthen distribution circuits serving Critical Facilities where it is beneficial.

Q. Were other recommendations for this program made by any other parties?

A. Yes. MTA recommends the program be expanded, in both scope and funding, to cover or offset Excess Distribution Fees assessed to Critical Facilities customers.

Q. Does MTA explain their reasoning for this recommendation?

A. MTA states it does not believe that it is equitable for the MTA to be solely responsible for the incremental costs required for continuous electric service to facilities that provide critical public services to ratepayers and the general public.

Q. Do you agree?

A. No. Customers seeking additional or back-up service are charged an Excess Distribution Fee. This appropriately aligns the costs of these additional facilities with the customer making the request rather than spreading the costs over all customers. Here, the MTA is a regional entity serving a large geographic area. In fact, one of the examples cited by the MTA in its testimony is the Hillside Motor Generator Project which serves LIRR signals and LIRR operations. The Company does not believe it is reasonable for Con Edison's customers in Westchester and New York

City, many of whom may not use the LIRR, to pay for the backup services requested by the MTA.

Moreover, the Company's Critical Facilities Resiliency Program is designed to provide additional reliability to critical facilities located in non-network areas to minimize weather-related impacts. Specifically, it does so by undergrounding existing overhead cables and equipment, replacement of open-wire conductors with aerial cable, and redundancy of supply through the use of SCADA, loop and bypass design. Under this program, the Company is not providing excess distribution facilities to these customers at no cost as requested by the MTA.

Non-Network Resiliency

Q. What is Staff’s recommended funding for the Non-Network Resiliency Program?

A. The Staff ERRPM Panel recommends no funding for this program during the rate years. Resulting in a reduction of $13.2 million, $15.0 million, and $16.8 million in RY1, RY2, and RY3, respectively.

Q. Please explain the rationale for the Staff ERRPM Panel’s recommendation.

A. The Staff ERRPM Panel states while it supports the Non-Network Resiliency Program's overall objectives, it asserts there are similarities to program activities included in this new program and the existing Non-Network Reliability Program. The Staff ERRPM Panel asserts the work scope for the two programs is similar and do not have clear distinguishing differences to justify the need for Non-Network Resiliency Program investments in the rate years. The Staff ERRPM Panel claims program activities such as cable replacement, switch installations, and improving source reliability are proposed under both programs with no clear indication of the basis used to determine the appropriate program to include these activities. The Staff ERRPM Panel states to ensure efficient implementation, prioritization and alignment with broader resilience goals, the Company needs to develop and include distinct activities under the Non-network Resiliency Program. The Staff ERRPM Panel also states the Company underspent its capital budget for the Non-Network Reliability Program in 2024.

Q. Do you agree with the Staff ERRPM Panel recommendations for the Company's Non-Network Resiliency Program?

A. No, we do not. The Company responded to DPS-12-373 regarding the differences between Non-Network Reliability and Non-Network Resiliency. Non-Network Reliability focuses on strengthening the overhead system to maintain dependable day-to-day performance, addressing general system vulnerabilities to improve overall reliability. Non-Network Resiliency builds on this by tackling resiliency issues by targeting climate-driven threats—specifically enhancing storm hardening through measures like replacing open wire with aerial cable and installing Automatic Transfer Switches to mitigate customer impacts during extreme weather events. Certain initiatives under Non-Network Resiliency, while not designed to prevent outage events directly, have big impacts to the overall system resiliency. These efforts help limit the number of customers affected during disruptions and support faster service restoration by enhancing system configuration and operational flexibility.

Not providing funding for this program not only limits performance improvements but also undermines the ability to maintain reliable service during normal conditions and resilient operations during major storms. Reduced

investment will lead to more customers experiencing longer outages during severe weather events.

Q. Are other recommendations related to the Non-Network Resiliency program included in the testimony of other parties?

A. Yes, NYC EIP discusses this program in its discussion of proactive versus reactive reliability programs. The Company rebuts the recommendations from that discussion in section IV.B below.

Primary Feeder Resiliency

Q. What is Staff's capital funding recommendation for the Primary Feeder Resiliency program?

A. The Staff ERRPM Panel recommends a capital budget of $10.0 million in each of RY1, RY2, and RY3. This is a downward adjustment of approximately $14.0 million, $12.2 million, and $19.2 million for RY1, RY2, and RY3, respectively.

Q. Does the Staff ERRPM Panel provide a rationale for this recommendation?

A. The Staff ERRPM Panel states the Company is requesting a significant increase to the quantity of interrupter switches and feeder bifurcation legs compared to the last

three years. The Staff ERRPM Panel asserts the Company has not demonstrated sufficient basis or capability to execute such a large increase.

Q. Do you agree with the Staff ERRPM Panel concerns related to the Company's increase to the quantity of interrupter switches and feeder bifurcation legs?

A. No, we do not. As mentioned in response to DPS-13-382, there was a significant technological overhaul with the design of interrupter switches and the manufacturing delays and feeder outage schedule limitations. However, in 2024 the Company ramped up installations to 19 interrupter switches, more than a 200% increase from 2023. Forecasting approximately 18 interrupter switches on average from 2026-2028 is in line with historical actual installations of 2024. Additionally, a second interrupter switch manufacturer (ABB) is now in place and the Company no longer anticipates supply chain issues to be a constraint going forward. The Company began performing bifurcating feeders in 2022 and has historically completed one per year, and therefore the Company's plan to target bifurcation of one network feeder per year is in line with the historically completed bifurcations.

Q. Does the Staff ERRPM Panel have any other concerns with the Primary Feeder Resiliency program?

A. Yes, the Staff ERRPM Panel expresses concerns regarding the Company's use of projected temperature variability, or TV, to justify its proposed program expansion. The Staff ERRPM Panel points to the Company response to DPS-13-382 that an increase in TV of one degree Fahrenheit is projected by 2030 and uses this projection as a justification for the proposed increased resiliency efforts. The Staff ERRPM Panel states it acknowledges the importance of preparing for climate-driven extreme heat events but notes concern with the Company's reliance on projections without clear quantification of near-term impacts. The Staff ERRPM Panel also states the Company's 2022 hypothetical forward-looking NRI analysis, which assumed one degree Fahrenheit TV increase, relies heavily on assumptions about future load growth and network conditions and was described as indicative rather than actionable for decision-making and work planning.

Q. Do you agree with these concerns that the Staff ERRPM Panel expresses?

A. No, we do not. As explained in the white paper, planning for work to be targeted under this program is based on historical costs associated to interrupter installations and feeder bifurcations. The historical actual costs align with the forecasted costs for the program and the NRI values are indicative of future network performance and was not used as a forecasting tool for the program.

Q. Does the Staff ERRPM Panel have any additional concerns with the Company's Primary Feeder Resiliency program?

A. Yes, the Staff ERRPM Panel also has concerns regarding the use of Network Reliability Index to justify the program expansion. The Staff ERRPM Panel points to the Company's response to DPS-13-382 that provides NRI data for the 65 second contingency networks, stating goals of maintaining an NRI below 1.0 for each network and below 0.5 for the 25 networks with the worst NRI. As of 2024, the Company is meeting these goals with only five networks over an NRI of 0.5 and 45 networks with an NRI of less than 0.1. While the NRI remains a useful indicator of network performance, the Staff ERRPM Panel finds that the existing NRI data shows no widespread reliability issues that would warrant the extensive expansions proposed.

Q. Do you agree with the Staff ERRPM Panel that the existing NRI data shows no widespread reliability issues that would warrant the extensive expansions proposed?

A. No, we do not. The Company disagrees with the Staff's assertion that the existing NRI data show no widespread reliability concerns because it overlooks critical context. The current NRI figures are based on Summer 2024 conditions using an 86-degree Fahrenheit design temperature, yet the system is expected to operate under significantly more stressful conditions—ramping up to 87-degree Fahrenheit by 2030. If the same analysis were performed using a TV of 86.4-degree Fahrenheit (the next step in the ramp-up), the NRI values would already be measurably higher. Furthermore, forward-looking NRI analysis shows that by 2030, with increased loads and higher TV assumptions, many networks will see their reliability metrics degrade, reverting to levels not seen since 2013. Another way to look at this is to say that the amount of work done to improve the networks NRI from 2013 to 2025 (12 years), must be completed/achieved again in the five years from now until Summer 2030.

Q. Are other recommendations related to the Primary Feeder Resiliency program included in the testimony of other parties?

A. Yes, NYC EIP discusses this program in its discussion of proactive versus reactive reliability programs. The Company rebuts the recommendations from that discussion in section IV.B below.

Selective Undergrounding Resiliency

Q. What is Staff's recommended funding for the Selective Undergrounding Resiliency program?

A. The Staff ERRPM Panel recommends a capital budget of $15 million per year in each of RY1, RY2, and RY3. This represents a downward adjustment of approximately $45 million, $55 million, and $85 million for RY1, RY2, and RY3, respectively.

Q. Does the Staff ERRPM Panel explain the rationale for their recommendation?

A. The Staff ERRPM Panel asserts the initial pilot program's attempt to underground customer service lines did not meet expectations. The Staff ERRPM Panel states for customer service conversions, the initial pilot program suffered

from installation delays leading to underspending the program budget. The Staff ERRPM Panel acknowledges the Company plans to address this issue by revising the program and focusing on undergrounding main line circuit runs. However, Staff ERRPM Panel states as the pilot program requirements were revised by removing customer service conversion, it does not agree with the funding request. The Staff ERRPM Panel recommends continuing undergrounding efforts at a rate of approximately three miles per year.

Q. Do you agree with the Staff ERRPM Panel's recommendation for the Company's Selective Undergrounding Resiliency?

A. No, we do not. The Staff ERRPM Panel accurately points out that the Company has adjusted the program to exclude customer service conversion based on findings from the Company's pilot. But it does not explain why the results and lessons learned from the pilot lead to its recommended funding for the rate years. In fact, the lessons learned from the pilot has helped the Company determine that future projects can be optimized by undergrounding main runs and spurs and not undergrounding services; Con Edison would then be able to underground more miles and more customers would benefit because more customers are fed from main runs

and spurs. Therefore, the Company believes that its proposed funding level is appropriate rather than a rate consistent with historic efforts.

Q. Does the Staff ERRPM Panel have any other concerns with Company's proposals for the Selective Undergrounding Resiliency project?

A. Yes, in part. The Staff ERRPM Panel agrees that one method to increase electric system resilience to extreme weather events like icing and winds is to move overhead distribution lines to underground conduits. However, the Staff ERRPM states there are limited resilience benefits for extreme weather events such as flooding. The Staff ERRPM Panel also points out the underground distribution system is also negatively impacted by road salt which has no impact on overhead lines.

Q. Do you agree with the Staff ERRPM Panel's other concerns?

A. No, we do not. The underground equipment used for these applications uses cable and splicing that are completely sealed and specifically designed to be resistant to flooding and corrosion from road salt. Moreover, these materials are tested to meet industry standards for

submergibility. The performance of this equipment has demonstrated its resilience in these environments.

Q. Does NYECC have any recommendations for the Company's Selective Undergrounding – Resiliency program?

A. Yes, it opines that the program is expensive, and the Company has failed to cost justify the program. NYECC claims the Company has failed to point to benefits, efficiencies, or improvements the Company has realized thus far to justify an expansion of this program before completion of the pilot program.

Q. Do you agree?

A. No, we do not. Even SEIOP acknowledged that the undergrounding program is "an important option" for improving resiliency, and, in response to its concerns with the program, the results of the pilot projects have informed the changes to the Selective Undergrounding Program that will result in an optimization of the program and its benefit to customers. Further, based on a recent review by the Company, Con Edison expects to avoid approximately 1,300 to 3,800 customer outages per mile. In addition, in the Company's response to IR DPS-6-308 it details outages in areas prior to and after undergrounding.

Of note, there has been only one outage post-undergrounding in these areas, and the cause of that outage was a wire down on a device upstream of the undergrounded area on the spur.

Q. Does NYECC have any other concerns with the Selective Undergrounding – Resiliency program?

A. Yes, it states the Company has underspent on the existing program.

Q. Do you agree that the underspend in this program should preclude the Company from seeking funding in subsequent years?

A. No, we do not. Again, the lessons learned from the pilot will allow the Company to perform more undergrounding projects, underground more miles, and benefit more customers.

Q. Does NYECC have any other concerns with the Selective Undergrounding – Resiliency program?

A. Yes, NYECC asserts there appears to be significant obstacles experienced by the Company to implementation of the pilot program and simply points to the Company's response to DPS-6-308, without further explanation.

Q. Do you agree that the Company has experienced "significant" obstacles?

A. In part. The Company experienced challenges with customer service conversions, and as such have excluded them from the program going forward.

Q. Do any other parties recommend adjustments to the Selective Undergrounding – Resiliency program?

A. Westchester County provides statistics on outages, including those from Tropical Storm Isaias and Hurricane Ida. It also discusses the likelihood that the impacts of climate change are going to increase the frequency and severity of future storms. Westchester County asserts that the progress the Company has made on undergrounding in Westchester under the current rate plan is unacceptable and calls in to question Con Edison's prioritization of preventing mass power outages in Westchester.

Q. Do you agree with this assessment?

A. No, we do not. The Company's Strategic Underground Program white paper provides significant detail on how project selection criteria is designed to prioritize projects in a manner that provides the greatest benefit for all Con Edison customers. Further, as discussed above, the results

of the project pilots have informed changes to Con Edison's approach to this program that will allow the Company to perform more undergrounding projects, underground more miles, and benefit more customers.

Q. Does Westchester County have any other concerns with the Selective Undergrounding – Resiliency program?

A. Westchester County states the lack of any specific short-term plans for 2025 and the vague nature of any possible medium-term plans in 2026-2029 for further line burying work in Westchester is deeply troubling as it raises the question of whether the Company will even be able to match the amount of power lines buried in the 2020-2024 period during the years covered by the present rate increase proposal.

Q. Do you agree with this concern?

A. No, we do not. In addition to the project selection criteria provided in the Selective Undergrounding Program white paper, the Company provided an extensive list of potential candidate circuits that the project criteria will be applied to in the Company's response to IR DPS-6-308.

Storm Response Center

Q. What does the Staff ERRPM Panel recommend for the Company's Storm Response Center project?

A. The Staff ERRPM Panel recommends that the Commission "again" reject funding of this. This is a reduction of $43.7 million, $44.6 million, and $38.1 million in RY1, RY2, and RY3, respectively.

Q. What does the Staff ERRPM Panel mean when the Commission should reject the funding "again"?

A. Staff ERRPM Panel's recommend that "the Commission again reject funding of this project" is a slight misinterpretation of the treatment of this program in the Order in the Climate Change Resilience Plan ("CCRP") filing (Case 22-E-0222). While the Commission did not approve funding for this program in that proceeding, it also did not reject it either. Instead, this program was one of eight Con Edison programs included in the Company's CCRP that the Commission found to be misclassified as resiliency-related.

Q. Does the Staff ERRPM Panel provide a reason for its recommendation to reject the Company's Storm Response Center project?

A. Not directly. The Staff ERRPM Panel first points to the Storm Response Center being a joint effort between Con Edison and Orange and Rockland but does not address its concerns with this. Second the Staff ERRPM Panel states based on the plans the Company submitted, it is very unlikely that the Storm Response Center would be in Con Edison service territory. The Staff ERRPM Panel suggests this raises questions as to how the Storm Center would facilitate the Company's stated goal of providing efficient and timely responses to its customers.

Q. Do you agree with these concerns?

A. No, we do not. Our community has witnessed firsthand the devastating effects of natural disasters, which have resulted in widespread damage, significant and long duration power outages, and disruption of essential services. The establishment of a storm response center is not merely a beneficial addition; it is a necessity to mitigate the impact of such events by allowing us to quickly increase response resources when needed due to a

storm impact being more severe than forecasted. These resources can be flown in later in the day or the following day, eliminating days of driving across the country. The Company has already secured over 150 storm vehicles that will support storm restoration. The storm response center will be used primarily to store and maintain these vehicles to ensure the readiness of the fleet. When required, these vehicles will be deployed and staged in a local staging area established close to the affected community to support the storm restoration activities. Thus, at a minimum to ensure the readiness of these storm vehicles, a feasible alternative would be to acquire property to store and maintain these vehicles when not deployed. This would require capital and O&M funding to ensure these vehicles are placed in a secure location and can be maintained appropriately before the next major storm impacts the service territory.

Q. Does the Staff ERRPM Panel provide any further reasoning for the outright rejection of the Storm Response Center project?

A. The Staff ERRPM Panel discusses the CCRP Order, stating the Commission directed Con Edison to remove the Storm Resilience Center from the Company's CCRP. The Staff ERRPM Panel states the Storm Resilience Center proposed in the Company's CCRP has the same project description and justification as the Storm Response Center in this rate case proceedings. The Staff ERRPM Panel states in the Commission's CCRP Order, the Commission states that considering the substantial capital investment needed for the Storm Center the Commission rejected the Storm Center on the basis it would not improve system reliability.

Q. Do you agree with the Staff ERRPM Panel assessment?

A. No, we do not. The Company maintains one of the most reliable distribution systems in the world. Overhead systems can never be fully protected from the devastation of major storms. What must remain reliable is the Company's efficient and effective response to these unpreventable events. The Storm Response Center will be a facility that supports the people, processes, and equipment that are in place and ready. This will allow for reliable response to major outages.

Submersible Equipment Program

Q. What does Staff recommend for the Company's Submersible Equipment Program?

A. The Staff ERRPM Panel recommends a capital budget of $4.5 million, $4.6 million, and $4.7 million in RY1, RY2, and RY3, respectively. These funding levels equate to downward adjustments of approximately $2.8 million, $5.3 million, and $5.2 million for RY1, RY2 and RY3, respectively. The Staff ERRPM Panel asserts their recommended budget would allow the Company to continue installation of submersible transformers at a slightly higher rate than its recent five-year average.

Q. Does the Staff ERRPM Panel provide a rationale for these reductions to the program?

A. The Staff ERRPM Panel reasons the Company has completed similar work within the Transformer Installation Program; however, the Company requests a significant increase in quantity of work to be completed over the three rate years.

Q. Do you agree with the Staff ERRPM Panel concerns related to the Company increasing the number of submersible

transformers and network protectors installed under this program?

A. No, we do not. While the Company has replaced non-submersible units during the traditional Transformer Installation Program, these units comprise a small population of the total units completed each year. The Company would still target 460v locations first. The proposed funding cut would reduce the planned 120/208v transformer replacement rate by 55% over the rate years, potentially extend the program 5 years or more, and would not support mitigation of the vulnerabilities of Con Edison's underground system to the increases in climate-induced flooding projected in the Company's recent Climate Change Vulnerability Study ("CCVS").

Q. Does the Staff ERRPM Panel have any other concerns with the Submersible Equipment Program?

A. Yes, the Staff ERRPM Panel states the Company's revision to flood design standards is based on a median 50 percent risk tolerance that projects a sea level rise of 12 inches by 2040. The Staff ERRPM Panel opines these are future projections and that the Climate Change Vulnerability Study will be revised by 2028, risk tolerance levels could

change. Based on this, the Staff ERRPM Panel recommends continuing the installation of submersible transformers at a rate over the last five years and reviewing risk tolerance projections again in the future.

Q. Do you agree with the Staff ERRPM Panel concerns?

A. No, we do not. The projection of sea level rise from the CCVS remains the same in both the 2019 and 2023 studies. While the study in 2028 could yield a different risk tolerance level, with the increased rise rate in the last 15 years, there is no indication that the change would be to reduce the risk level, as the Staff ERRPM Panel implies. In fact, the Staff ERRPM Panel's suggestion that the project be delayed until the Company updates the CCVS, suggests that it is unwilling to recognize that projected vulnerabilities to increased flooding could increase significantly in that time. A targeted replacement program is critical to achieve any noted reduction of at-risk equipment in the flood zone. If the Company were to continue the replacement of submersible transformers in the flood zone at the same rate over the last five years, without a targeted replacement program, the Company would expect that an overwhelming majority of the at-risk

equipment would remain in the flood zone in 2040 and even in 2050.

Other Issues Raised with Resiliency Programs

Q. Did any parties identify non-program-specific concerns about the Resiliency Programs?

A. Yes. NYECC expresses that it does not agree with the Company that that the only questions in this proceeding about the Climate Change Resiliency projects approved by the Commission (22-E-0222), are cost and timing. Specifically, NYECC states the Company refuses to prioritize these projects despite the Commission directive in the resiliency proceeding and points to Company's response to NYECC-26-127.

Q. Do you agree with NYECC's interpretation of the Commission's Order in 22-E-0222?

A. No, we do not. As stated in Con Edison's response to IR NYECC-26-127, the Company believes this mischaracterizes the Commission's order.

Q. What else does NYECC claim related to the Climate Change Resiliency projects?

A. Demonstrating, again, a misunderstanding of rate proceedings, NYECC asserts that projects that will not be completed within the confines of a one-year rate case or a three-year rate plan should not be funded. Many electric infrastructure projects are multi-year projects, and project timelines can easily span multiple rate filing periods depending on when each project is initiated. Therefore, we strongly disagree with NYECC's assertion.

Q. Does NYECC have any other observations regarding the Company's Climate Change Resiliency projects?

A. Yes, NYECC opposes the Company including the eight projects and programs that the Commission did not approve in the resiliency proceeding (22-E-0222). It alleges that because the Commission did not approve them in 22-E-0222, these eight projects and programs should not be funded in this proceeding.

Q. Do you agree with this assertion?

A. No, we do not. In the Order Regarding Electric Utility Climate Change Resilience Plans (22-E-0222) the Commission did not reject these eight projects and programs, but rather only found that these eight are not appropriately classified as climate change resilience. There is no reason

these projects and programs cannot be funded as part of this proceeding.

5. Equipment Purchases Capital Expenditures

Q. Has the Company reviewed Staff's proposed funding levels for the Equipment Purchases Capital Expenditures capital projects and programs that are presented in the Company's initial and update testimony?

A. Yes.

Q. What are the total reductions proposed by Staff?

A. Staff proposes total reductions of $9.61 million in RY1, $40.42 million in RY2, and $75.14 million in RY3.

Q. Does the Company agree with Staff's proposed reductions?

A. No. The Company will explain why Staff's proposed cuts to individual capital projects and programs are unreasonable.

Transformer Purchase program

Q. Was funding for this program recently requested in the Proactive Planning Urgent Upgrade proceeding (Case 24-E-0364)?

A. Yes, it was.

Q. What was the outcome of that funding request?

A. In the June 12, 2025 Order in that proceeding, the Commission found that, "(a)s a business-as-usual program, this request does not match the intent of this proceeding, as Con Edison should be properly forecasting their program budgets and infrastructure requirements in a rate case proceeding. While the Commission supports the concept, the Commission does not authorize this proposal, and Con Edison is encouraged to pursue the program through other means."

Q. What does Staff recommend for the Transformer Purchase program?

A. SEIOP recommends a capital budget of $225.12 million per rate year, in RY1, RY2 and RY3, a reduction in each rate year.

Q. What is SEIOP's rationale for its recommendation?

A. SEIOP states the incremental percentage in unit cost from 2024 to 2025 is 26.31 percent. Specifically, SEIOP states the underground network transformers unit cost increased from $85.63 to $108.16. The Company notes, it appears SEIOP made two errors related to these costs. First based on the numbers provided, SEIOP is off by a factor of 1,000 for actual unit costs (i.e., the $85.63 unit cost referenced by SEIOP is actually $85,630). Second, these costs, discussed

in the Company's response to DPS-24-581, are for 2023 and 2024 (i.e., the unit costs in 2023 were $85,630 and the unit costs for 2024 were $108,160), not 2024 and 2025 as asserted by SEIOP. SEIOP states the 10 percent increase in submersible equipment cost the Company states in Exhibit__(EIOP-11) and the three percentage increase to account for forecast increase in contract cost the Company notes in its response to DPS-24-581 do not support the 26.31 percent increase in unit costs. SEIOP derived the budget by using the Company's actual spending in 2024 escalated by 13 percent.

Q. Do you agree with Staff's explanation for these increases?

A. No, we do not. As discussed above, it appears SEIOP mistakenly viewed the increase in unit costs between 2023 and 2024 as an estimate by the Company for unit costs increases between 2024 and 2025 and not an actual unit cost increase experienced by the Company. SEIOP's reliance on a 26.31 percent increase in unit cost is misplaced, as that figure reflects a specific change in the cost of Underground Network Transformers between 2023 and 2024. This is not the basis for the Company's requested funding in the rate years. The requested increases from 2025

through 2028 are not driven by this year-over-year unit cost change. Instead, they reflect a combination of factors, including historical installation trends, anticipated increases in installations due to growing summer load, and forecasted equipment and labor cost escalation. It is more appropriate to evaluate the total program cost trends rather than a single-year unit cost shift. From 2022 to 2024, the average annual increase in total program cost was approximately 30%. By contrast, the average increase across the 2025 to 2028 period is just 11%. Limiting funding to a flat $225.12 million per rate year would leave the Company unable to meet forecasted installation needs or maintain an adequate inventory to support system reliability and load growth.

Q. Do other parties recommend changes to the Transformer Purchase program?

A. Yes. NYC EIP discusses general concerns with the transformer purchase and installation programs, including the Substation Transformer Replacement Program, the Failed Substation Transformer Program, the Transformer Purchases program and the Network Transformer Relief program.

Q. What concerns did NYC EIP have with these various transformer and substation purchase programs?

A. NYC EIP discusses this program in its discussion of Transformer Purchase and Replacement Program. The Company rebuts the recommendations from that discussion in section IV.B below.

6. Environmental Capital Expenditures

Q. Has the Company reviewed Staff's proposed funding levels for the Environmental Capital Expenditures capital projects and programs that are presented in the Company's initial and update testimony?

A. Yes.

Q. What are the total reductions proposed by Staff?

A. Staff proposes total reductions of $0 million in RY1, $0.18 million in RY2, and $0.18 million in RY3.

Q. Does the Company agree with Staff's proposed reductions?

A. No. The Company will explain why Staff's proposed cuts to individual capital projects and programs are unreasonable.

Environmental Enhancements

Q. Does Staff recommend any changes to the Environmental Enhancements program?

A. Yes, SEIOP recommends a budget of $933,000 in RY1 and $1.05 million in RY2 and RY3, a reduction of $0.179 million in RY2 and RY3.

Q. Does SEIOP provide a rationale for the reductions in RY2 and RY3?

A. Yes, SEIOP states the recommendation is based on the Company's historical underspending. Therefore, SEIOP recommends funding levels for the three rate years based on recent actual historical spending and work activity trends in recent years.

Q. Do you agree with SEIOP's reasoning?

A. No, we do not. As discussed earlier in this testimony, relying on historic actual spending to forecast future funding ignores the reality of changing economic and operational conditions. Notwithstanding, historical spending does not indicate reduced need, as actual expenditures in 2022 and 2023 exceeded budgeted amounts by an average of ~$350K; only in 2024 did capital constraints

slightly reduce spending by ~$20K, to support other priority efforts. This detail was provided by the Company in its response to DPS-37-838. Further, SEIOP fails to acknowledge, as mentioned in the whitepaper Exhibit___(EIOP-12, p. 4), the significant environmental and safety risks associated with underfunding this program, including increased corrosion and dielectric fluid leaks from inadequately protected high-pressure fluid-filled feeders. Staff also does not consider escalating costs of contractor, labor, and material prices, also included in the response to DPS-37-838, in their recommendation.

B. T & D Operations and Maintenance (O&M)

Q. Has the Company reviewed Staff's proposed funding levels for the Operations and Maintenance projects and programs that are presented in the Company's initial and update testimony?

A. Yes.

Q. What are the total reductions proposed by Staff?

A. Staff proposes total reductions of $27.05 million in RY1, $39.37 million in RY2, and $17.05 million in RY3, excluding O&M expenses related to staffing adjustments recommended.

Q. Does the Company agree with Staff's proposed reductions?

A. No. The Company will explain why Staff's proposed cuts to individual O&M projects and programs are unreasonable.

1. ARCOS

Q. Does Staff agree with the Company's approach to separate ARCOS from the Engineering and Services category?

A. No, the Staff ERRPM Panel does not.

Q. What are the Staff ERRPM Panel's concerns with the Company's proposal?

A. The Staff ERRPM Panel does not see a need to separate ARCOS expenditures from the Engineering and Services category. The Staff ERRPM Panel states the Company ARCOS expenditures were approximately $1.12 million and $1.17 million in 2024 and 2025, respectively. It asserts these expenditures are in line with the Company's O&M request for each rate year. Therefore, the Staff ERRPM Panel recommends rejecting the Company's proposal to separate ARCOS from engineering and Services and recommends the Commission reject the Company's proposed incremental $1.1 million program funding for each rate year.

Q. Do you agree with the Staff ERRPM Panel recommendation for ARCOS?

A. Not entirely. We have no objection to Staff's proposal to include the costs associated with ARCOS in the Company's Engineering and Services budget. However, we do object to the notion that this somehow makes the incremental cost go away. The Staff ERRPM Panel states its support of the program's overall objectives, and offers no reason not to fund it; The Staff ERRPM Panel simply states it should be funding in a different budget but makes no adjustment to that budget. The Staff ERRPM Panel's recommendation creates a funding gap by rejecting the Company's original proposal, which clearly had ARCOS as a separate line item, and not adding it elsewhere. Since ARCOS costs were not included in the baseline Engineering and Services request, failing to adjust that category upward by $1.1 million will leave the program underfunded and unable to support essential personnel management systems.

2. Safety Inspection Program

Q. What does Staff recommend for the Safety Inspection Program?

A. SEIOP recommends O&M budgets of $36.6 million in each of RY1, RY2, and RY3.

Q. What is the SEIOP's rationale for its recommendation?

A. SEIOP recommendation reflects the amount the Company spent in the historic test year and rejects the Company's proposed program changes.

Q. Does SEIOP explain why it is recommending rejecting the Company's proposed program changes?

A. Yes, SEIOP points to an order dated January 28, 2021, in Case 04-M-0159, stating the Commission granted in part a petition by Con Edison to modify the Safety Standards to allow for asset Management and allowing utilities the option to prioritize inspections based on system analytics and asset management principles. SEIOP states Con Edison started its new enhanced inspection cycle in 2021 which allowed the Company to perform the Underground Inspections based on high risk, medium risk and low risk, with each category of inspections to be completed in five years, eight years, and ten years respectively. SEIOP states based on these new cycles, the medium risk facilities inspection shall be completed by 2028 (2028 is 8th year from 2021). SEIOP frames the Company request as the Company now asking

for a program change to complete this medium risk inspections. SEIOP asserts Con Edison is the utility that petitioned the Commission and requested this change to the Safety standards and associated repair inspection and repair efforts. As such, SEIOP asserts Con Edison should have been fully aware of what was needed to complete these efforts within the allotted time frames. SEIOP also points to the Company's response to DPS-34-780 that shows that the Company underspent in this program in 2024. Based on this assessment SEIOP asserts Con Edison has not justified the need for such program changes, and recommends the Commission reject the request for all the rate years.

Q. Do you agree with SEIOP reasoning for rejecting the Company's requested program change for the Safety Inspection Program?

A. No, we do not. The Company is fully aware of what is needed to complete these efforts in the allotted time frames. First, The Company's proposal is based on its deep and specific knowledge of the work required. The Company started its new enhanced inspection cycle in 2021 which allowed the Company to perform the Underground Inspections based on high risk, medium risk and low risk, with each

category of inspections to be completed in five years, eight years, and ten years respectively. However, the Company agreed to prioritize and complete all underground Cycle 3 structures not visited and complete inspections by 2022 (High Medium Priority) and 2024 (Low Priority). The focus was also to complete the high priority structures by 2025 which is the end of the cycle.

Second, The Company does not perform targeted inspections early in the cycle. This allows for the opportunity to have the inspection done when Crews need to perform work in the structures. Since Crews are on-site for other work there is no incremental cost of the inspection. As time progresses, the strategy shifts to targeted inspections. Since these inspections are the only reason to visit the structure, all the cost associated with the visit is accounted for in the inspection budget. As Con Edison approaches the end of Cycle 4, the Medium Priority structures are due in 2028. Because there is no guarantee that emergent work will result in visiting medium priority structures between 2026 to 2028, these 67,000 inspections must be targeted to meet the 2028 threshold.

Third, The Company has experienced a 70% increase in the unit cost of the new contracts for Overhead Inspections and a 31% increase in the unit cost of URD inspections which is above Staff's suggested cost of living adjustment of 2.5% increase. In addition, the contract for Mobile Scanning is due at the end of 2026 and the new yearly cost for the program is unknown.

Finally, The Public Service Commission makes it clear that completing this work in the prescribed timeframe is a priority by not only ordering it, but by enforcing it with the most aggressive NRA, 75 basis points over 147 million in downward revenue adjustment. Yet Staff, in its testimony recommends reducing the funding for the program, without offering any reason that the Company's proposal is not commensurate with the amount of work to be done. The Company provides detailed plans for the work to be performed and in support the Company's costs for this work, none of which are disputed in any way by Staff or any other intervener.

Company obligations to reprioritize work and spend based on system and customer priorities should not be a justification for reducing the funding to support this

program. Funding was reprioritized to address other critical system needs and does not reflect a reduced need for underground inspections or program changes. Staff mischaracterizes the intent of the requested program adjustment, which is not a reversal of the Commission-approved inspection framework, but a necessary readjustment to meet medium-risk inspection timelines by 2028.

3. Storm Response Center

Q. What does Staff recommend for the Storm Response Center project?

A. The Staff ERRPM Panel recommend that the Commission reject the requested the O&M expenses.

Q. Does the Staff ERRPM Panel provide a rationale for its recommendation?

A. The Staff ERRPM Panel points to its recommendation that the Commission reject funding of the Storm Response Center project and reason all associated O&M expenses should be eliminated.

Q. Do you agree with the Staff ERRPM Panel’s recommendation for the Storm Response Center project?

A. No, we do not. See our response to the SERRPM Panel's recommendation related to this capital program in section II.A above.

4. Substation Operations Environmental Maintenance

Q. Does Staff recommend any adjustments to the Substation Operations Environmental Maintenance program?

A. Yes, SEIOP recommends a downward adjustment of $195,000 for all three rate years. This results in an O&M budget of $3.39 million per year, in RY1, RY2, and RY3.

Q. Does SEIOP provide a justification for its recommendation?

A. Yes, SEIOP states the three-year average actual O&M spending from 2022 to 2024 was $3.39 million. SEIOP agrees with the needs for increased funding but believe that the budget should be more in line with the historical actual costs as these cost have been relatively the same for the last five years.

Q. Do you agree with SEIOP's recommendation?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary.

As mentioned in the white paper, funding for environmental maintenance is essential to protect critical substation equipment from external risks, including contamination, wildlife intrusion, and vegetation overgrowth. Proactive maintenance enhances system reliability, extends equipment life, ensures regulatory compliance, and supports safe, efficient operations.

5. System Operation - Computer Operations License and Support

Q. What does Staff recommend for the System Operation - Computer Operations License and Support program?

A. SEIOP recommends a budget of $3.85 million in each of RY1, RY2, and RY3.

Q. Does SEIOP describe its reasons for its recommendation?

A. SEIOP claims the Company fails to justify and support claims of "significant changes to the cost structures" with evidence of forecasted escalations as stated by the Company in Exhibit___(EIOP-4) page 2, that will lead to increased expenses. SEIOP states the recommended budget amount was derived by the average actual spend of the past three years.

Q. Do you agree with SEIOP assessment?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. SEIOP fails to mention the estimate is based on the historical escalations of license and support renewals and escalation in guard services. The shift to subscription-based software models has significantly increased ongoing costs. Additional funding is needed to close these gaps and to ensure uninterrupted operation of critical systems.

C. Electric T&D Staffing Additions

Q. Does Staff make any recommendations for the Company's request for additional FTEs?

A. Yes, SEIOP makes a number of recommendations related to the increase in FTEs. SEIOP recommends denying a total of 882 of the 1,183 total FTEs that the Company requested.

Q. Do you agree with SEIOPs recommendations?

A. No, we do not. We will discuss the reason for disagreeing with SEIOP's recommendations for each program in detail.

1. Clean Energy Future Staffing at the Energy Control Center

Q. Does SEIOP make any recommendations related to the FTEs that the Company proposed for Clean Energy Future Staffing at the Energy Control Center ("ECC")?

A. Yes, SEIOP recommends rejection of all incremental FTEs the Company requested for the ECC.

Q. What is SEIOP's justification for its recommendation?

A. SEIOP recommends Con Edison use current full-time employees to assist and help manage these future projects. SEIOP asserts the Company did not adequately justify the need for the proposed additional FTEs, as it failed to establish a clear connection between the additional positions and current or anticipated projects.

Q. Do you agree with SEIOP's recommendation?

A. We disagree with SEIOP's position that these additional positions are not needed and that the Company failed to justify the positions. The white paper included in Exhibit___(EIOP-5), beginning on page 6, clearly explains the need for additional Control Center personnel that stems directly from the state's CLCPA policy changes that include a goal of 70% renewable energy by 2030. Renewable energy

sources are typically smaller in size than central station generators, meaning that a very large number of these resources are required to make up the percentage of renewable energy envisioned under CLCPA. Correspondingly, Con Edison's Energy Control Center will be required to dispatch and operate a substantially larger number of supply resources and to control the bulk power transmission system with numerous supply sources involving a much broader set of operating characteristics. To attempt to cover these new and expanded Control Center requirements with the single Transmission Operator position on watch currently introduces operational risk.

2. System Operation - Computer Operations Staffing

Q. Does SEIOP recommend any adjustments to the Company's request for incremental FTEs for System Operation - Computer Operations Staffing?

A. Yes, SEIOP recommends rejecting the Company's incremental FTE request for System Operation - Computer Operations Staffing.

Q. What is SEIOP's justification for its recommendation?

A. SEIOP recommends that Con Edison use the currently employed FTEs to assist and help manage these future projects. SEIOP asserts the Company did not adequately justify the need for the proposed additional FTE, as it failed to establish a clear connection between the additional positions and current or anticipated projects.

Q. Do you agree with SEIOP's recommendation for incremental FTE request for System Operation - Computer Operations Staffing?

A. No, again, we do not agree that the Company has failed to "establish a clear connection between the additional positions and current or anticipated projects." As explained fully in the white paper supporting the need for the additional positions provided in Exhibit___(EIOP-5), beginning on page 12, not only will the additional positions be needed to support the extensive expansion of Con Edison's electric delivery system represented by the infrastructure projects included in the capital plans submitted during project planning and execution, but each system expansion represents new, sustained demand for System Operations Computer Operations staff support to ensure highly reliable monitoring, control, and operating

systems across the electric delivery system. Then, when you add the expansion and diversification of the supply resources being interconnected with the Company's bulk transmission system – as explained above and in the referenced white paper – and the continually multiplying need and regulatory requirements for protection of our digital operating technology, it is clear that the future systems operations will be much different than what it has been in the past and that the Company must prepare for the daily operating challenges that will come with the changing characteristics of the electric system and the environment in which we operate it.

3. Regulatory Compliance Positions

Q. Does SEIOP recommend any adjustments to the Company's request for incremental FTEs for Regulatory Compliance Positions?

A. Yes, SEIOP recommends that the Commission reject the Company's request for the incremental Regulatory Compliance positions.

Q. Does SEIOP provide justification for its recommendation.

A. Yes, SEIOP recommends that the Company continue to use its current FTEs to assist and help manage these future projects. SEIOP claims the Company did not provide adequate justification regarding the need for four new hires in addition to the existing staffing levels. SEIOP states factors such as newly proposed, large scale capital projects and new substations, does not justify the need for four incremental employees in this job title. SEIOP also points to the Company's supplemental response to DPS-20-530, where Con Edison states that the need for these positions is "based on department leadership's experience and practical observations of the department" and that "no quantitative models, workpapers, data, or methodologies were used" to determine the need for exactly four incremental FTEs.

Q. Do you agree with SEIOP recommendations?

A. No, we do not. Similar to the staffing addition needs for additional Clean Energy Staffing at the Energy Control Center and for additional System Operations Computer Operations Staffing discussed on the previous pages and as detailed in the white paper included in Exhibit___(EIOP-5), beginning on page 9, both the Company's proposed projects

and programs and other Company and third party projects designed to implement CLCPA and other policy commitments contribute to significant increases in the regulatory evaluation, reporting, oversight, and compliance responsibilities of this group, with no reductions in its on-going responsibilities. It is not reasonable to believe that such significant increases in expectations and workloads could be successfully fulfilled by existing staff.

Q. Do you agree with Staff's implication that the knowledge and experience of our Regulatory Department's leadership is not sufficient to identify key staffing needs and that a quantitative analysis or algorithm is needed to justify staffing needs?

A. We do not. The work performed by the Regulatory department is not transactional – i.e., their responsibilities do not involve completing nearly identical, highly predictable repetitive tasks day after day. Very few Regulatory tasks are repetitive. Most Regulatory responsibilities are knowledge-based activities requiring experience and, in some cases, specialized backgrounds or skills to be successful. No artificially contrived computer analysis is

likely to be able to effectively forecast and analyze the Department's staffing needs and would, of course, be entirely dependent on the experience of the existing Regulatory Leadership to identify, interpret, and input upcoming changes and risk that would impact staffing needs.

4. Substation Operations

Q. Does SEIOP recommend any adjustments to the Company's request for incremental FTEs for Substation Operations?

A. Yes, SEIOP recommends reducing the incremental Substation Operations FTEs by 20 to 118. This includes rejecting three GUWs for Construction and Planning, 10 GUWs for Corrective Maintenance, one Supervisor and one Operator for Operations, three Technicians and two Supervisors for Protective System Testing. For Corrective Maintenance, two of the GUWs are to be removed from the planned hires for Rate Year 1, with the remaining eight to be removed from the planned hires for Rate Year 2.

Q. Does SEIOP provide a rationale for its recommendation?

A. Yes, SEIOP points to the Company's response to DPS-2-266, where the Company indicates that its budgeted FTEs over a three-year period from 2022 to 2024 was 1,035 FTEs and the

actual FTEs were 1,015. SEIOP states this is a 20 FTE difference between the budget and actual amount in this category in recent years. Based on this, SEIOP recommends the Commission match the difference between the budgeted and actual FTE hires by cutting 20 FTE positions in this category.

Q. Does SEIOP provide a breakdown of the incremental FTEs that it is proposing be rejected?

A. Yes, SEIOP states the reduction of 20 FTEs breaks down into; three FTEs for Construction and Planning, ten FTEs for Corrective Maintenance, two for Operations, and five FTEs for Protective System Testing.

Q. Do you agree with SEIOP's recommendations for these reductions?

A. No, we do not. As discussed previously, it is arbitrary to proposed reductions purely based on historical resource levels, without first evaluating the expressed future needs and explaining why the proposed reductions are justified considering specific future needs. SEIOP's justification for reducing the incremental Substation Operations staffing completely ignores the discussion of the four new substations that are expected to come online by 2028. This

significant expansion to Con Edison's electric delivery system and the resulting additional operational needs was discussed in Exhibit___(EIOP-5), page 32, and in the Company's response to DPS-20-530. Additional operators will be required to handle increased volumes of switching, equipment management, and other key tasks for these projects and others during construction and for round-the-clock operation of the new stations once they are energized. Staffing decisions to meet future needs must also consider the extended time required to hire and train additional operations staff, a fact noted in the SEIOP's testimony.

5. Underground Transmission Operations

Q. What SEIOP's position regarding the Underground Transmission Operations incremental FTEs?

A. SEIOP recommends that the Commission reject the Company's request for incremental FTEs for the Underground Transmission Operations group.

Q. Does SEIOP provide a rationale for their recommendation?

A. Yes, SEIOP claims this is based on the findings of its review, where it did not find an increase in the number of

transmission projects that Con Edison states as the rationale for the need for incremental FTEs.

Q. Does SEIOP discuss what it found in its review that it based its recommendation on?

A. Yes, SEIOP points to the Company's response to DPS-38-846 where the Company provides a table showing three projects that the Underground Transmission Operations group will support or has supported for calendar years 2020 through 2029. SEIOP than compared this to the Company's response to DPS-2-264 and states it found that the Company's capital budget request for transmission projects and programs for rate years 1 through 3 is less than the three-year average from calendar years 2022 through 2024. SEIOP also references the Company's response to DPS-38-846 and the Company's correction to the FTEs regarding the four Chief Line Constructor Specialists were miscategorized as management positions. SEIOP also points to the Company's supplemental response to DPS-20-530 where the Company states the 24 new Underground Transmission Operations positions are needed to support the increased volume of projects planned in future years, and that no quantitative models, workpapers, data, or methodologies were used. SEIOP

states it reviewed the 2022 capital expenditure report filed in Case 19-E-0065, and the 2023 and 2024 capital expenditure reports filed under Case 22-E-0064, and did not find a notable increase in the number of transmission projects or programs in the rate years compared to the historical amount. Based on this analysis, SEIOP recommends that the Commission reject the Company's request for incremental FTEs for the Underground Transmission Operations group.

Q. Do you agree with SEIOP's reasoning for rejecting the incremental FTEs for the Underground Transmission Operations group?

A. No, we do not. SEIOP's observation that it found no "notable increase in the number of transmission projects or programs" (emphasis added) from their review of historical capital expenditure reports is not relevant to the Company's forward-looking staffing needs since the number of projects does not correlate to staffing requirements. Additionally, although we appreciate that SEIOP's evaluation of the incremental FTEs did not just consider past workloads but also considered future work to be supported by the Underground Transmission Operations group,

its review contained a significant flaw. When comparing the volume of past capital work to future levels, SEIOP used the numbers shown as "transmission" on the Company's response to DPS-2-264, not understanding that those values were totaled based on where the projects and programs will be budgeted and the costs were not allocated to the organizations based on who will perform the work. As a result, the cost for all work on the Brooklyn Clean Energy Hub and the Eastern Queens Transmission Substation (the largest projects in the plan for this group to support in the rate period) are included in the Substation totals in that table.

6. Central Engineering Staffing and Position Additions

Q. What is SEIOP's position regarding the incremental FTEs for Central Engineering ("CENG")?

A. SEIOP recommends Con Edison hire 25 Engineers in the Rate Year. This reduces the number of incremental FTEs by 18 FTEs in RY1, 25 FTEs in RY2 and 7 FTE in RY3.

Q. What is SEIOP's reasoning for this recommendation on incremental FTEs for Central Engineering?

A. SEIOP states it reviewed the Company's total number of Engineers in Central Engineering from the response to DPS-20-530, attachment DPS_20_530_Attachment 2 and found that the Company has around 218 Engineers in Central Engineering as of December 2024. SEIOP states that, taking into consideration the new Substation Projects and other business, it recommends the funding for 25 Engineers in RY1. SEIOP asserts these 25 new hires along with the existing staff should be able to meet the need.

Q. Did SEIOP provide a reason for their reduction of incremental FTEs by 18 FTEs in RY1, 25 FTEs in RY2 and 7 FTE in RY3?

A. SEIOP states its review confirms the job responsibilities of the Engineers in the overall support of the Electric Systems. SEIOP states in response to DPS-20-530, the Company states its planners first developed projections for engineering organization FTEs by applying a capital rate per engineering FTE and uses that to estimate the appropriate engineering support. SEIOP claims this response does not substantiate the Company request as no data is provided.

Q. Do you agree with SEIOP's recommendation for reducing the number of incremental FTEs the Company requested for Central Engineering Staffing and Position Additions?

A. No. Since we do not agree with SEIOP's recommended reductions in the proposed capital investments in the rate period, we do not agree with such a drastic reduction in the requested incremental Central Engineering FTEs. Furthermore, without much more detail on the specific data and calculations on which SEIOP's recommended staffing level is based, we are skeptical that their methodology would produce a credible estimate of staffing needs, even without reducing the level of projected capital work to be supported by this group during the rate period. SEIOP did not provide any analysis to support this recommendation, and, as discussed in section I above, the use of historical costs to project future costs without consideration of specific cost drivers for past cost and expected changes that will impact future costs is arbitrary and does not produce an appropriate proxy for future costs. In the rate years, not only does the overall level of capital work supported by CENG increase significantly, but the portion of this work made up of substation work, including

engineering support for multiple new Transmission Substations and Area Substations, makes up most of the increases. Engineering support for these projects is likely to be much more complex than other capital work that CENG supports and to require more engineering resources per capital spend. Additionally, an analysis of the required CENG staffing should also consider the support needs associated with other capital work supported by this group, including interconnection requests and future CLCPA projects.

Finally, SEIOP asserts that the Company response to DPS-20-530 "...does not substantiate the Company request as no data is provided." However, the referenced portion of the Company's response to DPS-20-530, question 1.b, actually applied to how Distribution Engineering and Planning staffing was evaluated. The answer to this question for CENG was included in the Companys' supplemental response to DPS-20-530.

Q. Were other recommendations for this CENG staffing made by any other parties?

A. NYC EIP opines the white paper for the Central Engineering FTEs show an increase of 14.9% in costs from historical

values but there does not appear to be a substantial difference in the program. NYECC recommends a smaller increase based on inflation.

Q. Do you agree with these NYC EIP recommendations?

A. No. Similar to SEIOP, NYC EIP makes its assertions without any supporting analysis or explanations of how it evaluated the specific drivers of past engineering resource needs compared to future engineering resource needs. NYC EIP also references a "14.9% increase in cost from historical values as presented in the filed white paper of Exhibit___(EIOP-5)." NYECC failed to recognize, however, that the past costs and future funding requests related to CENG staffing included in that white paper are O&M only and do not include the significant portion of CENG labor costs charged to capital. Because NYECC failed to recognize standard accounting practices for booking labor costs for staff supporting capital work, it also makes the incorrect observation that "There does not appear to be a substantial difference in the program from past years...."

7. Construction

Q. What is the SEIOP's position regarding the Construction incremental FTEs?

A. SEIOP recommends the Commission support the hiring of 88 incremental FTEs in RY1, and 14 in RY2, for a total of 102 FTEs for the Construction Organization. This is a reduction of 97 incremental FTEs in RY1 and 16 incremental FTEs in RY2.

Q. Does SEIOP provide a rationale for the reductions in Construction incremental FTEs?

A. Yes, SEIOP states its recommendation is based on its adjustments to the capital expenditures for electric T&D and the Staff Municipal Infrastructure Support Panel's adjustments to the electric interference capital expenditures. SEIOP took the ratio of the difference between its recommended electric capital expenditures budget and the Company's 2025 budget to the difference between the Company's requested capital expenditure budget and its 2025 budget and applied it to the incremental FTE request. SEIOP's review resulted in a ratio of 47.6 percent

for Rate Year 1 and 47.63 percent for Rate Year 2, which it applied to the Company's FTE request for each job title.

Q. Do you agree with SEIOPs' methodology for determining the number of Construction incremental FTEs?

A. No. As discussed in section I of our testimony above, the Company does not support the use of historical data to project future costs and resource needs without consideration of the specific circumstances impacting the cost/resource needs at the time and expected and potential changes in those drivers in the future. One such change in past and future drivers impacting the number of construction resources needed is the type of work to be performed, and staffing requirements need to consider the fact that some construction activities are more labor intensive than others, even if the total cost is similar. The fact that future construction projects include building multiple new substations when past construction activities have not should be evaluated to determine the potential impact on resource needs.

Q. What are the specific number of FTEs SEIOP is recommending for each job title?

A. SEIOP recommends eight Chief Construction Inspectors, 29 Field Inspectors, three Specialists, two Field Technical Specialists, nine Supervisors, 37 Mechanics, 11 Chief Construction Inspectors, one General Manager, two Section Managers. For the nine Supervisors, SEIOP recommends the Company be allowed seven in RY 1, and two in RY 2. For the 37 Mechanics, SEIOP recommends the Company be provided an allowance for 25 in RY 1 and 12 in RY 2.

Q. Do you agree with SEIOP's recommendation for these titles?

A. Since we do not agree with SEIOP's recommended reductions to the Company's proposed capital spend during the rate years and we have concerns about the methodology that SEIOP described using to estimate the recommended incremental Construction FTEs needed, we do not support SEIOP's recommendations.

Q. Does the SEIOP have any additional recommendations regarding incremental Construction FTEs?

A. Yes, SEIOP recommends the removal of the electric portion of the Senior Vice-President and additional Executive Assistant positions that were included in the workpaper but were not mentioned in the whitepapers presented by the EIOP or Company's Gas Infrastructure and Operations Panel

("GIOP"). SEIOP states its recommendation is based on the Staff Gas Safety Panel's recommendation to eliminate the gas portion of these two positions, and the lack of information within the whitepapers describing the need for these positions.

Q. Do you agree with Staff's recommendation to eliminate these positions?

A. No. Staff is correct that these positions were not included in the EIOP and GIOP white papers supporting incremental Construction FTEs. These Senior Vice President and the Executive Assistant roles are required. The Construction organization must execute on billions of dollars of capital infrastructure projects annually into the foreseeable future. This significant volume of infrastructure required to meet clean energy and energy delivery goals requires the senior leadership to bolster the organization and ensure successful project execution amid the vastly increased workload in the upcoming years.

8. Electric Operations Headcount

Q. What is SEIOP's position regarding the Electric Operations Headcount incremental FTEs?

A. SEIOP recommends funding be provided for Con Edison to hire three incremental GUWs in the Rate Year. This is a decrease of 297 incremental FTEs in RY1 and 285 incremental FTEs in RY2.

Q. Was any other Staff Panel involved in the review of this incremental FTE request?

A. Yes, SEIOP states the SERRPM Panel reviewed this incremental FTE request.

Q. Did SERRPM make any separate recommendations regarding Electric Operations Staffing?

A. No.

Q. Did SEIOP provide a rationale for these significant reductions in incremental FTEs?

A. SEIOP states that this recommendation is a result of it modifying the base capital expenditure inputs, for each region, on the Budget tab of the Company's model to reflect its adjustments to electric distribution projects. Specifically, SEIOP multiplied the Company's RY1 capital inputs by approximately 0.7661, RY2 inputs by 0.7176, and RY3 inputs by 0.6583.

Q. Please explain why SEIOP multiplied the Company's inputs by these values.

A. SEIOP states it found issues with the Company's capital input data that could not be reconciled. Therefore, SEIOP applied its adjustments to all projects and programs identified in the Company's response to DPS-2-266, attachment DPS_2_266_Attachment 1, as Electric Distribution, or with no organization identified. SEIOP states it confirmed that the projects which did not have an organization identified were in fact electric distribution projects by verifying that the sum of all projects and programs included in Exhibit_(SEIOP-4), matched the total capital expenditures for electric distribution projects identified in the response to DPS-2-264, attachment DPS_2_264_Attachement 1. Then SEIOP removed the requested capital budget and its adjustment for the Transformer Purchase program, as the funding for this program is for the procurement of transformers and does not include any work to be completed by the incremental GUWs requested by Con Edison. Comparing SEIOP adjusted capital budget for Electric Distribution projects to what the Company requested in its initial EIOP testimony, SEIOP states it found that its adjustments reduce its total Electric Distribution capital budget by approximately 23.39 percent

in RY1, 28.24 percent in RY2, and 34.37 percent in RY3. SEIOP used these percentages to reduce the capital expenditure inputs in the Company's model.

Q. Do you agree with SEIOP's methodology and reasoning for its reductions of Electric Operations Headcount incremental FTEs?

A. No, we do not. Given the result of SEIOP's analysis, we must say that we cannot agree that the methodology used is a sound approach to estimating the staffing levels needed to execute the proposed amount of capital work.

Q. What about the SEIOP recommendation resulting from using this methodology leads you to this conclusion?

A. SEIOP state that it could not reconcile differences found in Con Edison's model, and rather than provide any details or analysis to challenge the veracity of the Company model, SEIOP chose to use a different analytical approach. While some specific details of the approach are provided in SEIOP testimony, there is not sufficient detail to understand its assumptions and calculations. Even without delving into the specifics of how SEIOP used the data provided to adjust the inputs to Con Edison's Electric Operations staffing model, we would expect the SEIOP analysts to provide some insight

into the large gap between its results and the Company's. SEIOP offers no explanation as to why its average reduction in annual Capital spend of less than 29% results in nearly 100% reduction (99.48%) in FTEs needed to complete the work. Even, if the Company did not provide its model, and a demonstration of how to use it, in the absence of any knowledge other than the Company's current investment level and both the level needed to provide safe, reliable and resilient electricity as proposed by the Company and the initial recommended levels of funding by SEIOP, there is clearly more work required in both cases. Any analysis that resulted in a conclusion that the additional work, which has labor costs (as provided) in the hundreds of millions of dollars, could be completed by three people, is clearly flawed.

Multiple sources of potential reference points for an analysis of this type are readily available by consulting other Electric Operations Staffing Estimates in Con Edison's rate cases. Consider the following for example:

- Case 22-E-0064 – EIOP Testimony and Exhibits

  Avg. DE capital per RY: $1.4 billion

Estimate of Additional GUWs: 255

- Case 22-E-0064 – SEIOP Exhibits SEIOP-2, Schedule 1

Avg. DE capital per RY: $1.1 billion

Estimate of Additional GUWs: 74

- Case 25-E-0072 – EIOP Testimony and Exhibits

Avg. DE capital per RY: $2.2 billion

Estimate of Additional GUWs: 585

Even without knowing details of how these estimates were calculated, considering these prior estimates prepared by either the Company or by DPS Staff bring into question the validity of the analysis when it results in the need to hire only three GUWs.

Q. You mention that SEIOP states it found issues with the Company's capital input data that could not be reconciled, please explain.

A. SEIOP asserts that during their review it received the model used by the Company to determine the incremental staffing for Electric Operations in the Company's initial response to DPS-20-530. In the model, SEIOP states it saw how the Company's analysts used data such as capital expenditures, O&M expenses, employee headcount,

organization capability and non-business-as-usual adjustments, by region, to determine the 585 incremental GUWs for Electric Operations. In the supplemental response to DPS-20-530, DPS_20_530_supp1_Attachment 1, the Company provided a list of the specific projects and programs, and their regional cost breakdowns, used as the base capital inputs for the model. In this attachment, SEIOP claims it found two issues. The first issue SEIOP points to is the rate year totals of some projects do not match what was provided in the EIOP's initial or updated testimony, the second issue SEIOP asserts is a few projects included were not mentioned in the EIOP's initial or updated testimony. SEIOP claims the following projects listed in the attachment do not match their budgets in the EIOP initial and update testimonies, nor in the Exhibits: Ave A to Trade Center No 1 Transfer; Ed Koch Queensboro Bridge 13kV Riser Replacement; Corona No. 1 to Hillside Transfer; Williamsburg Network Split - Water St to Nevins St Transfer; and the Flatbush Network Split - Bensonhurst No 2 to Gateway 2. The projects SEIOP states it was not able to find in the EIOP testimonies and Exhibits are Parkchester No. 1 to Parkchester No. 2 Transfer, Mott Haven to E. 179th

St Transfer, and the Parkview Second Avenue Subway. Additionally, SEIOP states the Parkchester and Parkview projects do not have any capital expenditures for the rate years shown in the Company's workpaper CECONY 2025-2029 Project Detail 3-7-25 Rate Case. SEIOP asserts the Company's supplemental response to DPS-20-530 does not explain why these projects either were not mentioned in the EIOP testimonies and Exhibits, or why the rate year budgets do not match. Due to these issues, SEIOP claims it has concerns with using the list of projects provided by Con Edison, since it cannot determine the appropriate way to handle the projects it identified. Therefore, SEIOP decided to modify the capital inputs of the model with the ratio of SEIOP's and the Staff ERRPM Panel's recommended budget for electric distribution projects to Con Edison's requested budget.

Q. Do you agree with Staff's concerns for the Electric Operations Headcount incremental FTEs?

A. Not at all. We are comfortable with the value that the Electric Operations staffing model provides in understanding the Company's labor needs and capacities and the Company has provided Staff with a full working copy and

met with members of Staff to walk through the basis of the analyses built into the model, the inputs needed, etc. However, as tends to be the case with custom analytical models built for use by a single group for a focused purpose, it takes some experience with the model itself and knowledge of a number of characteristics of the electric distribution system and organizations – like the specific work performed in each region under each project and program and the current staffing and capability differences between regions - to successfully configure the model inputs correctly and adjust assumptions as needed.

To address SEIOP's concerns about the inconsistencies it noted between the multiple versions of electric delivery capital project and program rate year funding documents, it is important to note that over the course of the ten or more months that the Company has spent preparing for and actively participating in this rate filing, it has also been continually assessing system performance, forecasting future demands, and evaluating and planning work to strengthen, protect, and expand the distribution system to improve safety and reliability and meet customer demand. For example, as the Company has discussed in its testimony

and exhibits, the Company has just updated its 20 year Load Relief Program based on last November's system peak demand, and the Company's 10-yr Preliminary Load Relief Program completed last January. As the Company has continued to evaluate its latest forecasts and refine its plans to strengthen and expand the system to meet future needs, some of the infrastructure projects have changed slightly, been altered more substantially, or have been cancelled. These changes have led to revisions to the testimony and various exhibits and support material detailing the proposed investments included in this rate case.

The four projects noted by SEOIP as having different names and/or budgets than in the EIOP testimony and exhibits are artifacts of the Company's continued planning. The three projects removed from the early capital plan used to estimate the Electric Operations staffing needs were cancelled or deferred after Con Edison's initial staffing analysis was completed as part of the Company's preparation for the initial rate case filing in January. The four projects noted as having different names or budgets were similarly impacted by continued system planning and rate case preparation. For example, the Avenue A to Trade Center

No. 1 load transfer project has now become a two-part load transfer called "Ave A to Cherry St and Seaport No. 2 Transfer." Another project noted in SEIOP testimony as not being the same on the base capital detail used to estimate staffing (and provided as an attachment to the supplemental DPS-20-530) as in the Company's testimony is the Ed Koch Queensboro Bridge Riser Replacement project. The capital funding need for this project was updated to reflect the vendor quotes received in response to the Company's RFP shortly before the Company filed initial testimony in January (but after the Electric Operations staffing analysis was complete).

9. Engineering and Planning Staffing and Position Additions

Q. What is Staff's position regarding the Engineering and Planning Staffing and Position Additions incremental FTEs?

A. SEIOP is recommending funding for Con Edison to hire 30 Junior Designers in the Rate Year. SEIOP claims these 30 new hires along with the existing staff should be able to meet the need for the new and existing distribution projects.

Q. Does SEIOP provide any reasoning for the reduction in Engineering and Planning Staffing and Position Additions incremental FTEs?

A. SEIOP asserts that during its review of the need and timing of hiring of Junior Designers it found the Company did not provide any data to substantiate its request for hiring 100 Junior Designers. SEIOP points to the Company's response to DPS-20-530 and indicates the Company states Company planners first developed projections for engineering organization FTEs by applying a capital rate per engineering FTE and that rate in conjunction with the capital request, provides one estimate of the appropriate engineering support. SEIOP asserts this response does not substantiate the Company request due to lack of data. SEIOP claims it looked at the Company's total existing Junior Designers as of December 2024 and found that the Company has 64 Junior Designers in Electric Operations as of December 2024. SEIOP then states in view of project work ahead and the number of existing Junior Designers, it recommends 30 Junior Designers in the Rate Year.

Q. Do you agree with SEIOP's reasoning for reducing the number of Engineering and Planning Staffing and Position Additions incremental FTEs?

A. No. We note that SEIOP did not provide any analysis or details in support for their recommendations that would allow us to understand how it evaluated the historical work that this group supported and how specific types of work impacted resource needs versus forecasted work to be supported, and the specific engineering resources required. Secondly, the details it does supply belie significant flaws in its analysis. Specifically, SEIOP failed to assess the design capability of Con Edison's current workforce, instead focusing only on a portion of that workforce at the lowest title. Con Edison hires Junior Designers, who through training and experience, qualify and progress to higher titles. Con Edison's Electric Operations team includes 285 designers in all titles, as of April 2025. However, our main reason for not supporting the significant reduction in incremental Engineering and Planning Staffing stems from the Company's disagreement with the level of capital reductions that SEIOP is recommending overall.

10. Vehicle Purchases for Incremental FTEs

Q. Does SEIOP have any other recommendations regarding the Company's request for incremental FTE?

A. Yes, SEIOP makes recommendations related to the Company's request for additional vehicles to support the additional FTEs. SEIOP addresses the vehicles requested included in EIOPs initial and update testimony.

Q. Does SEIOP agree with the Company's fleet additions request for Electric Operations, Construction, and Transmission Operations organizations?

A. No, SEIOP does not. Based on SEIOP's recommendations regarding the Company's request for incremental FTEs, it recommends funding for three new vehicles for Electric Operations, zero new vehicles for Transmission Operations, and six new vehicles for Construction.

Q. Please explain SEIOP's recommendation for vehicle additions.

A. Based on SEIOP's recommended adjustment to the Electric Operation GUWs and Underground Transmission Operations organization, SEIOP recommends three vehicles for Electric Operations, one per recommended GUW, and no vehicles for

Transmission Operations. While SEIOP also made an adjustment to the Company's request for additional Junior Designers under Electric Operations it does not believe these positions will require vehicles, therefore it did not factor it into its recommendation for Electric Operations vehicles. For the Construction organization, the Staff Gas Safety Panel is rejecting the 58 incremental FTEs allocated to gas. In addition, SEIOP is only recommending 102 of the 215 incremental FTEs allocated to electric. In total, both the SEIOP and Staff Gas Safety Panel recommend 102 out of 273 identified incremental FTEs, or approximately 37.36 percent of the Company's request. SEIOP applied this percentage to the Company's requested 15 vehicle additions for Construction, which, when rounded up, results in a recommendation of six vehicle additions in the Rate Year.

Q. Do you agree with SEIOP's recommendation for additional vehicles to support the incremental FTEs?

A. Con Edison does not agree with any of SEIOP's recommended adjustments to incremental staffing needs and, therefore, does not support the recommended number of vehicles.

III. Electric Production Capital Expenditures

A. Electric Production Capital Expenditures

Q. Has the Company reviewed Staff's proposed funding levels for the Electric Production Capital Expenditures capital projects and programs that are presented in the Company's initial and update testimony?

A. Yes.

Q. What are the total reductions proposed by Staff?

A. Staff proposes total reductions of $8.41 million in RY1, $8.21 million in RY2, and $10.81 million in RY3.

Q. Does the Company agree with Staff's proposed reductions?

A. No. We will explain the reason we disagree for each project and program.

1. Major Equipment Replacement Projects – EP

Q. Does Staff recommend any adjustments for this program?

A. Yes, SEIOP recommends an adjustment of $2 million in RY1 and $3 million in RY3, resulting in a budget of $3 million, $11 million, and $2 million in RY1, RY2, and RY3, respectively.

Q. Does SEIOP explain its reasonings for these adjustments?

A. Yes, SEIOP states it adjusted the RY1 budget to match the forecasted 2026 capital expenditures of the projects identified in response to DPS-557, and adjusted RY3 to provide $2 million for the Company to complete the East River 70 Rear Wall Hopper Slope project in 2028.

Q. Do you agree with these adjustments?

A. No, we do not. As stated in the white paper for this program beginning on page 26 of Exhibit-(EIOP-13), the projects discussed in the white paper are examples of projects funded by this program, not an exhaustive list of projects. This is also true for the projects listed in the Company's response to DPS-22-557. This is further explained in the Basis for Estimate on page 27 of the Exhibit, that states "program budgets are determined based on the estimated yearly cost of projects currently identified, as well as expected future projects based on engineering and operations input." Staff's recommended funding does not even address the total annual funding for identified projects in the rate years, and SEIOP does not provide any reasoning for justification for these reductions. The reductions recommended by SEIOP would not only jeopardize the projects specifically listed from being completed, but

jeopardize the Company being able to address any emergent projects identified by ongoing assessments, inspections and evaluations.

2. Power Distribution Replacement Projects – EP

Q. Does SEIOP recommend any adjustments for the Power Distribution Replacement Projects – EP program?

A. Yes, SEIOP recommends an adjustment of $301,000 in RY1, $4.3 million in RY2, and $1.2 million in RY3, which results in a budget of $4.7 million, $700,000, and $4 million in 2026, 2027, and 2028, respectively.

Q. Does SEIOP provide a rationale for the adjustments to this program?

A. Yes, SEIOP adjusted this program's budget to match the total forecasted capital expenditures of the 12 projects identified by Con Edison to be completed under this program.

Q. Do you agree with SEIOP's adjustments to this program?

A. No, we do not. Here, again, Staff failed to recognize that the projects listed in the white paper for this program beginning on page 34 of Exhibit-(EIOP-13), are examples of projects funded by this program, not an exhaustive list of

projects. This is also true for the projects listed in the Company's response to DPS-22-557. This is also further explained in the Basis for Estimate on page 38 of the Exhibit, that states "program budgets are determined based on the estimated yearly cost of projects currently identified, as well as expected future projects based on engineering and operations input." In fact, since the white paper for this program was finalized, additional projects with a projected cost of $5.5 million have been identified. This aligns with the statements in the white paper that ongoing assessments, inspections, and evaluations could result in new projects. These projects are as follows: East River Feeder 71A and 73A Replacements, East River L&P 1 and 2 Replacement and East River 13.8kV Breaker Replacement. The projects mentioned above must be completed to prevent forced outages and reliability issues. The reductions recommended by SEIOP would not only jeopardize the projects specifically listed from being completed, but jeopardize the Company being able to address any emergent projects identified by ongoing assessments, inspections and evaluations.

3. Balance of Plant Replacement Projects – EP

Q. Does SEIOP recommend any adjustments to the Balance of Plant Replacement Projects – EP program?

A. SEIOP recommends the budget for this program be set at $1.7 million per rate year for RY1, RY2, and RY3, a reduction for each rate year.

Q. What is SEIOP's rationale for its recommendation?

A. SEIOP basis this on the historic three years average spend. SEIOP also points out this is an ongoing program, and the replacements are done based on assessments, inspections and evaluations and the Company did not provide any instances where a failure occurred due to lack of replacement.

Q. Do you agree with Staff's recommendation for this program?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. Staff points to the fact that there have been no failures due to a lack of replacement as further justification; however, Staff does not provide any type of analysis that would justify reducing this program because the Company has not experienced a failure. Further,

similar to other Electric Production reductions, Staff failed to recognize that the projects listed in the white paper for this program beginning on page 2 of Exhibit-(EIOP-13) are examples of projects funded by this program, not an exhaustive list of projects. This is also true for the projects listed in the Company's response to DPS-22-557. This is also further explained in the Basis for Estimate on page 38 of the Exhibit, that states "program budgets are determined based on the estimated yearly cost of projects currently identified, as well as expected future projects based on engineering and operations input." As an example, the Company is conducting an evaluation of its boiler feed pumps due to issues that have resulted in unplanned maintenance, equipment deratings, and forced outages. While one or more projects are likely, detailed scopes will not be available until the evaluation is completed. There are six feedwater pumps at East River Generating Station for Units 6 and 7 and replacement of one or more pumps is anticipated. The projected cost of a single pump replacement is approximately $2 to 3 million. The reductions recommended by SEIOP would not only jeopardize the projects specifically listed from being

completed, but jeopardize the Company being able to address any emergent projects identified by ongoing assessments, inspections and evaluations.

4. Balance of Plant Risk Reduction Projects – EP

Q. Does SEIOP recommend any adjustments to the Balance of Plant Risk Reduction Projects – EP program?

A. Yes, SEIOP recommends a budget of $0.3 million per rate year for RY1, RY2, and RY3 based on the average spent on this program for the last five years from 2020 to 2024. This is a reduction in funding for each rate year.

Q. Does SEIOP provide a rationale for this recommendation?

A. SEIOP relies on five year historic data. SEIOP points out the amount the Company budgeted in 2025 is only $0.201 million and the funding it recommends is more than the 2025 budget.

Q. Do you agree with this recommendation?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. The reductions recommended by SEIOP would not only jeopardize the projects specifically listed

from being completed, but jeopardize the Company being able to address any emergent projects identified by ongoing assessments, inspections and evaluations.

5. Civil & Structural Projects – EP

Q. Does SEIOP recommend any adjustments to the Civil & Structural Projects – EP program?

A. Yes, SEIOP recommends adjustments for this program. SEIOP states there was a $600,000 average underspend from 2022 to 2024 and recommends adjusting the budget to reflect this historical underspending. SEIOP recommends all three rate years be adjusted by $600,000, resulting in a budget of $2.4 million, $2.4 million, and $4.4 million for RY1, RY2, and RY3 respectively.

Q. Do you agree with this adjustment?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. The underspend in this program was due to a need for the budgeted funding to be directed to higher priority projects. Staff's focus on historic underspend does not consider why underspending occurred. SEIOP

recommended cuts will further delay the implementation of deferred projects under this program and implementation of new projects due to ongoing assessments, inspections, and evaluations. The requested funds are needed to implement projects to prevent building structural integrity issues, water intrusion issues, reliability issues, and safety issues.

6. Mechanical Facilities - EP

Q. Does SEIOP recommend any adjustments to the Mechanical Facilities - EP program?

A. Yes, SEIOP recommends fully removing this capital project from the Rate Year and RY2 and RY3.

Q. What is SEIOP's reason for recommending removing all funding for this program?

A. SEIOP states the Company did not provide information and clarity in its response to DPS-839 to justify this program's funding request for each project identified

Q. Do you agree with SEIOP's recommendation to remove this program completely?

A. No, we do not. As stated in the Company's response to DPS-37-839, the funding for this program will be used to scope

and prioritize projects under this new program. Further, as shown in the Company's response to DPS-22-557, funding in 2028 is for a specific project, the ER VF-53-VF-62 Exhaust Damper Upgrade. A Request for Proposal is currently being drafted and will be issued for an outside firm to scope and prioritize projects in 2025. If this program is not funded during this rate period, it will delay any resultant projects and resolution identified. The reductions recommended by SEIOP would not only jeopardize the project specifically listed from being completed, but jeopardize the Company being able to address any emergent projects identified by ongoing assessments, inspections and evaluations.

B. Electric Production O&M Expenditures

1. Operation and Maintenance Expenses

Q. Has the Company reviewed Staff's proposed funding levels for the Operation and Maintenance Expenses that are presented in the Company's initial and update testimony?

A. Yes.

Q. What are the total reductions proposed by Staff?

A. Staff proposes total reductions of $13.53 million in RY1, $11.03 million in RY2, and $14.70 million in RY3, excluding O&M expenses related to staffing adjustments recommended.

Q. Does the Company agree with Staff's proposed reductions?

A. No. We will explain the reason we disagree for each project and program.

2. Preventative Maintenance/O&M Associated with Capital - EP

Q. Does the Panel recommend any adjustments to the Preventative Maintenance/O&M Associated with Capital program?

A. Yes, SEIOP recommends adjusting this program to $3.32 million for RY1, $3.32 million for RY2, and $3.32 million for RY3.

Q. Does SEIOP provide a rationale for its recommendation?

A. SEIOP states that, according to historical spending, the three-year average is $3.32 million, and the highest amount spent in a rate year is $3.59 million. As such, SEIOP recommends that the budget for the Rate Year be set at the average spending for the last three years.

Q. Do you agree with Staff's recommendation for this program?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. Further, using a three-year historic average rather than the historic test year ignores the most recent, actual expenditures that provide the most accurate representation of the Company's O&M needs moving forward. Moreover, Staff did not adjust its historical averages for inflation, wage increases, and other escalations. This is inconsistent with the Commission's longstanding Policy on Test Periods. For Staff to deviate from the test year for any program it must present a specific program-related justification. The funding for this program is needed for the Company to complete overdue deferred high-dollar preventive maintenance projects. For example, the projected cost to perform preventive maintenance on the five traveling water screens at the dock ($750K/Screen) and the two circulating water pumps for East River Unit 7/70 ($500K/water pump) is approximately $4 million. The risk of deferring high-dollar preventive maintenance projects could result in derate or forced outages of electric production

units. In turn, this can jeopardize the reliability of bulk electric system.

3. Electric Production Corrective Maintenance Program

Q. Does SEIOP recommend any adjustments for the Electric Production Corrective Maintenance program?

A. Yes, SEIOP recommends adjusting this program to $5.966 million for RY1, $5.966 million for RY2, and $5.966 million for RY3.

Q. What SEIOP justification for its recommendation?

A. SEIOP claims the three-year average reflects a more accurate estimate of rate year costs because it includes the most recent increases in maintenance costs, labor, and lead times, as well as inflation and the cost impact from supply chain issues.

Q. Do you agree with SEIOP recommendations for the Electric Production Corrective Maintenance program?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. Further, using a three-year historic

average rather than the historic test year ignores the most recent, actual expenditures that provide the most accurate representation of the Company's O&M needs moving forward. Moreover, Staff did not adjust its historical averages for inflation, wage increases, and other escalations. This is inconsistent with the Commission's longstanding Policy on Test Periods. For Staff to deviate from the test year for any program it must present a specific program-related justification. As shown in the white paper for this program, on page 53 of Exhibit___(EIOP-13) the Company's spending for this program has steadily increased from just under $5 million in 2022 to an actual spend of $7.169 million in 2024. The funding for this program is needed to address corrective maintenance issues that are non-recurring and require significant funding not reflected in the proposed three year-average spending level. Delaying addressing this work can significantly negatively impact the reliability of operations and station's personnel safety. For example, as mentioned in the white paper, during the spring 2023 Unit 7/70 outage, failure of the refractory at the burner throats within Boiler 70 was observed. It is essential to restore the burner throat

refractory to ensure complete and correct combustion to stay within emissions compliance, to prevent further damage, and eliminate potential hot spots that could cause hot furnace gases to escape and injure Station personnel.

4. Scheduled Overhauls program

Q. Does SEIOP recommend any adjustments to the Scheduled Overhauls program?

A. Yes, SEIOP recommends adjusting this program to $5.88 million for RY1, $5.88 million for RY2 and $5.88 million for RY3.

Q. What is SEIOP's rationale for its recommendation?

A. SEIOP asserts the adjustments are due to a lack of justification provided by the Company for these increased expenditures. SEIOP states according to historical spending, the three-year average was $5.88 million and the highest spend was $9.512 million. The estimates for these overhauls are $3 million to $9 million. As such, SEIOP recommends that the budget match the average spend for the last three years.

Q. Do you agree with SEIOP recommendations?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. Further, using a three-year historic average rather than the historic test year ignores the most recent, actual expenditures that provide the most accurate representation of the Company's O&M needs moving forward. Moreover, Staff did not adjust its historical averages for inflation, wage increases, and other escalations. This is inconsistent with the Commission's longstanding Policy on Test Periods. For Staff to deviate from the test year for any program it must present a specific program-related justification. The cost for the Unit 6 overhaul is projected to be $11.1M in 2025. The three-year average proposed by SEIOP does not take into consideration current market conditions and increased vendor's costs. The funding for this program is in-line with the cost expended on the Unit 6 overhaul in 2024-2025. There is a significant risk involved with not performing overhauls as prescribed. This could lead to a catastrophic failure of the unit that in turn can cause long-term unplanned outages, reliability issues, and financial exposure.

5. Steel and Concrete

Q. Does SEIOP recommend any adjustments to the FM Steel and Concrete program?

A. Yes, SEIOP recommends adjusting this program to $500,000 for RY1, $0 for RY2 and $0 for RY3.

Q. What is SEIOP's justification for its recommendation?

A. SEIOP recommends the Company receive $500,000 for RY1 to address structural issues at the East River Generating Station. However, SEIOP claims the Company did not justify the need for repeated funding to address structural issues at the station. As such, the Panel recommends funding for RY1 only.

Q. Do you agree with SEIOP's recommendation?

A. No, we do not. Staff does not provide any analysis of this program and simply states "the Company did not justify the need for repeated funding to address structural issues at the station." The East River Generating station is over a Century-old facility and as per NYC Administrative Code 28-301.1, Con Edison is responsible for maintaining its properties in a safe and code complaint manner. The funding for this program is needed to perform inspections and

addressing issues identified. Both postponement and deferred of inspections and repairs present significant risks that could compromise the structural integrity, employee safety, and regulatory compliance of the East River Generating Station.

6. Gas Turbines

Q. Does SEIOP recommend any adjustments to the Gas Turbines program?

A. Yes, SEIOP recommends adjusting this program to $250,000 for RY1, $250,000 for RY2 and $250,000 for RY3.

Q. What is SEIOP justification for this recommendation?

A. SEIOP relies on five years of historical budgets and actual spending for O&M programs, which it says shows that the Company has underspent the Gas Turbines program every year, from 2020 through 2024. SEIOP states this consistent underspending raises concerns that Con Edison will not be able to achieve its budget target of $500,000 during the rate years. SEIOP states it considered setting a budget based on the historic average spending but acknowledges that the Company may need additional funding due to the

shift to increased operational hours and set the budget at $250,000 annually.

Q. Do you agree with SEIOP's recommendation?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. The underspend in this program was due to a need for the budgeted funding to be directed to higher priority projects. Staff's focus on historic underspend does not consider why underspending occurred. The funding for this program is needed to complete overdue Corrective Maintenance and Preventative Maintenance items along with the upcoming Corrective Maintenance and Preventative Maintenance items. The completion of the Corrective Maintenance and Preventative Maintenance tasks will prevent forced outages and reliability issues.

7. Local Law 11 East River Station

Q. Does SEIOP recommend any adjustments to the Local Law 11 East River Station program?

A. Yes, in their direct testimony SEIOP recommends a budget amount of $110,000 in each of RY1, RY2 and RY3. However,

SEIOP's exhibit, SEIOP-3 Schedule 1, shows an annual recommended budget of $589,000 for this program.

Q. Does SEIOP explain the reason it recommends $110,000 in its testimony and SEIOP-3 Schedule 1 shows $589,000?

A. No, it does not.

Q. What is SEIOP's justification for its recommendation?

A. SEIOP states it recommendation is based on the Company's historical underspending. Specifically, in 2021, the Company's budgeted amount was $2.4 million. However, SEIOP states the Company only spent roughly 58 percent of the budget amounting to $1.4 million. Therefore, SEIOP recommends funding levels at the actual Historic Test Year spending for this existing program.

Q. Do you agree with SEIOP's recommendation?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. Local Law 11 is based on a five-year cycle, using the test year for a program that is based on a five-year cycle of inspections is not reasonable, and Staff does not provide a justification. Also, as discussed in the white paper for this program, recent amendments to Local

Law 11 require more rigorous inspections, including hands-on inspections at least every 60 feet of the facade, increasing from previous cycles. If the Company is not able to perform repairs this can cause public safety risks and result in fines from the City of New York.

8. PCUP/High Energy Inspections

Q. Does SEIOP recommend any adjustments to the PCUP/High Energy Inspections program during the Rate Years?

A. Yes, SEIOP recommends a budget amount of $119,000 in each of RY1, RY2, and RY3.

Q. Does SEIOP provide a rationale for this recommendation?

A. SEIOP states the whitepaper does not reflect how the historical spend relates to the increase in requested funding. Therefore, SEIOP claims the Company did not justify the increase in incremental funding request.

Q. Do you agree with SEIOP’s rationale for this reduction?

A. No, we do not. As discussed in section I of our rebuttal testimony, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. The Company has revamped the Plant Component Upgrade Program and High Energy Inspection

program and has identified several inspections that must be completed to determine equipment health index The funding for this program is needed to complete numerous inspections. The Company will use the inspection results to take proactive actions. Staff's recommended funding for this program will lead to some inspections being deferred and this could lead to forced outages, safety issues, and reliability issues.

9. Plant Betterment

Q. Does SEIOP recommend any adjustments to the Plant Betterment program?

A. Yes, SEIOP recommends no funding for this project in RY1, RY2 and RY3.

Q. Does SEIOP provide a reason for this recommendation?

A. Yes, SEIOP points to Exhibit ___ (EIOP-13), page 68, and how the Company states that the basis of its estimate is derived from historical actuals from previous similar projects. SEIOP states the Company does not identify which specific projects are considered "similar" nor does it explain how the actual costs from those projects were used

to inform or support the current funding request for this program.

Q. Do you agree?

A. No, we do not. The East River Generating station is over a century-old facility and most of the facility requires betterment. The requested funds will be used for HVAC repairs, fence repairs, roll-up door repairs, door lock repairs, bathroom and conference room improvements, and other facility maintenance. Some previous station betterment projects completed, and actual costs incurred are as follows: South Steam Station 4th floor Female Bathroom Betterment ($72,000), East River 3rd Floor Bathroom Betterment ($62,000), East River 3rd Floor Conference Room Betterment ($15,263), and Mezzanine Conference Room Betterment ($94,115).If the facility are not maintained, this could lead to employees discomfort and station security issues.

10. Local Law 11 Hudson Ave

Q. Does SEIOP make any recommendations for the Company's Local Law 11 Hudson Ave program?

A. No, however, SEIOP-3 Schedule 1 shows a reduction of $0.390 million in each rate year for this program.

Q. Does SEIOP provide any justification for this reduction.

A. No, it does not.

Q. Do you agree with the reduction shown on SEIOP-3 Schedule 1?

A. No, we do not and SEIOP does not justify this reduction. If the Company is not able to perform repairs this can cause public safety risks and result in fines from the City of New York.

C. Electric Production Staffing Additions

1. Steam Operations Organization

Q. Does SEIOP recommend any adjustments to the Company's requested incremental FTEs for Steam Operations Organization?

A. Yes, the Panel recommends that the Commission fund one Field Designer and reject the four other incremental FTEs.

Q. Did SEIOP provide a justification for its recommendation?

A. Yes, SEIOP recommends that Con Edison use the current FTEs to assist and manage the electric production capital expenditure projects. SEIOP points out the Company is

requesting $26.6 million in RY1, $28.8 million in RY2, and $29.7 million in RY3 for electric production and that the Company has spent $28.4 million in 2022, $32.8 million in 2023, and $33.3 million in 2024. Based on its findings, SEIOP claims the Company did not justify the need for these new hires as the capital budget for the rate years is less than the historical spending in the past three years. SEIOP also points to the reductions to the Electric Production capital projects it recommends earlier in its testimony. SEIOP stats because the hiring of the incremental Field Designer FTE is provided for in a collective bargaining agreement with Local 1-2, and the Commission generally accepts collective bargaining outcomes, the Commission should allow this position in East River Tech Services.

Q. Do you agree with these recommendations?

A. No, we do not. As discussed in section I of our testimony above, use of historical spend without specific evaluation of program purpose and activities during past years is arbitrary. It is not reasonable for SEIOP to use the Electric Production capital requests as a prerequisite to fund the four FTEs. The four Operations Mechanic A FTEs will support both capital and operations and maintenance

activities. The requested FTEs will help the Company to meet 24X7 staffing requirements and bring East River Station up to its full complement of Operations Mechanic A FTEs. Also, the additional FTEs will help the Company to better deal with attrition, adhere to both training and operational requirements while reducing overtime labor-hours. Without the additional Operations Mechanic A FTEs the current Operations Mechanic A FTEs are required to work more overtime hours to meet the 24X7 operational and training requirements and this could lead to employee burnout and other potential safety issues.

IV. Special Topics and Other Issues

A. EIOP Special Topics

1. Electric Service Reliability Performance Mechanism

Q. Does Staff agree with the Company's proposal to use SAIFI in conjunction with CAIDI?

A. No, it does not. The Staff ERRPM Panel states it has several concerns regarding this proposal. First, the Staff ERRPM Panel states the Commission established distinct CAIDI and SAIFI targets in the RPMs of all the State's

investor-owned utilities, and none of these RPMs include a compound measure for CAIDI and SAIFI.

Q. Do you agree with the Staff ERRPM Panel first concern with the Company's proposal?

A. No, we do not. Staff's reasoning seems to suggest that Con Edison's RPMs should be the same as the RPMs of other investor-owned utilities (IOUs) in the state, and at the same time it is proposing very different RPMS for Con Edison. Con Edison has four reliability metric RPMS, where all other IOUs only have two. Con Edisons is also required to deliver much higher reliability than any other IOU. The Staff ERRPM Panel contradicts its own logic by proposing unique RPMs for Con Edison, and therefore its argument here is invalid.

Q. What is the Staff ERRPM Panel second concern with the Company's proposal?

A. The Staff ERRPM Panel's second concern is that in the October 12, 2004, Order Adopting Changes to Standards on Reliability of Electric Service in Case 02-E-1240, referred to as the Reliability Order, the Commission confirms its preference for distinct metrics by stating that the frequency of interruptions and the duration of

interruptions are two separate factors that must be measured separately. The Staff ERRPM Panel claims relying on the Company's proposed compound measure to assess non-network reliability performance may potentially mask poor CAIDI performance. That is, it asserts, an overperformance in SAIFI would result in an increased CAIDI target. The Staff ERRPM Panel claims this would provide an additional or unnecessary flexibility for the Company to underperform its CAIDI.

Q, Do you agree with this concern of the Staff ERRPM Panel?

A. No, we do not. As explained in the Company's initial testimony, CAIDI on its own does not provide insight into the overall customer experience. The compound measure proposed will not allow the Company unnecessary flexibility to underperform it's CAIDI. First, Con Edison consistently outperforms the rest of the state in reliability. So much so that in its own reporting DPS Staff intentionally reports on the reliability of the state without Con Edison's data, which when included, make the rest of the state appear to be more reliable than it is. The notion that the Company is underperforming in reliability ignores the years and years of data that show otherwise.

Q. What is the Staff ERRPM Panel's next concern regarding the Company's proposal?

A. The Staff ERRPM Panel states the Company has met its non-network threshold standards every year from 2020 to 2024, and there is no evidence showing that CAIDI performance is worsening because of storm events that do not meet the 24-hour mark for major storm exclusion. The Staff ERRPM Panel provides an example, that the 2024 CAIDI performance was 1.88, which is lower than both the threshold standard target of 2.04 and the past five-year average of 1.92.

Q. Do you agree with the Staff ERRPM Panel concern?

A. No, we do not. Introducing sectionalizing switches into an overhead circuit, as Con Edison has, reduces the number of customers affected by an outage. But repair length remains the same, hence increasing the CAIDI for that outage. So, the fact the Company's CAIDI was below threshold for 2023 and 2024 will not hold true as the Company continues to make improvements to its circuits.

Q. What does the Staff ERRPM Panel recommend based on its concerns?

A. The Staff ERRPM Panel claims two distinct and independent measures, one for CAIDI and another for SAIFI, are

necessary to best gauge the Company's reliability performance over the course of a year.

Q. Do you agree with the Staff ERRPM Panel recommendation?

A. No, we do not.

Q. Does the Staff ERRPM Panel recommend any other changes to the current Reliability Performance Mechanism?

A. Yes, Staff ERRPM Panel recommends the Commission increase the negative revenue adjustments associated with the system-wide threshold standard category. The Staff ERRPM Panel states there is a negative revenue adjustment of $5 million for each metric if the Company exceeds or does not meet its annual performance target. The Staff ERRPM Panel's proposal would increase the negative revenue adjustment from $5 million to $15 million for each metric.

Q. Did the Company propose any changes to the existing negative revenue adjustment of the system-wide threshold standard?

A. No. The Company proposed to maintain the existing SAIFI and CAIDI negative revenue adjustment for both its radial and network systems.

Q. Did the Staff ERRPM Panel provide a rationale for changing the existing CAIDI and SAIFI negative revenue adjustments?

A. The Staff ERRPM Panel recommends adjusting CAIDI and SAIFI negative revenue adjustments to reflect Con Edison's current rate base. Staff ERRPM Panel states when the $4 million and $5 million negative revenue adjustments for CAIDI and SAIFI metrics were established in the Commission Rate Order in Case 04-E-0572, a basis point was worth approximately $0.4 million after tax in 2005. The Staff ERRPM Panel states in 2025, an after-tax basis point equates to approximately $1.4 million, which is approximately three times that of 2005. The Staff ERRPM Panel states while the CAIDI negative revenue adjustments increased from $4 million to $5 million in the Rate Order in Case 07-E-0523, the Company's SAIFI negative revenue adjustments have remained unchanged since the Rate Order in Case 04-E-0572.

Q. Do you agree with the Staff ERRPM Panel rationale?

A. No, we do not. In its testimony the Staff ERRPM Panel states that Con Edison is statutorily required to provide safe and adequate service to its customers and therefore does not need further incentive to do so. The Staff ERRPM Panel cannot both hold that position and the position that negative revenue adjustments are necessary. The increase is

in the NRA is arbitrary. No effort is made to present any reasoning related in any way to Con Edison's actual or desired performance. Con Edison's SAIFI reliability is nine times better than NYS without Con Edison. In addition, Con Edison already has over $200 million of negative revenue adjustments as part of the Reliability Performance Metrics. To increase the reliability revenue adjustment to 30 basis points without reducing the current exposure is unfounded, especially since the Companie's SAIFI is best in class.

Q. Does the Staff ERRPM Panel provide any other reasons for their proposal?

A. The Staff ERRPM Panel states the Company's SAIFI and CAIDI negative revenue adjustments are among the lowest in the State in terms of basis point value. Specifically, the Staff ERRPM Panel indicates the total potential exposure of the four metrics is $20 million or about 10 basis points pre-tax. The Staff ERRPM Panel compares this to the Central Hudson Gas and Electric Corporation's potential SAIFI and CAIDI negative revenue adjustments which equates to approximately 30 basis points, pre-tax. The Staff ERRPM Panel reasons by increasing the potential negative revenue adjustments to $15 million for each metric, the total

exposure would be $60 million or approximately 30 basis points.

Q. Do you agree with this rationale for increase these negative revenue adjustments?

A. No, we do not. As previously mentioned, Con Edison SAIFI is nine times better than NYS average without Con Edison and Con Edison has a yearly exposure of over $200 million as part of the Reliability Performance Metrics. Con Edison's total exposure measured in either basis points or total dollars is far greater than that of any other IOU.

2. Over-duty Breaker Reliability Performance Mechanism

Q. Does the Staff ERRPM Panel have any concerns with the Company's proposal to discontinue the over-duty circuit breaker metric?

A. The Staff ERRPM Panel states it has several concerns. The Staff ERRPM Panel states the Company completed 1,341 breaker retrofits from 2005 through 2024 and as of April 15, 2025, a total of 357 over-duty breakers remain on the Company's system. The Staff ERRPM Panel asserts while the Company has completed a large number of retrofits, the

remaining over-duty breakers represent more than 20 percent of all breakers in the Company's system. The Staff ERRPM Panel claims this is still a significant number, and it believes that the over-duty circuit breaker program is necessary to ensure that Con Edison continues to upgrade these substandard breakers.

Q. Do you agree with this concern?

A. No, we do not. First, as stated in our response to DPS-24-584 and repeated in the Staff ERRPM Panel testimony, the Company has no intention to stop replacing over-duty breakers under this program. Con Edison only proposes that the RPM associated with this program be removed. Second, a simple count of the total number of over-duty breakers remaining on the system at a given point in time is a false indicator of potential issues resulting from these breakers. The number of over-duty breakers on the system can change depending on multiple system changes including shifts in power flow from changes to energy supplies, the location and size of large loads, etc., and the fault currents causing breakers to be over-duty can also be addressed by other system enhancements and projects designed to address other system performance issues.

Q. What is the Staff ERRPM Panel second concern with the Company's proposal?

A. The Staff ERRPM Panel second concern is regarding the potential barrier of over-duty breakers to DG interconnection. Based on the Company's response to DPS-24-584, the Staff ERRPM Panel states there are customers that are still using synchronous generators to connect to Con Edison's system and an over-duty breaker could be a barrier to connecting distributed generation customers.

Q. Do you agree with this Staff ERRPM Panel concern with the Company's proposal?

A. No. As detailed in the Company's response to DPS-24-584, not only have distributed generation ("DG") installations from synchronous GTs represented only approximately 2% of the total installations but most combustion-based technologies since the early 2000s have adopted inverter interfaces that enable variable speed operation and limit previous issues. The Company is also unaware of any applications for DG interconnection that have been denied due to potential issues with fault currents in recent years, indicating that the original incentive for

establishing the over-duty breaker RPM is no longer relevant.

Q. Does the Staff ERRPM Panel have any additional concerns with the Company's proposal?

A. The Staff ERRPM Panel opines that removing the over-duty circuit breaker metric could have a negative impact on the Medium and Low Voltage Circuit Breaker Reliability Program.

Q. Do you agree with the Staff ERRPM Panel's position on continuation of the metric?

A. To the contrary, we believe that it is possible that, instead of acting as a mechanism designed to encourage Company focus on work that was important to customers (as this metric was originally intended), this unneeded metric could, instead, incent prioritization of breaker replacement work over other important system priorities only to avoid penalties in the form of Negative Revenue Adjustments.

3. New Business Reconciliation

Q. Does SEIOP agree with the Company's reconciliation of Electric New Business costs proposal?

A. No. SEIOP claims with recovering overspending through the reconciliation proposal, there is less incentive for the Company to properly forecast its capital expenditures. Additionally, for the New Business capital costs, SEIOP asserts Con Edison does have some insight in the near-term regarding New Business costs through developer requests for service.

Q. Do you agree with SEIOP claims?

A. No, we do not. SEIOP's claims that reconciliation reduces the Company's incentive to forecast capital expenditures fails to recognize the unique nature of new business work, which is highly dependent on new business customer timelines. While SEIOP suggests Con Edison has adequate near-term insight into new business costs, the Company's visibility into incoming service requests is limited. The requests Con Edison does see indicate increasing demand, which supports the need for full funding, not reduced or delayed investment.

Q. Does SEIOP provide any additional reasoning for it rejecting the Company's reconciliation of electric New Business costs proposal?

A. Yes, SEIOP also notes that while some uncertainty may exist regarding the rate of electrification adoption, New York City Local Law 154, and New York State All-Electric Buildings Act set specific dates for when new buildings are prohibited from installing fossil fuel equipment and building systems. Based on this and the reasoning discussed earlier, SEIOP recommends that the New Business costs continue to be part of the general downward net plant reconciliation if actual electric net plant is below the target set in rates.

Q. Do you agree with SEIOP reasoning?

A. No, we do not. SEIOP's view underestimates the significant load growth we're experiencing due to electrification mandates and building trends. As new all-electric buildings come online, Con Edison is seeing 20–25% higher electric demand, largely driven by electric heating. According to EOP-5200 guidance, electrification adds approximately 25% to Con Edison's traditional load estimates, requiring additional infrastructure to maintain voltage and reliability. With forecasts projecting a 70% increase in system peak by 2050, full funding is critical to prepare

Con Edison's system for sustained growth and ensure reliability for our customers.

Q. Does any other Panel oppose the Company's proposal to recover these costs?

A. Yes, NYC Witness Chait states the Company has not demonstrated that it is not capable of estimating these costs.

Q. Do you agree?

A. No, like SEIOP, NYC Witness Chait fails to recognize the unique nature of new business work, which is highly dependent on new business customer timelines. Therefore, it is appropriate for the Company to have a means to recover these additional costs.

4. Wildfires

Q. Does Staff agree with the Company's proposal for the deferral of wildfire costs?

A. No. The Staff ERRPM Panel states there has been no incidents or losses related to wildfires in Con Edison's service territory. Further, it states the Company's analysis of potential cost impacts was limited to a few recent wildfire reports, in the service territory of Orange

and Rockland Utilities, Inc., ranging from $2,500 to $19 million.

Q. Does the Staff ERRPM Panel provide any additional reasons for rejecting this proposal?

A. The Staff ERRPM Panel asserts the Company may petition the Commission for deferral accounting authority in the event of a wildfire.

Q. Do you agree with this recommendation?

A. No. Due to the rural vegetation makeup of parts of the Company’s service territory, wildfires are indeed possible. The risk is increasing as can be observed by the amount and locations of fires in recent years, as discussed in the Company's direct testimony. The proposed deferral is one step in being prepared for this growing risk, and it is better to address a known risk in advance, rather than while or after it has been realized.

Q. And to the other reasons given in the Staff ERRPM Panel’s testimony, does the Company agree that there should not be a deferral because the risk of wildfire is low and the Company does not have an analysis of the Company's system to determine cost impacts?

A. No, the Company does not agree. The Company reviewed impacts to O&R during a wildfire as stated in the Company's direct testimony. These impacts showed that the potential costs could vary over a significant range. This analysis was enough to conclude that the potential cost of a wildfire in the Con Edison territory could be significant. The fact that the risk is low, only further supports the need for a deferral mechanism. If a wildfire were to cause damage to the Company's system, the Company is obligated to repair that damage to ensure safe and reliable service. Without a deferral mechanism, the Company would then need to include in its request adequate funds to address such an event. The use of a deferral mechanism would only require funding if such an event were to occur, and at the level of funding equal to the actual costs. For a low risk, but potentially costly event, a deferral mechanism is best for all as the rate payer will not have to pay for an event that does not occur, and such an event would not impact other reliability work, beyond the restoration effort, if such an event does occur.

Q. Do any other parties discuss the Company’s proposal for the deferral of wildfire costs?

A. Yes, UIU opposes the wildfire deferral mechanism. UIU indicates it believes if the cost related to wildfires are greater than forecasts, the Company should seek recovery with the Commission.

Q. Are any wildfire costs included in the Company's rates in the rate years?

A. No.

Q. Do you agree with UIU?

A. No, for the same reasons we just discussed, the Company believes a deferral is the best way to address these costs.

5. New SF6 Emissions Regulations

Q. Does Staff make any recommendation related to the Company's proposal to address the new Department of Environmental Conservation's (DEC) regulation concerning SF6 equipment and emission limitations?

A. Yes, based on the phase-out dates for equipment containing SF6 beginning in 2027, and the uncertainty whether Con Edison will experience a cost impact in 2026 due to the DEC rule, SEIOP recommends delaying the request for the deferral out of the Rate Year.

Q. Does SEIOP explain their assessments of this proposal?

A. Yes, SEIOP starts by pointing to the Company's response to DPS-38-844 where the Company provides the phase out date of equipment, ranging from January 1, 2027 to January 1, 2033. Then SEIOP points to the Company response to DPS-38-860 that indicated Con Edison is still evaluating the compliance costs and timeline to comply, and that its preliminary review indicates that it may need to start incurring costs in RY1 to meet requirements in subsequent years.

Q. Does the Panel have any additional concerns with the proposed SF6 deferral?

A. Yes. SEIOP claims the response to DPS-38-844 does not explain why the two substations were selected, how the Company selected the number of breakers and associated bus sections per substation, or why 25 non-GIS breaker replacements are required to comply with the DEC rule on equipment containing SF6. However, in that response the Company included an attachment, DPS_38_844_Attachment 3. The attachment was a workpaper supporting how the Company derived a preliminary estimate of $700 million for compliance with the DEC rule.

Q. Do you agree with SEIOP's additional concerns?

A. No, we do not. First, we need to emphasize that the new DEC regulation was adopted at the end of 2024, which did not provide time for the Company to even begin to adequately evaluate the specific requirements and impacts of this regulatory change in order to prepare proper workplans and estimates to include in our testimony in this proceeding, filed on January 31, 2025. Recognizing this time limitation and the likely need for funding to prepare for and meet the deadlines included in the revised regulation, the Company proposed the use of deferral mechanism for recovery of costs related to the regulation change as a way to avoid significant un-funded costs during the rate period that could result in disruptive reallocations of resources, similar to the situation experienced in recent years as a result of unanticipated (and, therefore, unfunded) New Business costs.

SEIOP's primary reason for recommending that the deferral be pushed out is "uncertainty whether Con Edison will experience a cost impact in 2026." This stems from the fact that Con Edison did not have the time to identify the potential scope of the system changes needed to comply with the new regulation or to create a more accurate rough

estimate of the potential cost to implement those changes and is, in and of itself, evidence of the need for deferral. It is imperative that the Company conduct a rigorous evaluation of the new DEC requirements, impacts, and implementation costs immediately and that the Company begin planning for and executing any critical path implementation actions. These immediate evaluation and planning needs will require funding in RY1 but the Company has not yet estimated these initial costs.

SEIOP's reliance on uncertainty as to a cost impact in 2026 to justify delaying the requested deferral mechanism disregards the risk that would approach would represent. Instead, SEIOP should be encouraging the Company to evaluate this situation as quickly as prudently possible so that compliance plans will be known and transparent.

As for SEIOP's concerns about the $700 million preliminary estimate for compliance with the DEC rule, as shown in DPS-38-844-Attachment 3, that estimate was obviously a very high-level, directional estimate to demonstrate the cost risk was significant. SEIOP notes that the Company used two substations, West 49th Street and Dunwoodie, in this initial, high-level preliminary estimate and notes that

"the response to DPS-38-844 does not explain why these two substations were selected, how the Company selected the number of breakers and associated bus sections per substation, or why 25 non-GIS breaker replacements are required to comply with the DEC rule on equipment containing SF6." In fact, the rationale for the selection of these stations and the bases for the specific equipment included are explained in the white paper for the Gas Insulated Substation Replacement Program included in Exhibit___(EIOP-8) and in the details of the Company's response to DPS-38-844, which sought details of the proposed work and cost under that program. This information was the best available relevant information since that program is designed to help the Company meet the first requirement of the new DEC SF6 rule, the requirement for a 1% reduction in SF6 emissions by 2030.

6. NYC Revocable Consent Fees Deferral

Q. Does Staff support the Company's proposed NYC Revocable Consent Fees Deferral?

A. No, the Staff Accounting Panel states it is testifying to a one-year rate plan and deferrals are not generally employed in a single-year rate plan.

Q. Do you agree?

A. No, we do not. As the Company explained in its direct testimony, the Company cannot reasonably predict the cost impact, therefore, a deferral is the most reasonable means to address these new fees. Even within a one-year rate plan, the uncertainty justifies a reconciliation

Q. Does any other party discuss the Company's proposal for NYC Revocable Consent Fees Deferral?

A. Yes, NYC Witness Chait opposes the deferral. NYC Witness Chait claims the Company did not provide enough information about these costs to establish whether a deferral mechanism is warranted.

Q. Do you agree?

A. No. Because these fees are new it is difficult for the Company to estimate the full costs. Therefore, a deferral is the most appropriate mechanism to address these new fees.

B. Other Staff and Panel Issues

1. Over-inflated Load Forecasts - NYC EIP and UIU

Q. Do any parties express broad concerns over the Company's load growth forecasts and the resulting capital plans? If so, what are its concerns?

A. Yes, both NYC EIP and UIU express general concerns over the load growth forecasts and other general economic assumptions supporting the Company's investment plans.

Q. Please elaborate on the concerns raised by NYC EIP.

A. NYC EIP states that "Con Edison's analyses are based on a future scenario that do not fully reflect the current state of the energy sector, load growth, and economic conditions relevant in the near term." NYC EIP also states that, "the Company's timing for implementation of capital and staffing projects may be too accelerated."

Q. Do you agree with NYC EIP's concerns?

A. No, we do not. NYC EIP does not provide specific data analyses and justifications supporting each of these general statements and what specific assumptions the Company has made that lead to "too accelerated" timing for specific capital investments. The Company provided detailed

support for each of the capital investments included in the rate case in testimony, exhibits, and responses to interrogatories and cannot, therefore, agree with these general, unsupported observations and concerns.

Q. What are UIU's concerns about the forecasting assumptions supporting the Company's investment plans?

A. UIU states that the Company's capital plans are "unsupported by reasonable evidence" and "unnecessarily accelerate the required spending…" and continue to state that "the Company's load growth forecast is almost certainly overstated" due to unreasonable assumptions.

Q. Does the Company agree with UIU's conclusion?

A. No. While UIU did support its conclusion with analysis of information provided by the Company in response to its interrogatories, its analysis was flawed and misinterpreted the data we provided.

Q. Please elaborate.

A. First, UIU's analysis in UIU Exhibit_(DMM-9) and its use of that analysis to support the conclusion that the Company forecasts "represent single year growth rates that nearly outpace the last five years of growth and a rate that is almost triple the historical average growth rate"

misinterprets the data provided in response to UIU-6-52 and then misapplies the flawed conclusions of that analysis to support its conclusion in the following ways:

- UIU conflates the data provided in response to the UIU-6-52 request with the system summer peak by adding the independent peaks in each year for the 45 networks and radials included in the table and uses those annual totals as the "Company's summer peak system demand" to draw its conclusions. The 45 networks and radials and peaks included in that response, however, only represent a portion of the 95 networks and load on the Con Edison system.
- In addition to only including a portion of Con Edison's electric load in its analysis, UIU fails to recognize that the independent network peaks included in the table are non-coincident – i.e., they occur at different times on each network – and their sum would not be equivalent to the system summer peak referred to in EIOP's load forecast testimony, even if all networks and radials were included.

- Finally, UIU then calculates "an average annual growth rate of approximately 0.43 percent" - using the incomplete data and calculation of a simple average annual increase from 2020 to 2024 – and compares its annual historical increase percentage to the Compound Annual Growth Rates ("CAGRs") of the Company's electric system summer peak demand forecast included in testimony for future 5-yr, 10-yr, and 20-yr periods (1.0%, 1.2%, and 1.3% respectively) to support UIU's claim that the Company forecasts "represent single year growth rates that nearly outpace the last five years of growth and a rate that is almost triple the historical average growth rate." UIU's "average annual growth rate," however, is not the same thing as a CAGR and the two should not be compared. Over multi-year periods, CAGRs are more appropriate for measuring multi-year growth rates.

Q. Are there other UIU conclusions that you do not agree with?

A. Yes. We do not agree with UIU's statement that "the Company has a long history of over forecasting its load."

Q. Why do you not agree with this conclusion?

A. UIU relies on its analysis in its Exhibit_(DMM-10). This analysis, however, contains most of the same flaws and misinterpretations of the data provided that UIS's analysis in Exhibit___(DMM-9) contains. Specifically, the analysis in Exhibit___(EIOP-10) contains two of the three errors contained in Exhibit___(EIOP-9):

- UIU conflates the data provided in response to the UIU-6-52 request with the system summer peak by adding the independent peaks in each year for the 45 networks and radials included in the table and uses those annual totals as the "Company's summer peak system demand" to draw its conclusions. The 45 networks and radials and peaks included in that response, however, only represent a portion of the 95 networks and load on the Con Edison system.
- In addition to only including a portion of Con Edison's electric load in its analysis, UIU fails to recognize that the independent network peaks included in the table are non-coincident – i.e., they occur at different times on each network – and their sum would not be equivalent to the system summer peak referred

to in EIOP's load forecast testimony, even if all networks and radials were included.

UIU uses these incorrectly calculated "system peaks" to calculate the variances between the Company's forecasted "system peak" and the actual "system peak" for each year from 2019 through 2024. UIU then points to the variances based on the incorrect "peaks" to support its conclusions regarding its perceived inaccuracy of the Company load forecasts saying "the Company over forecasts its load growth by 2.1 percent on average", a percentage calculated on invalid numbers. UIU, however, also does not provide any support for its conclusion that the average margin of error that it calculated is an unacceptable result for a forward-looking, twenty-year forecast for such a large, complex systems over a time period with unprecedented societal disruptions such as COVID.

Q. Does UIU draw any other conclusions about the Company's load forecast?

A. Yes. UIU comments that a "risk-based approach" is not in the public interest.

Q. Does the Company agree with these conclusions?

A. No. The probabilistic risk assessment process is an enhancement to the Company's integrated planning processes. Traditionally, planning was executed to alleviate load growth exceeding a substation's design capabilities. Supplementing the traditional planning processes with risk adjusted planning accounts for the reliability risk on the transmission and substation level considering factors such as system topology and various loading scenarios. This risk-based methodology enables the Company to maintain system reliability, given the uncertainties related to the clean energy transition and climate change.

Q. What else does UIU get wrong in relation to the Company's load forecast?

A. More important to note than UIU's flawed analyses and conclusions about the Company's load forecasts, UIU fails to recognize that, although load forecast is a fundamental part of Con Edison's capital planning processes, it is only half of the overall equation. As all electric industry professionals understand, electric supply must equal electric demand, and the Company's forecasted customer loads are only the "demand" portion of this equation. The other, equally important focus of Con Edison's

infrastructure planning processes focus on the "supply" portion, but UIU's discussion does not include any mention of the existing delivery system constraints identified in the Company's testimony and exhibits.

2. Reactive versus Proactive Reliability Programs – NYC EIP

Q. Does NYC EIP address reliability programs that this panel described in its initial testimony?

A. Yes, NYC EIP discusses what it refers to as "Broad Reliability Programs" and specifically point to the Company's Non-Network Reliability program, the Primary Feeder Reliability program and the Underground Secondary Reliability program.

Q. Please describe NYC EIP's general recommendations in more detail.

A. Broadly, NYC EIP states the Company's supporting project exhibits often lack the specific, granular detail to assess the prudence and targeted effectiveness of this nearly $550 million spending.

Q. Do you agree?

A. No, we do not. The Company has provided detailed descriptions and justifications to support its programs within its testimony, white papers and subsequent interrogatory responses. The program scopes and plans are correctly calibrated to balance prudence and effectiveness. As an example, in its Primary Feeder Reliability white paper the Company provides a breakdown of the various types of projects and estimated number of jobs for each type for each rate year. More detail behind this plan was provided in the Company's response to IR DPS-19-514.

The proactive programs and the reactive programs serve distinct purposes and are applied to different system types. Primary Cable Replacement and Secondary Open Mains are reactive programs that respond to cable and component failures within the underground network system. In contrast, Non-Network Reliability funding targets proactive upgrades to the non-network system, which is predominantly overhead.

Q. Does NYC EIP have any recommendations for specific reliability programs?

A. NYC EIP is concerned that work is duplicated in both the Non-Network Resiliency Program and the Non-Network

Reliability Program, which it asserts appear. Additionally, NYC EIP states the Non-Network Resiliency program uses a formula in tables referring to 2023 values as a baseline. When reviewing this table, NYC EIP claims it appears that based on the 2023 values, the outlined figures for 2026 are off by about $3 million. NYC EIP states Con Edison should review these calculations. NYC EIP recommends the Commission direct Con Edison to provide for each program:

- A detailed breakdown (RY1-RY3) of specific capital projects/equipment interventions and budget allocation per type.
- Explicit quantitative criteria for selecting assets under this program, ensuring no duplication with Exhibit___(EIOP-9) reactive programs.
- Specific, measurable, and targeted annual improvement forecast as a direct result of the proposed funding for these individual programs.

Q. Do you agree with these recommendations of NYC EIP?

A. No, we do not. The Company's programs are grounded on industry-standard approaches that are widely used to address system vulnerabilities and enhance reliability.

These are not experimental approaches, but rather carefully selected measures with known benefits. The unique characteristics of the Company's electric system, a high-density urban area, network infrastructure and confined operating environments, require tailored reliability strategies. The reliability improvements from many programs are cumulative, rather than attributable to a single line item of funding. Additionally, the Company evaluates new technologies and methods through pilot programs prior to broader deployment.

The Company has provided detailed descriptions for reliability improvement targets and forecasts within its testimony, white papers and subsequent interrogatory responses. The difference between Non-Network Reliability and Non-Network Resiliency was explained in response to DPS-12-373. See also the rebuttal response to the Staff ERRPM Panel for Non-Network Resiliency.

Regarding the basis for estimate for Non-Network Resiliency, the Company stands by the calculations provided in the white paper on Exhibit___(EIOP-10, p. 29), noting that the three percent annual inflation is calculated accurately. The Company rejects providing specific capital

projects/equipment interventions and budget allocation per type and the explicit quantitative criteria for selecting assets under this program. While Con Edison agrees that transparency and accountability are important, the Company does not believe that requiring specific, measurable annual improvement forecasts directly tied to each individual program is a practical or accurate approach.

3. General Changes – NYC EIP

Q. Does NYC EIP make any general recommendations for the projects and program under this panel?

A. NYC EIP makes several general recommendations. These broadly cover how the Company approaches and develops scopes, schedules, and budgets for projects and programs. NYC EIP asserts by addressing these points, Con Edison can refine its rate filing to ensure that investments are both prudent and timely, aligning expenditures with the most current market realities and implementing a clear, cost-effective strategy for maintaining and enhancing system reliability and resilience for the ratepayers of New York City.

Q. At a high level, does Con Edison agree with NYC EIP's general recommendations?

A. No. Similar to the Company's response to some of Staff's general recommendations discussed earlier in our testimony, Con Edison has provided detailed information on why a project/program is needed and why specific in-service dates are required within its initial testimony and white papers. Further, Con Edison does not agree that the rate filing should be adjusted to focus on maintaining and enhancing system reliability and resilience for the ratepayers of New York City as NYC EIP suggests. Rather, the Company has created a rate filing designed to serve the needs of all Con Edison customers, not just those within New York City.

Q. Please describe NYC EIP's general recommendations in more detail.

A. First, NYC EIP recommends Con Edison re-evaluate the timing and necessity of capital projects and associated staffing linked to potentially delayed prerequisites, such as large-scale offshore wind development and overly optimistic near-term electrification adoption rates.

Q. Do you agree with this recommendation?

A. No, we do not. First, no projects within the Company's EIOP have either offshore wind or electrification as a sole prerequisite, with the exception of some of the Proactive Planning projects. Further, NYC EIP only points to uncertainty in offshore wind development and references one report, not fully cited or provided in an exhibit, as a reason to delay projects that may facilitate offshore wind interconnection and does not provide any analysis or recommendation as to what amount of offshore wind should be anticipated and when or how that should impact the Company's plans. Similarly, NYC EIP does not provide any analysis or evidence to support its assertion that the Company is relying on overly optimistic near-term electrification adoption rates.

Q. Please describe NYC EIP's next recommendation.

A. NYC EIP recommends the Company provide more detailed justifications for significant budget increases in ongoing programs compared to historical spending, particularly for unit cost escalations and large step-changes in annual funding. This includes programs like Auxiliary Station Equipment Replacement, Bushing Replacement, New Business Capital, and various transformer and cable programs.

Q. Do you agree with this recommendation?

A. No, we do not. In general, the Company has provided detailed justification to support its basis for estimate of program costs within its white papers and subsequent interrogatory responses, and funding requests are correctly calibrated for the future work discussed in its initial testimony. Regarding some of the specific examples NYC EIP cites, in addition to the associated white papers the Company provided significant detail on the Auxiliary Station Equipment Replacement program in its response to IR DPS-33-768, on the Bushing Replacement program in its response to DPS-33-766, and on New Business Capital in its response to DPS-22-563.

Q. Please describe NYC EIP's next recommendation.

A. NYC EIP recommends the Company adopt a more phased or flexible approach for large new infrastructure projects where demand is uncertain, considering alternatives that allow for scaling up as needs become more concrete (e.g., Brooklyn Clean Energy Hub, Idlewild Substation).

Q. Do you agree with this recommendation?

A. No, we do not. First NYC EIP does not provide any further detail on what a more phased or flexible approach could

entail. Also, the Company develops timelines based on required in service dates, working back to ensure the allotted time required for activities such as equipment and construction. Alternatives are also examined when determining the best solution and approach. Phasing and flexibility are inherently built into a project's timeline and approach to the extent possible, and it is not clear from NYC EIP's testimony how the City proposes that should be enhanced further.

Q. Please describe NYC EIP's next recommendation.

A. NYC EIP recommends the Company ensure that budgeting for multi-year programs reflects a realistic projection of annual work and expenditure rather than simply dividing total costs equally over the period, as seen in programs like Fire Suppression Systems Upgrades, High Voltage Circuit Breaker Upgrades, and the Failed Substation Transformer Program.

Q. Do you agree with this recommendation?

A. No, we do not. In some cases, it is impossible to precisely identify the timing of aspects of programs, especially in later years. Myriad factors, including outage schedules, changing conditions on the grid, opportunities to bundle

work in specific locations, etc., can all impact schedule of a program. In these cases, the Company will create a budget that considers the work planned, even if there may be adjustments to the exact timing. In other cases, the Company simply plans the same volume of work each year for a program and the funding from year to year may be the same or very similar.

Q. Please describe NYC EIP's next recommendation.

A. NYC EIP recommends the Company provide clearer, quantitative justifications for how programmatic spending directly translates into specific, measurable reliability improvements, especially for broad reliability programs.

Q. Do you agree with this recommendation?

A. No, we do not. First, in any electric system where there is significant programmatic work as well as large infrastructure projects, it is difficult to isolate impacts to reliability from any specific program actions and is exponentially more difficult on the underground network system that makes up a significant portion of the Company's service territory. Also, programs may not always result in reliability improvements. Rather, programs may be needed to

maintain current reliability, and a reduction of that work could result in decreased reliability.

Q. Please describe NYC EIP's next recommendation.

A. NYC EIP recommends the Company re-assess project schedules that appear overly aggressive and may benefit from extended timelines for better design and adaptation to market conditions, such as the E. 179th St. Feeder Establishment.

Q. Do you agree with this recommendation?

A. No, we do not. First, NYC EIP provides no analysis, evidence, or even further elaboration to support its claim that any Company project schedules are overly aggressive. Also, as discussed in response to NYC EIP's recommendation to incorporate increased phasing and flexibility in projects, the Company develops timelines based on required in service dates, and deferring those dates would likely directly impact reliability.

Q. Please describe NYC EIP's next recommendation.

A. NYC EIP recommends the Company justify the selection of more expensive replacement options (e.g., 750 kVA vs. 500 kVA transformers) based on specific, localized load forecasts rather than broad uprating policies.

Q. Do you agree with this recommendation?

A. No, we do not. Con Edison is not pursing a broad uprating policy but rather, as described in the Transformer Purchase program white paper, the Company's engineering group is taking an approach that includes reviewing loading and evaluating if an upgraded unit can be used to support future growth through design criteria rather than just replacing failed, defective, or condemned transformers with a like in kind unit. The criteria used to make these decisions was provided in the Company's response to IR NYC-22-362.

Q. Please describe NYC EIP's next recommendation.

A. NYC EIP recommends for programs addressing backlogs (e.g., Secondary Open Mains), the Company present a strategy and funding request that aims to control or reduce the total backlog, supported by comprehensive data and risk assessment.

Q. Do you agree with this recommendation?

A. No, we do not. The Company has supplied data and analysis to support its plans, including addressing backlogs, within its white papers and subsequent interrogatory responses.

Q. Please describe NYC EIP's next recommendation.

A. NYC EIP recommends the Company review and correct any calculation discrepancies, such as the one identified in the Non-Network Resiliency Program.

Q. Do you agree with this recommendation?

A. In general, yes, the Company agrees it will provide updated calculations for discrepancies it identifies. However, Con Edison does not agree that there is a calculation discrepancy related to the Non-Network Resiliency Program as NYC EIP asserts, and the Company discusses this earlier within this panel’s testimony.

Q. Please describe NYC EIP’s next recommendation.

A. NYC EIP recommends the Company provide further study or evidence to support the effectiveness of proposed solutions where concerns have been raised, such as for the Selective Undergrounding program's impact on overall outage duration.

Q. Do you agree with this recommendation?

A. No, we do not. The Company has supplied data and analysis to support its plans for projects and programs, including the anticipated effectiveness, within its white papers and subsequent interrogatory responses. Further, NYC EIP does not clearly identify what constitutes a “concern,” and NYC EIOP doesn’t even mention Selective Undergrounding anywhere

else within its testimony. However, this testimony does address any concerns related to Con Edison EIOP investments and positions identified by NYC EIP and other parties as part of its initial testimony.

4. Streetlight Timeline Commitments and DOT Notification Commitments – NYC Witness Tunnah

Q. Does NYC Witness Tunnah make any general recommendations for the projects and program under this panel?

A. Yes. NYC Witness Tunnah wants the Commission to require Con Edison to develop and implement a formal plan or procedure for the expeditious restoration of electric service to streetlights and traffic signals throughout New York City.

Q. Do you with this recommendation?

A. No. This process already exists. As NYC Witness Tunnah explained, the Company has a Reliability Performance Mechanism that requires the Company to repair 90 percent of streetlights in 90 days during summer months and 80 percent of streetlights in 45 days during summer months. As NYC Witness explains, Con Edison is meeting those targets. In addition, for over 20 years, Con Edison has a dedicated streetlight group within its Distribution Engineering

organization that has weekly meetings with the City DOT where the parties can discuss any issues related to NYC's streetlights, including scheduling and jobs that are high priority for the City.

Q. Is NYC Witness Tunnah is recommending modifying the current streetlight repair timelines?

A. Yes. NYC Witness Tunnah is recommending that the Commission order Con Edison to implement a procedure to effect repairs of all streetlights within a reasonable amount of time after being notified by DOT of the need for its assistance.

Q. Does NYC Witness Tunnah define as "reasonable amount of time"?

A. No, she does not. She does, however, suggest a few weeks for well-lit areas, one or two days in some instances, and a few hours in Manhattan. She then goes on to recommend that the Company's RPM be revised with a time frame of only seven days.

Q. Do you agree these proposed time frames?

A. No, we do not. Outages at NYC streetlights are not always related to Con Edison's service equipment. The DOT's equipment can fail, vehicle accidents can damage DOT facilities, and contractors working in the right-of-way can

damage Con Edison and DOT equipment. Con Edison has become aware of damaged streetlight services caused by 5G vendors working near Con Edison equipment without proper authorization. The type of damage is directly related to the amount of time needed for the repair. In addition, streetlight repairs often require underground work, which involves coordinating with multiple city agencies, obtaining permits, scheduling field crews, and ensuring safe traffic management. In dense areas like Manhattan, repairs often involve traffic control needs. Third-party contractor damage cases can often involve a root cause investigation so that Con Edison workers can plan and execute restoration safely.

Q. What does Witness Tunnah state regarding the existing metric for repairing streetlights?

A. NYC Witness Tunnah states the current 45- and 90-day repair times are too long.

Q. What timeframes does NYC Witness Tunnah recommend?

A. NYC Witness Tunnah recommends the metric be revised to require Con Edison to respond within seven days of being notified of the need for it to effectuate a repair or cable.

Q. Do you agree with the recommendation to require the Company to repair streetlights within seven days of NYC DOT notification?

A. No, we do not. The current RPM is a reasonable metric for the majority of NYC streetlights. The 90 percent performance threshold allows for circumstances beyond the Company's control such as NYC permitting, street obstructions, traffic conditions, and underground construction requirements for these services. The differences in a 45 day performance period for summer and a 90 day performance for winter is also reasonable, especially due to the City's embargo period in the early part of the winter season and the challenges with performing work during snow events the associated parking rules.

Q. What about the streetlight jobs that NYC Witness Tunnah describes as requiring more rapid restoration?

A. As we mentioned, the Company has a dedicated streetlight group that meets weekly with the DOT. Additionally, the DOT works with Energy Services frequently and can request prioritization outside of this weekly window.

Q. Does NYC Witness Tunnah recommend any exceptions?

A. NYC Witness Tunnah states an exception for severe weather could be considered.

Q. Does NYC Witness Tunnah address that repairs could take longer than seven days?

A. Yes, NYC Witness Tunnah recommends the Company install a temporary shunt or other form of temporary service.

Q. Do you agree?

A. No, we do not. To address shared public safety concerns, a temporary process was established to restore power to streetlights where NYCDOT replaced foundations and inadvertently damaged Con Edison's service, leaving lights unpowered and potentially creating contact voltage risks. We do not believe this should be a mandated solution.

Q. Does NYC Witness Tunnah provide an estimate of the costs to repair streetlights in the significantly reduced time frame she proposed?

A. No, she does not.

Q. Does NYC Witness Tunnah recommend additional funding to allow the Company to implement these changes?

A. No, she does not.

Q. Does NYC Witness Tunnah have any other concerns with streetlight repair?

A. NYC Witness Tunnah describes a recent DOT initiative where the DOT is replacing streetlight bases that have become corroded. In some instances, the work performed by DOT creates situations where the Con Edison service cables are no longer adequate in length meet the DOT service cable (customer equipment) inside the streetlight base. NYC Witness Tunnah claims that the Company's responsiveness has been inconsistent, resulting in DOT's inability to complete the projects and restore the streetlights or traffic signals on a timely basis.

Q. What does NYC Witness Tunnah recommend to address her concerns?

A. NYC Witness Tunnah suggests that the DOT notify Con Edison in advance of corroded streetlight base program work. Con Edison would be required to have a representative on location to determine if the Company needs to do any work to facilitate the completion of the work and have two weeks to complete the work.

Q. Do you agree?

A. No, we do not. Regarding the Corroded Base Program ("planned work"), the NYCDOT notified Con Edison in the fourth quarter of 2024 of its intent to initiate a three-

year program. In response, Con Edison's Streetlight Group and Energy Services collaborated with the NYCDOT to address concerns about streetlights that may require new cables. To shorten the duration of the replacement, Con Edison worked with the DOT to both minimize the duration of the design phase and modify the front-end portal to accommodate planned work, which differs from the typical workflow.

Q. Does NYC Witness Tunnah provide an estimate of costs of this new process?

A. No.

Q. Does NYC Witness Tunnah recommend additional funding to allow the Company to implement these changes?

A. No.

Q. What else does NYC Witness Tunnah recommend related to streetlight repairs?

A. NYC Witness Tunnah discusses a Con Edison dedicated streetlight group, which she states was disbanded, and then later re-formed. NYC Witness Tunnah recommends the Commission direct Con Edison to restore the streetlight group.

Q. Do you agree?

A. No. NYC Witness Tunnah is mistaken about Con Edison's dedicated streetlight group. The Company recognizes the importance of properly functioning streetlights to public safety and is committed to maintaining this essential infrastructure. To support this commitment, as we've discussed, Con Edison has maintained a dedicated Streetlight Operations group for approximately 20 years.

Q. Does NYC Witness Tunnah have any additional concerns related to streetlights?

A. NYC Witness Tunnah describes the Streetlight Registry and indicates over time the Registry's accuracy has diminished. She also explains the Registry was created before Geolocation systems existed and now needs to be replaced.

Q. What does NYC Witness Tunnah recommend to address these issues?

A. NYC Witness Tunnah states the Registry needs to be replaced and suggests that the Commission authorize the funding and direct Con Edison to support this project.

Q. Do you agree?

A. The Streetlight Registry was created for billing purposes, which is why, as NYC Witness Tunnah explains, the Registry contains unique pole identifiers, the number of bulbs, and

wattage information. Con Edison currently tracks NYC streetlights through its mapping systems, which also contain other Company street equipment used to serve streetlights and other customers. The Company has not proposed an upgrade to the Streetlight Registry billing system in this rate case filing but is open to further discussions with DOT about how to improve location tracking for streetlight work.

5. Transformer Purchase and Replacement Programs "Combined Strategy" and Cost-Effectiveness – NYC EIP

Q. Does NYC EIP make any recommendations associated with the Company's various programs related to transformer purchases and replacement?

A. Yes. NYC EIP provides a list of concerns and associated recommendations for additional analysis, explanations, and documentation related to procurement lead times, risk of obsolescence and technology mismatch, cost increases, and uprating.

Q. Do you agree with NYC EIP's recommendations.

A. No, we do not. The Company has already provided detailed explanations of approaches, plans, risks and mitigation, alternatives, and cost justifications through its white papers and interrogatory responses that address NYC EIP's concerns. Con Edison further addresses some of these concerns in the rebuttal responses to SEIOP for the Company's various programs related to transformer purchases and replacement.

6. Electrification Support – MOA-Levenberg

Q. Does MOA Levenberg make any comments on the Company's efforts to meet New York's CLCPA Scoping Plan and resulting demand for electrification?

A. Yes. MOA Levenberg states that the Company is not meeting the demand for electrification, citing requests for electric and gas service upgrades that the Company received in 2024 that were not completed. MOA Levenberg states that the completion rate for these projects demonstrates that the Company is not meeting the goals of the CLCPA. MOA Levenberg requests that the Company assign customer service personnel for electrification requests and monitor completion rates.

Q. Does the Company agree with MOA Levenberg's position that these numbers demonstrate that the Company is not meeting the demand for electrification?

A. No. The number of service requests in one year compared to the number completed in that same year is not an accurate metric of the Company's ability to meet the demand for electrification. Many service requests are cancelled or put on hold if a customer's plans change. A service request can be deemed adequate and therefore no upgrade is needed. Lastly, service requests can require upgrades that take time to design and construct, leaving the real possibility that requests submitted throughout the year are in progress and will be completed in the following year. In particular, this is true for service requests submitted later in the year. The Company also notes our call center is prepared to handle a variety of issues and the Company also has resources for customers on its website. The Company does track completion rates for projects and refers to reporting for the Transportation Interconnection EAM for more detail.

Q. Does MOA Levenberg make any comments on the Company's support for school bus electrification?

A. Yes. MOA Levenberg states that the Company does not track requests from municipal or government agencies, and that three customers had asked her office for assistance with charging infrastructure projects. The testimony requests that the Company dedicate a "czar" for school buses, create a website, and track service upgrades for these projects.

Q. What has the Company done to support school bus electrification?

A. The Company has been focused on supporting school bus electrification for the last few years. Con Edison has a dedicated team that works with school districts, school bus operators, and other stakeholders. The Company's school bus team tracks every school bus project closely and holds regular meetings with stakeholders on their projects. The Company has collaborated closely with the EPA and NYSERDA to optimize federal and state funding for our territory. The Company has completed 43 site assessments for school bus customers and provides one-on-one assistance and incentives for school bus projects. Con Edison's website has clear and frequently updated information and resources for school buses and other fleets seeking to electrify. In addition, the Company developed a working group with school

bus stakeholders to focus on school buses to support coordination and resource charging. The Company's school bus team also presents to a wide variety of audiences on available resources.

7. Service Request Timeline – CPA

Q. Does CPA have comments on the Company's proposed tariff change on customer services in Case 24-E-0376?

A. Yes. CPA states that the proposed tariff change requires customers to provide space for transformers and associated equipment. CPA states that the proposed tariff change should be rejected.

Q. Does the Company agree with CPA's recommendation on this tariff change?

A. CPA's recommendation is outside the scope of this rate case and belong in Case 24-E-0376.

Q. Does CPA have claims about the Company's process for service upgrades?

A. Yes. CPA says that the Company's service upgrade process is lengthy and bureaucratic. CPA recommends that the Company revise rule 5.3.1 to define timelines for interconnection that should be paired with financial penalties if the

Company does not meet these timelines. CPA also states that the Company has no incentives to connect new customers or add load in a timely fashion.

Q. Does the Company agree with CPA's assertions?

A. No, the Company disagrees with this recommendation. Please refer to the Company's response to the City Policy panel on service interconnections. In addition, the Company points to testimony on a proposed Electrification Interconnection EAM in the Customer Energy Solutions panel.

8. Storm Reserve Expenditure Escalation/Storm Allowance – SERRPM

Q. Does the Staff ERRPM Panel make recommendations about the Company's Storm Allowance?

A. Yes. Refer to the Accounting Panel rebuttal testimony for the Company's response to these recommendations.

9. "Clean Energy" definition – NYECC

Q. Does NYECC have any observations on the Company's Clean Energy Investments?

A. Yes. NYECC complains that the Company is unable to define "clean energy" based on the Company's response to NYECC-26-

123. In that interrogatory, NYECC requested the Company define "clean energy" as it is used in the Company's initial testimony. The Company responded it does not have its own definition of "clean energy" but, instead, as stated in our testimony on page 20 and explained further on pages 24-29, is committed to supporting the State's and our customers' clean energy goals. NYECC framing of this response is inaccurate and is repeated through its testimony.

Q. What else does NYECC state about the Company's Clean Energy Investments?

A. NYECC says the Company is not able to provide the portion of energy delivered by its transmission system that is currently clean energy and will be clean energy in the rate years. Here, NYECC also points to the Company's response to NYECC-26-123 where the Company responded that it does not track this information.

Q. Please explain.

A. The resource mix that makes up the energy delivered through Con Edison's transmission system is determined by energy markets managed by the New York Independent System Operator ("NYISO"). These allow market participants to buy and sell

energy and ancillary services at prices established through real-time and day-ahead auctions designed to meet demand with the lowest cost resources available. NYISO's markets incent resource availability, and allow for constantly changing operating conditions. Given their nature, the Company is not able to provide a detailed accounting of the source of the specific energy delivered by the Company's transmission system, or what exactly that mix will be in the future. Once electricity enters the bulk transmission system, it becomes indistinguishable from other sources. The distinction as "clean" energy lies in how the electricity was produced, not how it is delivered or consumed.

Q. Does NYECC have any further comments related to the Company's Clean Energy Investments?

A. NYECC asserts it is hard to gauge how the Company plans on implementing the State's and customers' clean energy goals for something it cannot define or quantify.

Q. Do you agree with NYECC concerns?

A. No, we do not. Across Con Edison's EIOP testimony, white papers, and interrogatory responses the Company has clearly

identified and explained where projects and programs may support the achievement of the State's CLCPA goals.

10. Outage Notification Incentive Mechanism – SERRPM

Q. Does the Staff ERRPM Panel make any recommendations related to Outage Notification Incentive Mechanism (ONIM)?

A. Yes. Please refer to the Customer Operations Panel rebuttal testimony for the Company's response to these recommendations.

11. General Staffing – NYECC and NYC EIP

Q. Were concerns with the Company's proposed staffing levels raised by any parties other than Staff?

A. Yes, NYECC expressed concerns that the proposed staffing increase "…should be rejected especially since the Company in most instances does not sufficiently justify the incremental FTEs requested." NYECC further asserts that "… the Company is quite capable of doing far more with the very significant billions of dollars in resources that ratepayers are already providing to it and the number of FTEs that the Company decides in its discretion to utilize for the purposes it requires."

Q. What is your response to these concerns and observations?

A. Given that NYECC proffered no analysis to support its conclusions that the proposed Company staffing additions are "excessive" and that the Company is not as productive or efficient as it should be, there is no evidence to rebut. The Company has leveraged its expertise, experience, and historical trends to evaluate staffing needs in light of the significant increase in expected project and program needs in this rate period.

12. Off-Shore Wind Related Projects – NYC Policy Panel

Q. Does the NYC Policy Panel make any recommendations related to offshore wind?

A. The NYC Policy Panel states there are several projects proposed by Con Edison to accommodate the interconnection of offshore wind generation into New York City. The NYC Policy Panel asserts that in recent months, the federal government has taken actions which have halted work on almost all offshore wind projects. Given these actions, the NYC Policy Panel claims there is no need to make capital

investments in 2026 or 2027 to accommodate offshore wind projects.

Q. Do you agree with this recommendation?

A. No, we do not. First, similar to the conclusions and recommendations by NYC EIP in relation to other projects above - including the Atlantic Area Substation, the Brooklyn Clean Energy Hub, and others – the NYC Policy Panel does not provide evidence of actual changes in the state of New York's policies and legislation mandating the development of offshore wind. Absent an official change in applicable New York state policy or legislation establishing expectations for implementing state policies, Con Edison is obligated to be prepared to interconnect the proposed offshore wind generation projects, and, given the long lead-time required to plan, design and construct new transmission substations and other infrastructure projects, the Company cannot delay critical path activities based on speculation. Furthermore, no projects within the Company's EIOP have offshore wind as a sole prerequisite for why the project is needed. All the projects for which the potential for offshore wind is a consideration are first and foremost needed for reliability and load relief.

Q. Does the NYC Policy Panel make any other recommendations related to offshore wind?

A. The NYC Policy Panel recommends reassessing when Con Edison interconnections would need to be operational under various, realistic scenarios relating to the Federal government's current policy. The NYC Policy Panel believes the reassessment will demonstrate that the potential in-service dates for the projects are now at least several years later than previously assumed, and Con Edison will be able to pause or delay associated capital investments for at least Rate Year 1, and likely Rate Years 2 and 3 as well.

Q. Do you agree with this recommendation?

A. No, we do not, as discussed immediately above, Con Edison is not undertaking any capital projects that are not for reliability reasons, load growth, or both. Some of the proposed projects have the added benefit of supporting the State's goals to develop and interconnect offshore wind generation.

13. Electrification of Buildings and Fleets – NYC Policy Panel

Q. Does NYC Policy Panel have any concerns about Con Edison's management of building interconnection requests for electric service?

A. The NYC Policy Panel asserts that there are ongoing problems with Con Edison's management of building interconnection requests and customer requests to upgrade building capacity. The NYC Policy Panel claims Con Edison's actions are unnecessarily hindering and delaying the development of new buildings, adversely impacting economic development and perpetuating the housing crisis.

Q. Does NYC Policy Panel discuss specific issues?

A. NYC Policy Panel states the NYC School Construction Authority ("SCA") has had numerous challenges working with Con Edison for interconnection of new schools and building electrification retrofits of existing schools. The NYC Policy Panel states the Company has delayed completing the system upgrades needed to allow new or refurbished schools to receive adequate electric service.

Q. What does NYC Policy Panel recommend?

A. The NYC Policy Panel recommends that the PSC investigate why Con Edison cannot perform timely interconnection work. The NYC Policy Panel also requests that the Company file a comprehensive plan for interconnection timeline improvements for public comment and PSC action. The NYC Policy Panel recommends that initial service determinations are completed in 2 months and meet customer's needs. It also recommends that the Company collaborate with building owners and developers to identify available power and possible costly upgrades early in the design process. The NYC Policy Panel requests more frequent communication with the City Department of Buildings, developers and building owners, along with clear guidelines, timelines, and public-facing maps, and that the Company's designers and inspectors receive consistent training and adhere to uniform requirements. It also requests a single point of contact for the SCA and City agencies and points to the DG Ombudsman as an example. The NYC Policy Panel states that the current DG Ombudsman is not independent or impartial because it claims that this person manages the team that processes DG interconnection requests.

Lastly, the NYC Policy Panel requests a negative revenue adjustment for its proposed Electrification Interconnection EAM.

Q. Do you agree with any of these recommendations?

A. The Company agrees with some of the recommendations and describes below how they are being implemented. However, Con Edison disagrees with the City's characterization of the Company's interconnection process.

The Company agrees that frequent, clear and early communication with customers and building owners on design considerations is important for all projects. The Company also agrees that guidance for customers is important and notes that specifications and other guidance, in addition to electrification capacity maps, are available on our website. The Company also agrees that designers and inspectors should be trained and notes that in-depth training curricula are already required for all employees in these roles.

The Company does have a high-level contact that has been established for the SCA for some time, and the Company has received positive feedback from the SCA on that structure.

The Company agrees that a contact for project portfolios such as schools can be effective.

In terms of interconnection times, the Company agrees that it is reasonable to provide service determinations within two months that meet customers' needs, measuring from the point in time when the customer has provided sufficient detail on its request. However, the NYC Policy Panel's characterization of it receiving a service determination over a year after submittal of a load letter or "receiving notice" of issues with load far into the design process is incorrect. The Company does not change service determinations or designs abruptly without direction or requests from customers but rather makes revisions based on new or changed information from customers. Revisions to service determinations and extended timelines are necessary when customer-side designs change (for example a different point of entry or a different voltage level than the initial engineering design).

Q. Do you disagree with any of the City's recommendations?

A. Yes. First, the Company disagrees with premise of the NYC Policy Panel's request for an investigation into why Con Edison cannot "timely complete its interconnection work and

provide adequate service to its customers." The NYC Policy Panel's characterization of the Company's process and approach, as noted above, is incorrect. The timelines for interconnection are dependent on customer submittals, design, and construction schedules. Con Edison has had productive conversations with the SCA and its consultants and has identified, through collaboration and frequent communication and education on Con Edison system design, specifications, and processes, a streamlined path forward for its submittals. Focusing Company resources on this type of collaboration is a more effective way to meet customer needs than an unnecessary investigation. Second, the Company disagrees that a report is the best way to get input on improving interconnection timelines. The Company points to the success of a public, multi-stakeholder working group (the Electric Vehicle Infrastructure and Interconnection Working Group, or EVIIWG) that was established by the Commission as part of Case 18-E-0138 in November of 2023 as an example of a successful model for specific sector stakeholders to engage on best practices and provide feedback.

The Company also notes that transportation interconnection timelines are published in an annual EAM report.

Third, the Company does not agree that there is not already a point of contact for escalations, as noted above, which has received positive feedback from customers.

Q. Separately, the City expresses concerns with the DG Ombudsman's impartiality, even though it sees the DG Ombudsman's role as a good model for what is needed for SCA. Do you agree?

A. No. The City's characterization of the DG Ombudsman and their lack of impartiality is incorrect. The DG Ombudsman does not manage and is not in the same organization as the teams that manage interconnection requests.

Q. Do you agree with the City's proposal for a negative revenue adjustment for a proposed Electrification Interconnection EAM?

A. No. Please see the Company's testimony in the CES Panel on EAMs.

Q. Does the NYC Policy Panel raise any issues related to the City's fleet electrification implementation?

A. The NYC Policy Panel states that it maintains large fleets of light-duty vehicles and is transitioning those to EVs.

The NYC Policy Panel says it has experienced many challenges in interconnecting charging stations, and that the delays in getting these stations energized are hindering the City in meeting its goals for transition away from fossil fuels. The NYC Policy Panel says that Con Edison has acknowledged it can take years to interconnect charging facilities, and specifically that the Company requiring customers to wait up to 5.5 years for electric service is too long.

Q. Do you agree with the NYC Policy Panel's characterization of its issues?

A. No. The characterization of customers "waiting" for electric service is incorrect. The Company works closely throughout the entire lifecycle of a project, and also provides pre-project advisory support, to coordinate between customer and Company design and construction milestones. There are many dependencies and handoffs in every project. The Company communicates frequently and closely with the City's DCAS and is appreciative of its partnership over the last several years.

In addition, the Company disagrees that 5.5 years is a representative figure for connecting EV project. This is a

timeline associated with high-tension projects, which are not common, and where the majority of engineering and construction are on the customer side. This timeline and scope are not reflective of any light-duty EV charging projects and should not be considered a point of reference. In fact, there have been no light-duty EV projects with this service ruling, and the Company average timelines for projects in the Transportation Interconnection EAM have been shorter than baselines.

Q. Are there any other points you would like to make about opportunities to support building and fleet electrification?

A. Please see our requests for engineering and other personnel which will be fundamental to providing the workforce and resources needed to meet these goals.

Q. Does the NYC Policy Panel raise any issues concerning Electric Vehicle charging and Temporary Service under General Rule 5.2.7 of the Company's Electric Tariff?

A. Yes. The City challenges the Company's application of General Rule 5.2.7 to EV charging stations located in the public right-of-way. According to the NYC policy Panel, Con Edison "considers anything and everything located in the

public right-of-way to be temporary in nature because the City has the right to require it to be removed at any time."

Q. Do you agree with the NYC Policy Panel's characterization?

A. No, we do not. The NYC Policy Panel mischaracterizes the distinction between permanent and temporary service under the Electric Tariff. Pursuant to the Electric Tariff, Leaf 35, Rule 5.2.1, Con Edison will provide a single service line to a building or premises, at no cost to the customer. For these customers, Con Edison has reasonable assurances that it will recover the costs of the service installation. Alternatively, Rule 5.2.7, Temporary Service, is used for non-permanent structures, where Con Edison does not have reason to believe that the facilities installed for service will be used for permanent supply. That often occurs with facilities installed in the public right-of-way where the municipal authorities' rights to remove the customer equipment, and the short term of the customer's underlying agreement, do not provide Con Edison with certainty long-term service and cost recovery.

Q. What are the NYC Policy Panel's recommendations?

A. The NYC Policy Panel asks the Commission for a declaration that Con Edison's interpretation that "anything located in a public right-of-way is temporary is incorrect" and require Con Edison to modify its Electric Tariff to provide that EV and e-mobility charging apparatus, equipment, and facilities are permanent regardless of the location.

Q. Do you agree with the NYC Policy Panel's recommendation?

A. No. The Company has three concerns with the NYC Policy Panel's proposal. First, as we've explained, the NYC Policy Panel's characterization of the Company's position is misleading. More importantly, the Company was involved in a decade-long dispute with a temporary service customer that challenged the Company's application of this same temporary service tariff provision. The Commission ruled in favor of the Company in all three phases of the Commission's complaint process (i.e., written complaint, informal hearing, and Commission complaint *see Case 19-E-0068)*. Moreover, the customer took the Commission and Con Edison to court, and the Commission's determination was upheld by the Third Department Appellate Division. The NYC Policy Panel has not distinguished EV and e-mobility charging apparatus from other temporary service customers.

Q. What is the second concern?

A. The Company cannot carve out an exception for one type of temporary service customer. There are a significant number of customers that receive service under General Rule 5.2.7. The NYC Policy Panel's proposal shifts the burden and risk for unrecoverable costs associated with temporary services to all other customers. Such a shift in responsibility is not in the public interest.

Q. Please describe your third concern.

A. Finally, the NYC Policy Panel's request, ignores that the Commission has several ongoing proceedings concerning EV charging stations. For example, in case 18-E-0138, the Commission is reviewing the status of EV's and the State's Make-Ready programs. The City is currently eligible to receive infrastructure incentives to cover some or all of the cost of utility side infrastructure work related to curbside charging. The City is an active participant in this proceeding and has submitted comments seeking additional incentives for curbside projects. Given the Commission's ongoing Statewide review of EV matters, the NYC Policy Panel's proposal should be rejected.

14. Potential for Winter Peaking System – NYECC

Q. What does NYECC state related to the Company being winter peaking in mid-2030?

A. NYECC claims that because this is so far in the future, there is no need to address it now.

Q. Do you agree?

A. No, we do not. As described in the Company's testimony, the Company's planning process takes into account many factors. One key factor is load. Generally speaking, the load is growing, and the Company's plans reflect this. It is not so much a shift from summer peak to winter peak, as it is that winter peak will overtake summer peak. In other words, the winter peak is expected to be higher than current or forecasted future summer peaks. It follows that all the Company's investments in the electric infrastructure will make the system that much closer to the capacity needed to deliver safe and reliable electricity when the peak load is higher and in winter. These and any future needs of the system are taken into account when planning system investments. The infrastructure investments that the Company makes now have implications long into the future,

so it is critical that any and all future needs of the system are considered while planning and executing infrastructure upgrade plans.

Q. Does this conclude your testimony?

A. Yes.